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FINLAND

1997

SPECIAL FEATURES

- PENSION REFORM

OECD ECONOMIC SURVEYS

1996-1997

FINLAND

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

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BASIC STATISTICS OF FINLAND

THE LAND

Area (1 000 sq. km)	338
of which:	
Cultivated land	27
Forests	230
Lakes	34

Population in major cities, 31.12.1995:	
Helsinki	525 031
Espoo	191 247
Tampere	182 742
Turku	164 744

THE PEOPLE

Total population (31.12.1995), thousands	5 117
Per sq. km of land area	15.1
Per thousand inhabitants (1995):	
Live births	12.3
Deaths	9.6
Net natural increase	2.7
Net increase of population	3.5

Manpower by industry in 1995 (per cent of total):	
Agriculture and forestry	11.3
Industry and construction	39.0
Commerce	21.0
Transport and communication	10.6
Services	17.3

PARLIAMENT AND GOVERNMENT

Composition of Parliament, number of seats (1995):	
Centre Party	44
Social Democratic Party	63
National Coalition (Conservatives)	39
Left-Wing Alliance	22
Swedish People's Party	12
Green League	9
Christian League	7
Rural Party	1
Progressive Finnish Party	2
Ecological Party	1
Total	200

Government, number of ministers from:	
Social Democratic Party	7
National Coalition (Conservatives)	5
Swedish People's Party	2
Left Wing Alliance	2
Green League	1
Independent	1
Total	18

PRODUCTION

Gross Domestic Product 1996 (Mk million)	569 446
GDP per head, US dollars, 1996	24 235
Gross fixed capital formation 1996 (Mk million)	88 020

Gross Domestic Product by industry in 1995 (per cent of total):	
Agriculture and forestry	5.2
Industry and construction	44.1
Commerce	3.5
Transport and communication	10.7
Other services	26.6

PUBLIC SECTOR

Public consumption 1996, per cent of GDP	22.1
Gross fixed capital formation 1996, per cent of GDP:	
General government	2.6

General government revenue and expenditure, 1996 (Mk million):	
Current revenue	308 250
Current expenditure	319 689
of which:	
Consumption	125 915
Transfers	144 732
Subsidies	16 052
Interest on public debt	32 990

FOREIGN TRADE

Exports of goods and services, per cent of GDP, 1996	38.1
Main exports in 1995 (per cent of total):	
Agricultural products	1.2
Wood products	7.6
Pulp and paper	27.7
Metal and engines	39.4
Other goods	24.1

Imports of goods and services, per cent of GDP, 1996	30.2
Main imports in 1995 (per cent of total):	
Raw materials	59.6
Fuels and lubricants	3.4
Investment goods	15.3
Consumer goods	19.6

THE CURRENCY

Monetary unit: Markka

Currency units per US$, average of daily figures:	
Year 1996	4.59
June 1997	5.17

Note: An international comparison of certain basic statistics is given in an annex table.

This Survey is based on the Secretariat's study prepared for the annual review of Finland by the Economic and Development Review Committee on 16 June 1997.

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After revisions in the light of discussions during the review, final approval of the Survey for publication was given by the Committee on 4 July 1997.

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The previous Survey of Finland was issued in August 1996.

Assessment and recommendations

The strong recovery has entered its fourth year...

The Finnish economy has fully recovered the 13 per cent output loss registered during the profound slump in the early 1990s, with real GDP growth averaging about 4 per cent in the past three years and strengthening further in 1997. While initially driven by an export boom following a substantial depreciation of the exchange rate, the upturn has progressively benefited from improved domestic demand conditions supported by sharp declines in interest rates and strengthened private-sector balance sheets. At the same time, continued moderate labour costs and the successful penetration of emerging markets have helped sustain export growth, which, despite terms-of-trade losses due to sluggish forestry activity in early 1996, has stabilised the current account surplus at a historically high level of 3½ per cent of GDP.

but substantial slack persists in the labour market...

Reflecting the strong growth performance, labour demand has been increasing, and in certain sectors, such as construction, rising vacancy rates already point to emerging tensions on the employment front. However, with the overall unemployment rate at a seasonally-adjusted 15¼ per cent in the first quarter of 1997, there is still substantial slack in the labour market overall. Employment opportunities are particularly limited for older job-seekers, who appear to face greater challenges in meeting the changing skill requirements associated with the ongoing industrial

restructuring of the economy. This has been reflected in a rising average duration of unemployment, with almost one-third of all unemployed workers having been out of work for twelve months or longer. As a result, many older workers have effectively withdrawn from the labour force, giving up job search activity or entering early retirement programmes, including disability.

... helping to keep inflation low

By contributing to limiting contractual wage increases to around 3 per cent in 1996, such remaining slack in the labour market has helped keep domestic inflation subdued. Indeed, although international energy prices have been rising, the annual increase of the consumer price index has not exceeded 1 per cent since early 1995. The decline in food prices, following Finland's accession to the European Union in 1995, also played a role in this regard. Together with successful export product diversification, these favourable cost developments appear, so far, to have been sufficient to preserve the international competitiveness and profitability of Finnish industries, despite some appreciation of the exchange rate since the spring of 1996.

This should provide scope for continued non-inflationary growth...

The economy is projected to continue growing annually by around 4 per cent during 1997 and 1998, spurred by a further strengthening of domestic demand, with buoyant household consumption, rising residential investment and sustained business investment expected to be the main driving forces. Foreign demand should also stay resilient as exports are expected to benefit from the stronger expansion envisaged in Europe. Unemployment is therefore projected to decline further, reaching 13½ per cent in 1998, while wage and price inflation could remain modest at 3 and 2 per cent, respectively.

although there are risks of higher wage and price pressure

These projections assume that the social partners achieve a moderate new wage settlement after the current two-year incomes policy agreement expires in January 1998. While there is indeed ample scope for this to occur in the current labour market environment, there is nonetheless a risk that tightening employment conditions in certain areas might result in higher wage claims. Given the collective nature of the wage bargaining process, such claims, if they materialised, could spread to other economic sectors and, in turn, generate pressure on domestic prices, as has been the case in previous upswings.

A cautious monetary policy stance is thus needed...

The monetary authorities need, therefore, to remain vigilant to a possible resurgence of inflation. With the official inflation target comfortably achieved, monetary policy has been substantially eased: short-term interest rates were on a declining path until late 1996 and are now on a par with the equivalent German rates. While, as noted, such developments have helped revive domestic demand, they also served to counteract upward pressures on the markka – which has been one of the strongest currencies within the European Exchange Rate Mechanism (ERM) since its entry in October 1996. Should these pressures persist, monetary policy might be faced with the dilemma of either keeping the emphasis on exchange-rate stability, but with the risk of undermining inflation control, or leaving the markka to appreciate within the wider bands (±15 per cent) of the ERM, which could adversely affect the competitiveness and, in turn, labour demand of the highly-exposed export manufacturing industries.

as well as additional government expenditure restraint...

Continued budget consolidation would help avoid such a dilemma by taking some pressure off monetary policy in keeping inflation under control. The successive fiscal austerity packages implemented since the early 1990s have contributed to a substantial reduction in the general government deficit from its peak of 8 per cent of GDP at the trough of the cycle in 1993 to 2½ per cent in 1996 – a trend which is expected to continue with a 1½ per cent deficit projected in 1997. As a result, the gross public debt has stabilised below 60 per cent of GDP. While these achievements are in line with the Maastricht criteria, thereby presumably qualifying Finland for the final stage of the European Monetary Union (EMU), there is still scope for additional expenditure restraint at a time the economy is growing rapidly. This would have two advantages in the short-to-medium term: on the one hand, it would create room for reducing the relatively high tax burden prevailing in the economy, with a view, in particular, to supporting job creation; on the other hand, it would increase, through built-in budget stabilisers, the fiscal flexibility required to cushion a future downturn in economic activity.

the more so since public pension obligations are projected to rise

Strengthening the public finances further would also ease the future pressures associated with an ageing population. As discussed in the special chapter of this Survey, public pension obligations in Finland have been a matter of concern for some time, as the increase in life expectancy and the decline in fertility rates have been more pronounced than in many other OECD countries. A simulation by the Secretariat, consistent with current official projections, suggests that expenditure by the Finnish occupational pension system would increase from the present 8 per cent of GDP to around 13 per cent in the third decade of the next century. Accordingly, ensuring the sustainability of the system would require an increase in the level of pension contribu-

tions from around 8½ per cent of GDP to almost 12 per cent over the same period. The volume of financial assets held by pension funds would thus grow from 37 per cent of GDP at present to 65 per cent by the year 2030, followed by a gradual depletion afterwards. These projections exclude the State-funded national pension scheme whose budgetary cost is officially expected to decline from the current 4 per cent of GDP to 1 per cent in the long run, as this scheme is to be progressively confined to people with insufficient occupational pension coverage. Taking such a scheme into account, overall pension expenditure as a share of GDP would increase by 2 percentage points.

While the financing of such obligations seems secured...

Such projections incorporate the estimated impact of a far-reaching pension reform introduced, in recent years, by the government in agreement with the social partners. The reform includes several measures to raise the effective retirement age of Finnish workers, which – at 58 – is lower than in most of the OECD area. These aim, in particular, at reducing the strong incentives for early retirement which have been an outstanding feature of the Finnish pension system. In addition, the indexation rules with respect to the pension benefit have been modified, with the weight of the earnings index decreased and that of the consumer price index increased. The determination of the pensionable wage on which the pension benefit is based has been changed, by extending from four to ten years the period of earnings taken into account to this effect. At the same time, the conditions for sound management of the pension funds have been improved by allowing these funds to use a greater share of their financial surpluses to strengthen their capital base. The basic features of the pension system – a pronounced redistributional thrust, a mixture of funding and ‘‘pay-as-you-go’’-based financing, and a strong involvement of private insurers in the system’s manage-

ment (subject to tight regulation and monitoring by the government) – have, however, been maintained.

some concerns remain

Despite these reforms, there remains a risk that the funding rate – *i.e.* the ratio between financial assets and pension obligations – might temporarily erode if contribution rates were reduced for incomes policy reasons, as has occasionally been the case in the past. It would thus be advisable for the government to enact binding requirements with respect to minimum funding rates. More fundamentally, with – as noted – contribution rates expected to rise in the coming decades, future generations may be less willing to support a pension system as currently designed. Changes leading to a higher return on pension fund assets would tend to ease such concerns, possibly enabling reductions in contribution rates. To this end, pension fund managers could be induced to become more active participants in international capital markets and to compete on the basis of their returns, subject to rules ensuring that the liquidity and solvency of such funds be preserved. In addition, there is scope for tightening the link between individual pension contributions and benefit entitlements with a view to reducing labour market distortions. The authorities could also move one step further, by gradually introducing a mandatory ''defined-contribution'' system with individual savings accounts earmarked for old-age retirement purposes. Such measures would help foster the sectoral, occupational and regional mobility of labour.

Reducing unemployment further would require increased labour-market flexibility...

Strengthening labour-market flexibility is indeed necessary to accelerate the reduction in unemployment, the more so since, in the event of Finland joining the EMU, the use of monetary and fiscal policies to adjust to economic shocks will be limited in the future. Recent measures resulting from the government's 1995 Employment Programme have

been in the direction of increasing work incentives and allowing more flexible labour contracts. However, as foreshadowed in the chapter dealing with the implementation of the OECD Jobs Strategy in last year's Survey, these steps do not appear to be sufficient to reach the official objective of halving unemployment by 1999. Given the fact that municipalities can supplement unemployment benefits with various allowances, recipients of such benefits still experience limited financial incentives to move into regular employment. Moreover, the relatively narrow wage structure prevailing in the labour market tends to discourage employment of low-skilled workers.

through more efficient labour-market measures

The next wage agreement, to be effective in 1998, could provide the opportunity to correct such drawbacks by widening the scope for necessary adjustments in relative wages through increased wage bargaining at the firm level. This would stimulate job creation in sectors, such as private services, well suited for flexible and part-time arrangements. Such action could be supported by a reduction in income taxes for low-wage earners, as already proposed by an official expert group, provided that – as argued above – this is offset by additional spending cuts so as not to jeopardise the progress in fiscal consolidation. Moreover, there seems to be scope for strengthening the enforcement of the rules for job search and work availability. The still restrictive job protection legislation could also be eased in order to facilitate job creation in the private sector. At the same time, the effectiveness of active labour market programmes should be reinforced. In particular, the emphasis of these programmes should be shifted from subsidised jobs in municipal administrations, which appear to crowd out regular employment, to on-the-job training courses designed to improve the skills of unemployed in line with labour demand in the private sector.

Additional reforms would also be required in product markets...

Such initiatives could be usefully supplemented by further improving the functioning of product markets, with the view to allowing greater competition among companies to raise incentives for innovation and efficiency. In this regard, the Finnish Government has moved towards deregulating the electricity market in recent years, as it did for telecommunication some time ago. Other measures have targeted small and medium-sized enterprises (SMEs), including the provision of risk capital and the introduction of simpler administrative procedures as part of an EU-wide project. In the same spirit, the focus of environmental policies has shifted from administratively burdensome ''command and control'' regulation to market-based instruments such as differentiated indirect tax rates, which take account of the environmental characteristics of products, and deposit refund schemes. In contrast, the ongoing privatisation programme of the large State-owned business sector – currently representing one-fifth of the Finnish manufacturing industry and mostly engaged in natural resource-based production – has shown limited progress to date. Indeed, with the State's stake in the capital of this sector still representing Mk 55 billion (10 per cent of GDP), there is scope for accelerating this programme. At the same time, in the area of merger control, there also appears to be a need to adjust the existing Finnish competition legislation in line with EU regulations in order to make the operating environment of companies more transparent.

and in financial services

Similarly, the government could create the conditions for allowing the Finnish banking industry to compete efficiently in a global financial environment. Removing the stamp duty on banks' lending activities would help in this regard. On the other hand, given the high degree of concentration reached in the banking sector, following the crisis of the early 1990s, scope for strengthening banks' profitability

through additional domestic mergers appears to be limited. Finnish banks should instead be encouraged to trim costs further while exploiting business opportunities abroad. At the same time, by reducing moral hazard, a rapid implementation of the newly-proposed deposit insurance scheme would contribute to enhancing the soundness of the banking system.

Summary

In sum, the Finnish economy has recovered remarkably from its deep slump in the early 1990s. This positive outcome has been based on a substantial easing of monetary conditions combined with significant progress in fiscal consolidation and moderate wage developments. While there seem to be favourable prospects for sustained growth, monetary policy should guard against a possible revival of inflation. Additional budget expenditure restraint would help reduce the tax burden and increase the fiscal policy room for manoeuvre in the years ahead. It would also contribute to relieving the pressure of an ageing population on public finances. Accelerating the decline in unemployment would require increased labour-market flexibility, with policies in this area further directed towards raising work incentives. Such initiatives, together with continued structural reform to strengthen economic efficiency, would pave the way for sustainable growth in the long run.

I. Recent trends and short-term prospects

The Finnish economy has continued to rebound sharply from the deep slump of the early 1990s, which was associated with a series of severe domestic and external shocks – *i.e.* the bursting of the asset price bubble, the collapse of trade with the Soviet Union and the international recession. The recovery, initially triggered by a sharp depreciation of the exchange rate, resulted in a ''dual economy'', with a booming exporting sector contrasting with sluggish domestic-oriented industries. In recent years, however, the upswing progressively spread across the whole economy as households' and companies' balance sheets improved significantly and interest rates declined to a historical low. Economic growth is set to continue strong this year and next, enabling further reductions of the still very high unemployment rate. This chapter reviews briefly the main features of recent economic developments. This is followed by a presentation of the Secretariat's economic projections for 1997-98.

A broader recovery

After a brief growth pause in late 1995 and early 1996, associated with a downturn in international forestry markets and a deterioration of business and consumer confidence, the economy resumed its robust expansion during the middle of last year. This reflected increased buoyancy of household consumption, business capital formation and residential investment, fuelled by strong gains in real earnings and declining interest rates, as well as a sustained expansion of exports. As a result, real GDP grew by 3¼ per cent in 1996, somewhat less than in the two preceding years but still more than the EU average (Table 1 and Figure 1, Panel A). With the upswing now entering its fourth year, the 13 per cent contraction in economic activity during the early-1990s slump has been fully made up, and the large output gap, which has primarily been associated with

Table 1. **Demand and output**

Percentage changes from previous period, seasonnaly adjusted at annual rates, volume

	1993 1990 prices Mk billion	1994	1995	1996	1995 2nd half	1996 1st half	1996 2nd half
Private consumption	240.2	1.9	3.7	3.3	1.6	4.1	3.5
of which:							
Durable goods	17.2	9.8	12.7	12.9	4.6	18.5	10.4
Government consumption	103.0	–0.3	1.7	2.9	4.2	2.0	3.3
Gross fixed capital formation	74.5	0.2	8.5	5.5	–0.2	4.1	14.6
of which:							
Public sector	13.9	1.6	–2.8	0.1	–5.6	2.9	0.4
Business non-residential	38.6	2.3	18.9	10.6	17.2	7.5	10.8
Residential	22.1	–4.4	–3.4	–2.4	–28.5	–3.8	37.0
Total business	60.6	–0.2	11.1	6.7	0.9	4.3	17.5
Final domestic demand	417.7	1.1	4.1	3.6	1.9	3.6	5.4
Stockbuilding [1, 2]	10.2	2.6	0.0	0.0	2.0	–0.4	–1.1
Exports of goods and services	142.5	13.3	8.2	3.8	–5.8	4.5	12.7
Imports of goods and services	113.8	12.8	6.9	4.5	4.6	5.0	3.3
Foreign balance [1]	28.6	1.0	0.9	0.1	–3.3	0.2	3.4
GDP	456.6	4.5	4.5	3.3	0.3	2.9	7.1
of which:							
Manufacturing	102.5	12.5	9.6	2.9	1.4	0.4	9.3

1. Contribution to GDP growth.
2. Including statistical discrepancy.

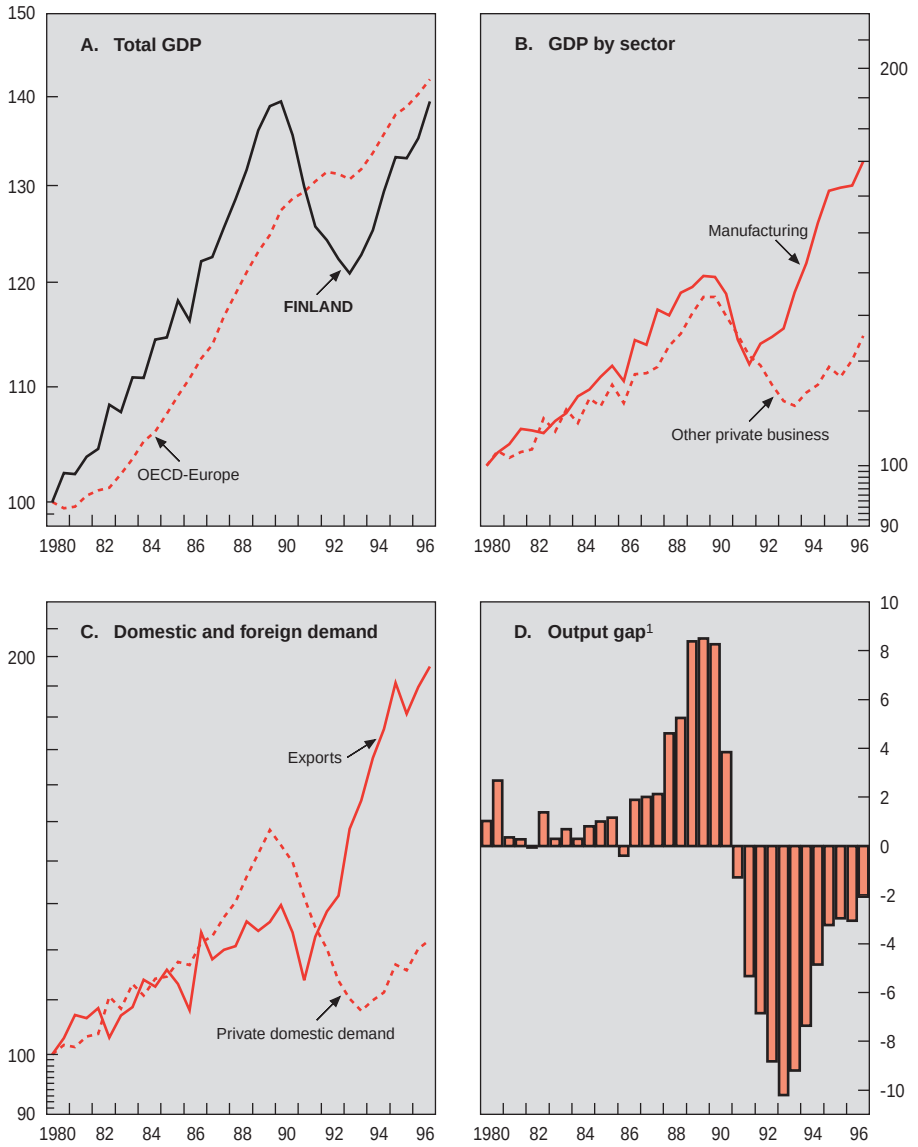
Source: OECD Secretariat.

prolonged slack in domestic-oriented activities, has significantly narrowed (Figure 1, Panels B, C and D).

As a result, the unemployment rate has been on a declining trend, falling by almost 4 percentage points from its peak early in 1994 to reach a seasonally-adjusted 15¼ per cent in the first quarter of 1997. Although considerable slack remains in the labour market, a rising number of vacancies since late 1996 points to tightening labour market conditions in some industries (notably construction), mainly associated with skill mismatches. Nonetheless, wage increases – at less then 3¼ per cent in 1996 – have remained moderate following the two-year incomes policy agreement concluded in late 1995 (to expire in January 1998) and continued modest wage drift. Consequently, the rate of change of the consumer price index has stayed at around 1 per cent, even after the impact of the reduction in food prices, following the accession to the European Union (EU), began to

Figure 1. **GDP AND ITS MAIN COMPONENTS**

Indices, semi-annual data, semi-log scale, 1980: 1 = 100



1. Linear scale, deviation from potential output.

Source: OECD, *Quarterly National Accounts;* Secretariat estimates.

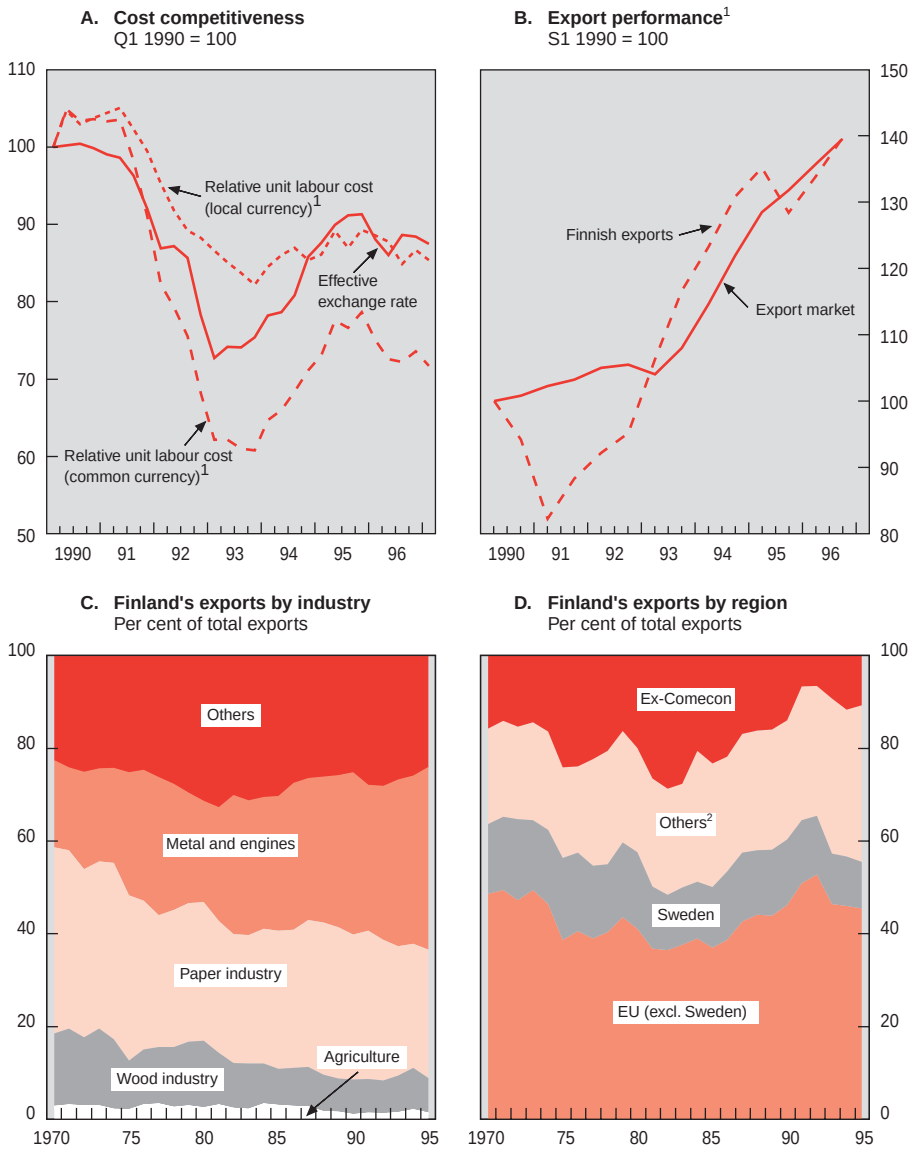
abate in 1996. At the same time, with export prices falling – due to the downturn in the forestry sector and weak global commodity markets – and import prices boosted by the stronger dollar and the increase in oil prices, the terms of trade declined substantially. After trending upward in recent years, the current-account surplus therefore edged down to around 3½ per cent of GDP in 1996. These developments are discussed in more detail below.

Sustained and more diverse exports

After a brief downturn in the second half of 1995, due to weak forestry demand, the boom in merchandise exports, which started late 1992 following a substantial exchange-rate depreciation, resumed in 1996. For the year as a whole, sales abroad grew 9 per cent, which is stronger than the growth of Finland's export markets. The gains in market shares on the part of Finnish suppliers were based, in particular, on improved cost competitiveness (Figure 2, Panels A and B). Indeed, by offsetting both the strength of the markka and a decline in productivity growth, moderate wage inflation has resulted in a reduction in unit labour costs in manufacturing relative to Finland's main trading partners (as measured in a common currency) since late 1995.

Such a strong export performance also resulted from successful product developments, as reflected in a pronounced shift in the composition of Finnish exports. Exports of metal and engineering have grown vigorously, with their share in total exports rising from around 25 per cent in the 1980s to over 40 per cent at present – half of which now consists of telecommunication products (Figure 2, Panel C). As a consequence, the share of traditional forestry-related products – which averaged around 40 per cent of total exports in the 1980s – has continued to decline, reaching 35 per cent in 1995. Moreover, within the broad category of these traditional products, there has been a gradual shift from primary to higher value-added manufacturing goods. As for the geographical composition of exports, the most striking development in recent years has been the recovery of sales to the former-Comecon countries, primarily the Baltic economies and Russia, and the increasing penetration of markets outside Europe, notably Asia and America (Figure 2, Panel D). While Finnish exports to the EU area have also grown significantly, their share in total exports has declined, to around 55 per cent.

Figure 2. **COST COMPETITIVENESS AND EXPORT PERFORMANCE**



1. Manufacturing.
2. Asia, NAFTA, Latin America, etc.

Source: Statistics Finland; OECD Secretariat.

Rebound of household demand

Private consumption grew by around 3½ per cent in 1996, as in 1995, supported by an equivalent increase on average in real disposable income and a stabilisation of the household savings ratio at a very low level both by historical and international standards (Table 2 and Figure 3, Panel A).[1] Indeed, the economic conditions facing households have been gradually improving – including the stabilisation of the ratio of household debt to disposable income at its pre-recession level of around 60 per cent, the dramatic decline in borrowing costs and the positive labour market developments (see below) – and consumer confidence has accordingly risen (Figure 3, Panels B and C). As is normal after a protracted period of household spending restraint, the recovery in private consumption has been fuelled by the increasing need to replace durable consumer goods – primarily automobiles, household appliances and entertainment electronics. At the same time, consumption of foreign travel has strongly rebounded, while that of semi-durables and foodstuffs has remained broadly stable.

Table 2. **Household appropriation account**

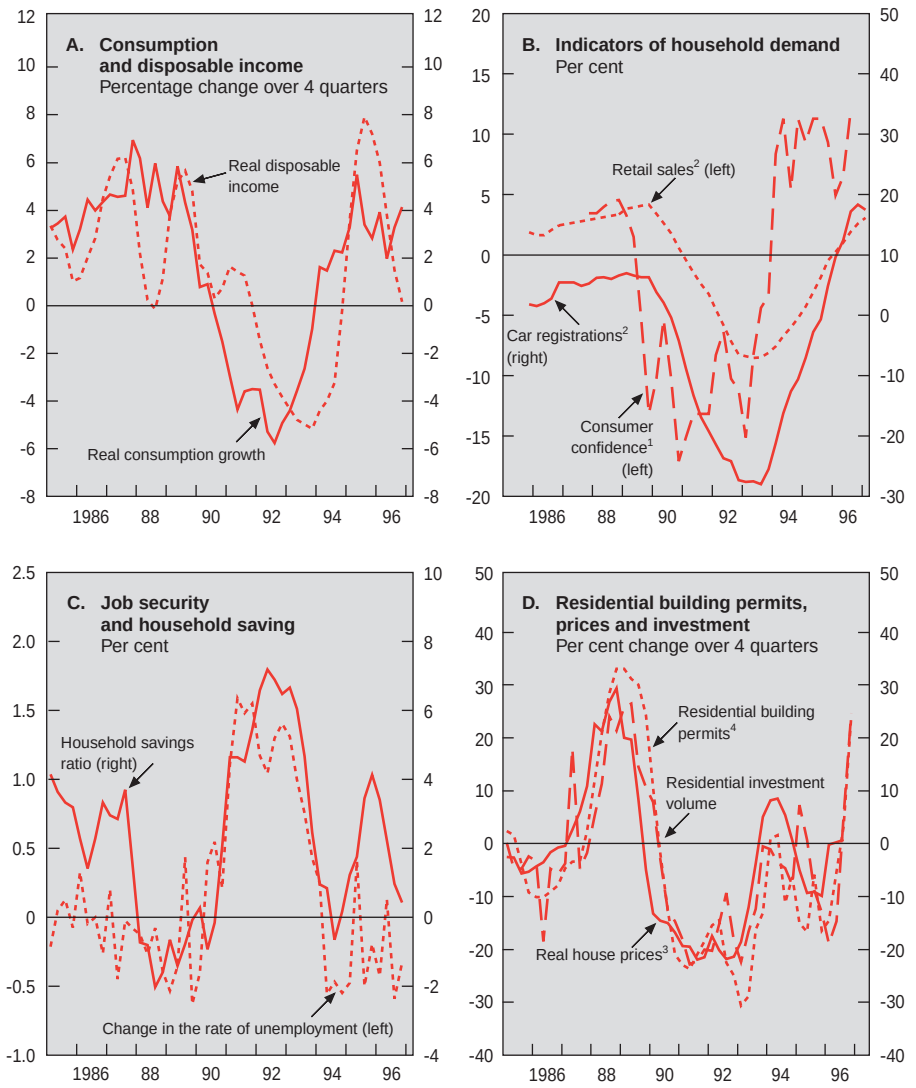
Percentage changes

	1991 Mk billion	1992	1993	1994	1995	1996
Disposable income	289.3	1.2	–0.8	–1.6	6.6	3.0
Contributions from:						
Wages	301.3	–3.4	–4.2	3.8	5.5	4.3
Entrepreneurial and property income	77.9	0.9	–0.4	–0.6	0.2	0.6
Transfers received	117.6	6.1	3.0	2.5	0.2	0.5
Transfers paid	–98.6	–3.6	–1.7	–5.0	0.0	–0.6
Direct taxes [1, 2]	–78.3	1.4	0.6	–4.1	0.3	–3.0
Interest on consumer debt [1]	–30.6	–0.1	1.8	1.7	0.3	1.1
Real disposable income	273.9	–2.8	–4.8	–3.0	6.3	1.8
Real consumption expenditure	260.0	–4.9	–2.9	1.9	3.7	3.3
Saving ratio (level) [3]	5.1	7.1	5.2	0.4	2.8	1.3

1. A positive number indicates that interest payments, transfers paid or direct taxes have fallen.
2. Direct tax payments are heavily affected by a postponement of the 1994 tax refunds to 1995, see Chapter II.
3. Ratio of household saving to disposable household income (non-profit institutions have been included in the household sector).

Source: OECD Secretariat.

Figure 3. **HOUSEHOLD SPENDING**



1. The indicator reflects consumer perception of economic developments for the past 12 and next 12 months and whether present conditions are conducive to larger purchases.
2. Percentage change over 12 months, 12-month moving average.
3. Prices of dwellings deflated by the index of wage and salaries.
4. 4 quarters moving average.

Source: OECD, *Quarterly National Accounts, Main Economic Indicators.*

Figure 4. **BUSINESS INVESTMENT**

1. Volume.

Source: Ministry of Finance; OECD, *Main Economic Indicators, Quarterly National Accounts.*

In this context of improved household confidence, the significant reduction in mortgage lending rates and the measures taken by the government to stimulate renovation activity and mortgage lending through the introduction of State guarantees (see Chapter II), have provoked a sharp recovery in *residential construction* since the autumn of 1996. This is reflected in the rising number of construction permits issued (Figure 3, Panel D). Such increased construction activity has been spurred also by the surge in prices of second-hand property in major cities, which have been recovering to levels that correspond to the construction cost of newly-built accommodation.

Stabilisation of business investment

By contrast, the pickup in business investment which started in early 1994 wound down in 1996, due mainly to the downturn in the forestry industry and the associated drop in capacity utilisation rates (Figure 4). This leaves capital formation at a still historically low level, although – given that the industrial structure has been shifting from capital-intensive modes of production towards knowledge-intensive ''high-tech'' activities – productive capacity has in fact expanded, based on an improvement in total factor productivity. While business investment has so far primarily focused on machinery and equipment in manufacturing, investment in structures has been recovering since late 1996, based principally on increased demand for office space in the Helsinki area. Although capital formation may temporarily lose momentum as a number of large investment projects in the paper industry near completion, the conditions for investment remain favourable, with the indebtedness of firms reduced, interest rates at a low level and corporate profitability rising.

Slow progress in absorbing the labour market slack

Although positive for the second consecutive year, employment growth slowed down from 2.2 per cent in 1995 to 1.4 per cent in 1996 (Table 3 and Figure 5, Panel A). However, this masks divergent tendencies in individual sectors, with labour demand in services industries – notably in the wholesale and retail sectors – expanding more strongly than in 1995, supported by the revival of domestic demand (Figure 5, Panel B). At the same time, public employment has

Table 3. **Labour market developments**

Percentage changes

	1980-1990	1991	1992	1993	1994	1995	1996
Real GDP	3.1	–7.1	–3.6	–1.2	4.5	4.5	3.3
Real GDP per worker	2.6	–1.9	3.5	4.9	5.4	2.3	1.9
Employment	0.6	–5.1	–7.1	–6.1	–0.8	2.2	1.4
Labour force	0.5	–0.9	–1.2	–0.7	–0.2	0.7	0.2
Unemployment rate [1]	4.8	7.6	13.1	17.9	18.4	17.2	16.3
of which:							
Males	5.7	9.3	15.5	19.8	19.9	17.6	16.1
Females	4.8	5.7	10.5	15.7	16.7	16.7	16.5
Younger than 25 years	8.4	15.3	25.2	33.5	33.6	29.9	27.4
More than 12 months unemployed [2]	10.2	2.7	8.2	18.4	27.1	33.4	33.0
Active labour market programmes [1]	4.4	2.3	3.1	3.4	3.8	3.9	4.2
of which:							
Job creation	1.4	1.6	2.1	2.3	2.7	2.5	2.6
Labour market training	3.1	0.7	1.1	1.1	1.1	1.4	1.6

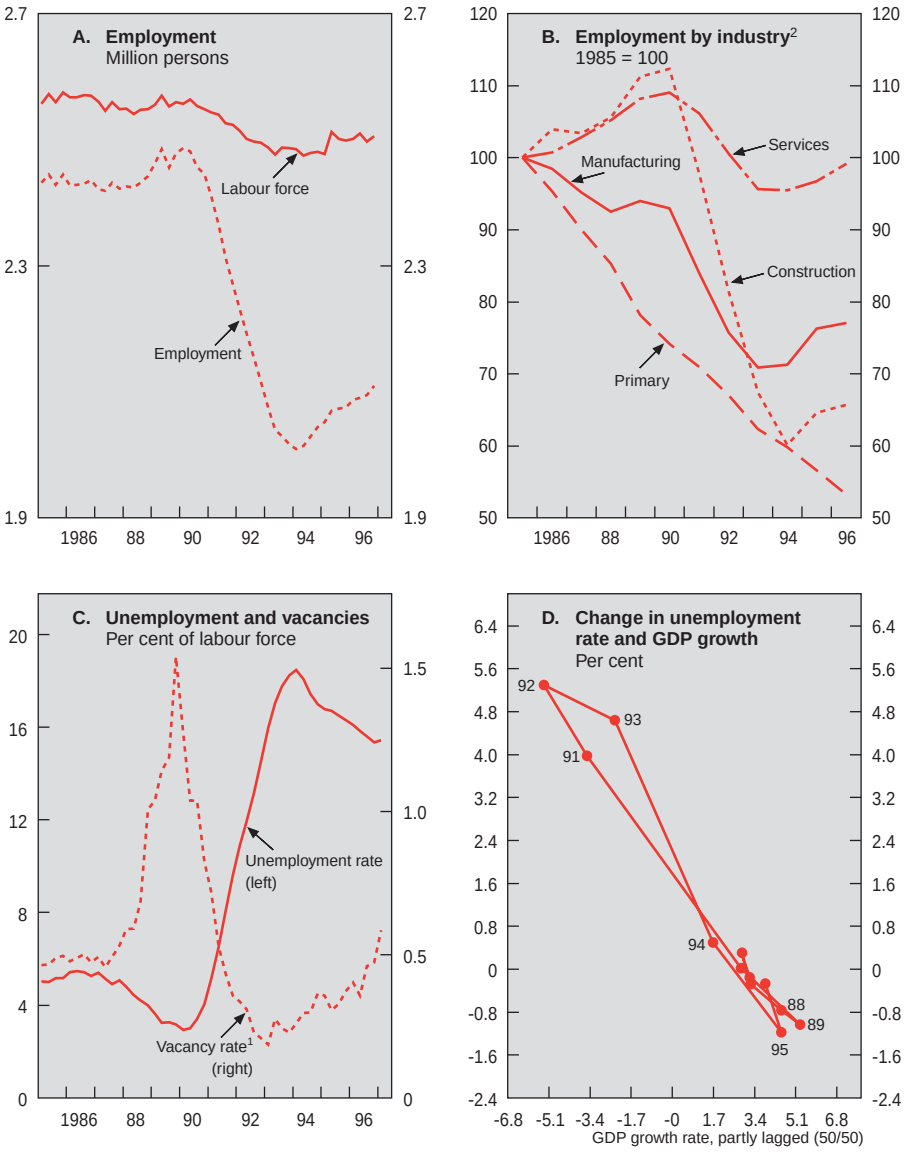
1. Per cent of labour force, level.
2. Incidence.

Source: Ministry of Labour.

grown due to the rising number of subsidised jobs in municipalities, following legislative changes which have made it more difficult for firms in the private sector to claim wage subsidies.[2] In contrast, employment in the construction and manufacturing industries has levelled off – the latter being affected by a drop in employment in the wood and paper branches – while the number of workers in primary industries (agriculture, forestry and mining) has continued to decline in line with the observed long-term trend. A noteworthy development in the last two years has been the increase in the number of fixed-term and part-time jobs, which are estimated to have involved as much as 80 per cent of all new vacancies.[3]

Following a sharp cyclical rebound in 1995, labour market participation increased only moderately in 1996 as more young people were enrolled in upper-secondary vocational education. This results from the *Development Plan for Education and University Research* adopted in December 1995, and from the use of labour market training programmes which were extended as part of the 1995 incomes policy agreement. Despite the weaker employment growth, the unemployment rate therefore declined again by around 1 percentage point, to an

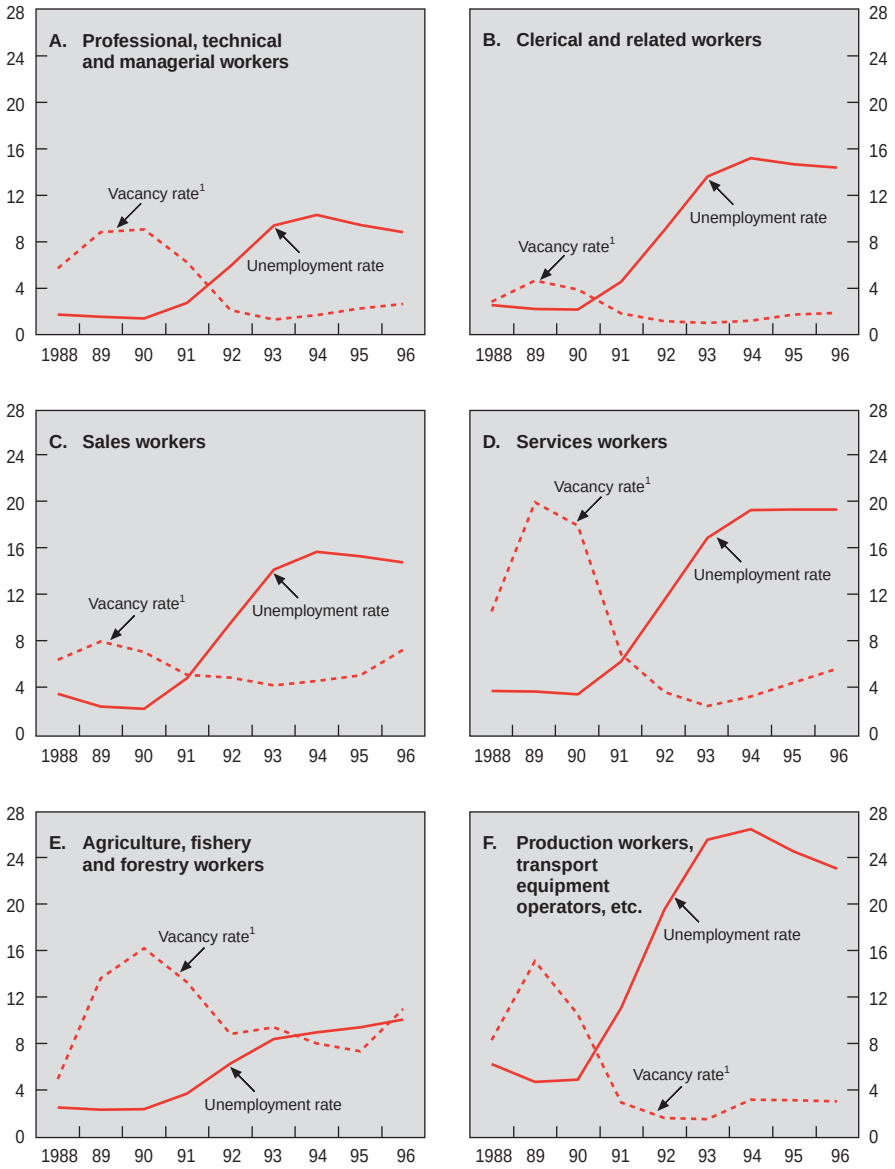
Figure 5. **THE LABOUR MARKET**



1. Break in 1988 due to a change in legislation forcing firms to declare vacant jobs.
2. 1996, estimates.

Source: OECD, *Quarterly National Accounts, Main Economic Indicators,* Secretariat estimates.

Figure 6. **UNEMPLOYMENT AND VACANCIES BY OCCUPATION**



1. Per thousand.

Source: Ministry of Labour, Finnish Labour Review; International Labour Office, Yearbook of Labour Statistics 1995.

average of 16.3 per cent in 1996 – 3 per cent below the January 1994 peak (Figure 5, Panel C). As the increased enrolment in vocational education coincided with a rise in private sector recruitment of young workers, youth unemployment declined from 33½ per cent in 1994 to around 27½ per cent in 1996. By contrast, employment opportunities for older job seekers have continued to deteriorate. This has been reflected in a rise in the duration of unemployment spells – with currently one-third of unemployed workers having been in that position for over twelve months. Apparently, older unemployed workers have been most affected by the recession and the structural changes under way in the economy. Not only has this category of worker suffered from skill erosion during long periods of inactivity, but new technologies associated with rapid industrial restructuring have made it most vulnerable to skill mismatches.

The limited decline in unemployment from the 1994 peak is consistent with the historical relationship between the change in the unemployment rate and real GDP growth (Figure 5, Panel D). Predictions based on estimates of this relationship suggest that unless the employment content of economic growth is enhanced, it will take a long time to absorb the remaining unemployed.[4] Indeed, with the exception of high-skill technical and managerial professions, as well as occupations in construction – where vacancies have sharply increased in recent months – employment opportunities for most unemployed remain relatively weak (Figure 5, Panel C and Figure 6). Further reform of the labour market would therefore be needed to accelerate job creation (see Chapter III).

Low inflation supported by moderate wage developments

With unemployment still high, wage inflation has moderated, with the annual rate of wage increases falling from 4.7 per cent in 1995 to 3.9 per cent in 1996 (Table 4 and Figure 7, Panel A). This has been the result of the incomes policy agreement concluded in the fall of 1995 between the trade unions, the business association and the government. This agreement, which will remain in effect until January 1998, implied an initial pay rise of 2 per cent in November 1995, followed by a second one of 1¾ per cent in October 1996. As a result, the annual rise in negotiated wages, including wage increases carrying over from earlier pay settlements, reached 3.2 per cent in 1996. Moreover, a reduction in non-wage labour costs – including a cut in the employers' unem-

Table 4. **Wages, costs and prices**

Percentage changes

	1990	1991	1992	1993	1994	1995	1996
Unit labour costs	**9.5**	**7.8**	**–2.6**	**–5.3**	**–2.5**	**2.4**	**1.7**
Negotiated wages	5.5	4.0	0.9	0.0	0.7	3.6	3.2
Wage drift	3.7	2.4	1.0	0.8	1.3	1.1	0.7
Wage rate	9.2	6.4	1.9	0.8	2.0	4.7	3.9
Compensation rate	10.9	7.0	1.8	1.2	1.4	3.7	3.4
Consumer prices	**6.1**	**4.3**	**3.0**	**2.1**	**1.1**	**1.0**	**0.6**
id. by year end[1]	4.9	3.9	2.1	1.5	1.6	0.3	0.8
Contribution from:							
Labour cost and profit margins	2½	1½	–2	0	–½	½	–¼
Import prices	1	½	3½	2	½	0	½
Housing costs	¼	–¼	–½	–¾	½	0	–¼
Indirect taxes	1	2¼	1¼	¼	1	¾	½
Food prices	¼	0	0	0	0	–1¼	0

1. Rates of change from December to December.
Source: Ministry of Finance, Bank of Finland.

ployment insurance contributions – practically offset the historically low wage drift of 0.7 per cent, thus limiting the increase in the total labour cost per worker to 3.4 per cent. This has helped to contain the rise in unit labour costs to less than 2 per cent in 1996, despite a marked slowdown in labour productivity growth. As the incomes policy agreement envisages no pay increases for 1997, wage inflation should remain moderate this year.

Reflecting these developments, as well as the decline in the cost of mortgages, the consumer price index has remained practically stable, with the rate of change slightly decelerating from 1 per cent in 1995 to 0.6 per cent in 1996 – despite increases in petrol and tobacco excises and somewhat higher import prices due to the appreciation of the US dollar and the hike in international energy prices. Meanwhile, the impact of the substantial decline in food prices following Finland's accession to the European Union, which dominated inflation outcomes in 1995, has waned. With a drop in export prices in forestry and basic metal industries the terms of trade weakened, and the rate of change of the GDP deflator also turned out lower than in 1995 (Figure 7, Panel B).

Figure 7. **PRICE AND WAGE DEVELOPMENTS**

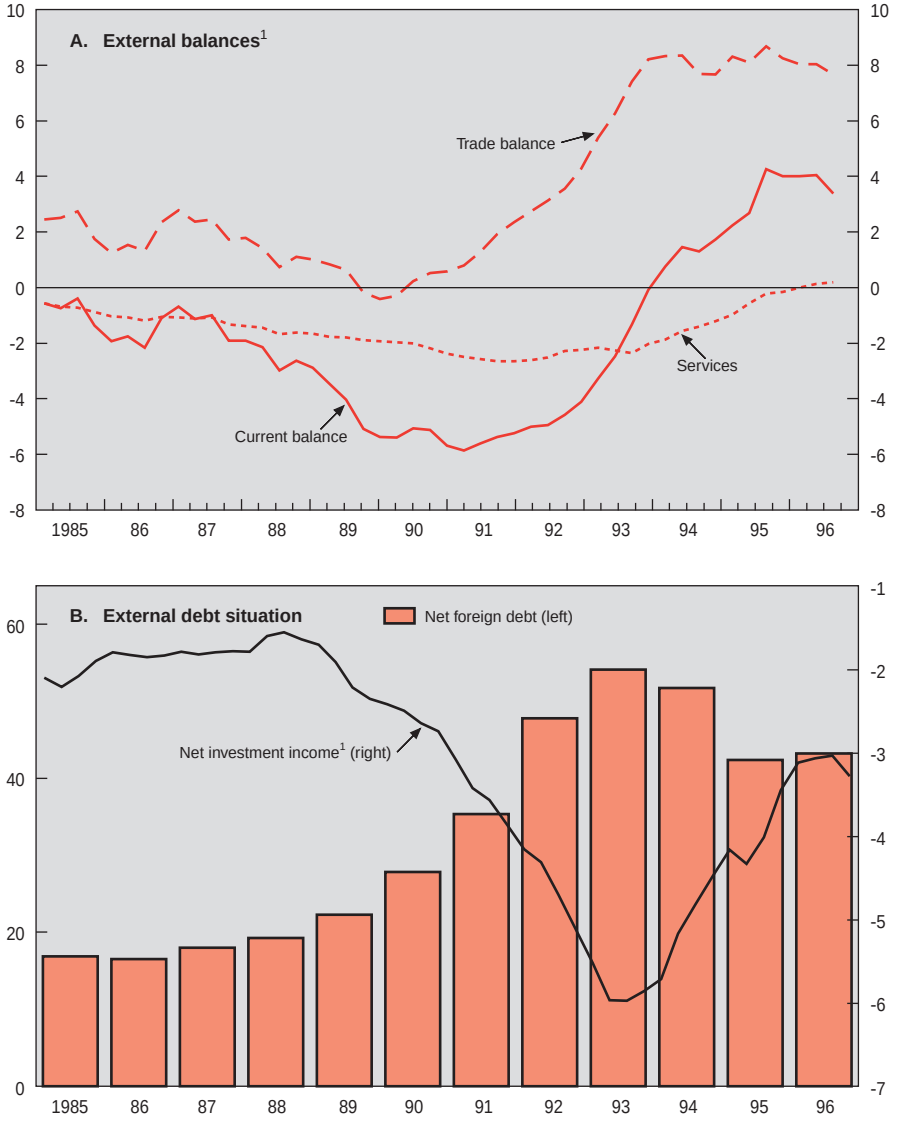
Per cent change over 4 quarters

1. Hourly earnings in manufacturing.

Source: OECD, *Quarterly National Acccounts, Main Economic Indicators.*

Figure 8. **THE EXTERNAL POSITION**

Per cent of GDP



1. 4 quarters moving average.

Source: Bank of Finland Bulletin; OECD Secretariat.

A strong external position

After five years of significant rises, the substantial trade surplus declined from 8¾ per cent of GDP in 1995 to 7¾ per cent in 1996, reflecting weaker international commodity markets and the associated declines in export prices of certain products noted above (Figure 8, Panel A). Moreover, with the services account moving into a small surplus and the deficit on the investment income account stabilising at 3¼ per cent of GDP, the current account surplus edged down from 4¼ per cent of GDP in 1995 to 3½ per cent in 1996. Despite the external surplus, net foreign liabilities remained broadly constant at around 43 per cent of GDP, as a surge in the market value of foreign-owned financial assets quoted on the Helsinki stock exchange offset the continued repayment of foreign currency loans by the private sector. Such foreign debt repayments, together with substantial direct investment of Finnish companies abroad, resulted in a deficit on the external capital account of around 6¼ per cent of GDP in 1996. Official reserves declined by Mk 14 billion, reaching Mk 36 billion (slightly over 7 per cent of GDP) by the end of 1996. However, substantial intervention in the foreign exchange market by the Bank of Finland, prompted by upward pressure on the value of the markka (see Chapter II), led to a virtual doubling of the official reserves to Mk 61 billion in January 1997.

Short-term outlook

Economic growth is projected to accelerate to over 4½ per cent in 1997 and taper off to 3½ per cent in 1998, with residential construction and private consumption being the main driving forces. The net growth contribution of foreign trade should nonetheless remain slightly positive, with the current account edging up in 1998, supported by a recovery in Europe and continued favourable cost competitiveness of Finnish producers. Employment growth is expected to accelerate to the 1½ to 2 per cent range, thus reducing the unemployment rate further, albeit slowly, from 15¼ per cent in the first quarter of 1997 to 13½ per cent on average in 1998. With still considerable slack in labour and domestically-oriented product markets (apart from construction), wage and price inflation are projected to remain moderate at close to 3 and 2 per cent, respectively.

Table 5. **Short-term projections**

Percentage changes, volume

	1993 current prices Mk billion	1994	1995	1996	1997	1998
Private consumption	275.3	1.9	3.7	3.3	3.9	2.9
Government consumption	112.2	–0.3	1.7	2.9	0.1	0.7
Gross fixed capital formation	71.2	0.2	8.5	5.5	13.1	8.1
of which:						
Public sector	12.8	1.6	–2.8	0.1	12.1	3.5
Business sector	40.7	2.3	18.9	10.7	8.7	4.9
Residential	17.7	–4.4	–3.4	–2.4	25.2	18.0
Final domestic demand	458.6	1.1	4.1	3.7	4.7	3.4
Stockbuilding [1]	–3.9	2.4	–0.1	–0.7	0.2	–0.0
Total domestic demand	454.8	3.8	3.8	2.8	4.9	3.4
Exports of goods and services	159.4	13.3	8.2	3.8	5.8	6.8
Imports of goods and services	133.5	12.8	6.9	4.5	6.5	6.6
Foreign balance [1]	26.0	1.0	0.9	0.1	0.2	0.5
GDP	482.4	4.5	4.5	3.3	4.6	3.6
Employment	2 040.7	–0.8	2.2	1.4	2.0	1.6
Unemployment rate	17.9	18.4	17.2	16.3	14.7	13.7
Household saving ratio [2]	5.2	0.4	2.8	1.3	1.6	1.7
Private consumption deflator		1.4	0.2	1.2	1.5	2.0
GDP deflator		1.3	2.2	1.0	0.3	2.5
Private sector wage rate		3.0	5.4	3.8	2.9	3.6
Current account [3]		1.3	4.3	3.5	2.9	3.4
Short-term interest rate (3-months)		5.4	5.8	3.6	3.1	3.2
Long-term interest rate (5-years)		8.4	7.9	6.0	4.8	5.0

1. Contribution to growth of GDP.
2. Households and non-profit institutions, per cent of disposable income.
3. Per cent of GDP.

Source: OECD Secretariat.

These projections, which are consistent with those published in *Economic Outlook No. 61* (June 1997) are based upon the following main assumptions:

– An acceleration of economic growth in the OECD area and sustained growth in non-OECD countries, leading Finnish export markets to expand by 7 per cent in 1997 and 7½ per cent in 1998.

- A reduction in income tax rates, rising public fixed investment and a decline in government subsidies, based on the 1997 Budget, together with a continued nominal freeze of State spending in 1998 in line with the current medium-term budget framework (see Chapter II).
- Short and long-term interest rates, as well as the exchange rate, remaining broadly stable at present levels.

Economic activity risks turning out more buoyant than currently projected. In particular, with rising migration to the urban areas, motivated by the more dynamic labour market developments in these areas, the demand for housing could rise faster than expected, possibly leading to supply shortages and price increases in the real estate sector. The associated wealth effects could thus tend to boost private consumption further, resulting in rising profit margins and sharper increases in labour demand than those implied by the projections. Although unemployment would still remain substantial, wage increases could therefore accelerate when the current incomes policy agreement expires in January 1998. Indeed, tightening labour market conditions in some industries (notably construction) could lead to higher wage claims, which might spill over to other sectors.

II. Macroeconomic policies

Overview

The strength of the economic recovery has benefited from the pursuit of a ‘‘tight fiscal-easy monetary’’ policy stance. Since its election in April 1995, the new government has intensified the budget consolidation process to secure a downward trend in the ratio of public debt to GDP, thereby converging towards the fiscal requirements of the Maastricht Treaty and preparing the ground for a possible participation of Finland in the European Monetary Union. At the same time, monetary conditions have been relaxed further, with short-term interest rates having declined to a level of 3.1 per cent in October 1996 and remaining at that level since. By keeping growth sustained and inflation low, such a strategy contributed to strengthening confidence in financial markets, as reflected in a continued decline in long-term interest rates and a significant appreciation of the markka to its 1992 pre-floating level. The Finnish authorities decided to link the currency to the European Exchange Rate Mechanism on 14 October 1996.

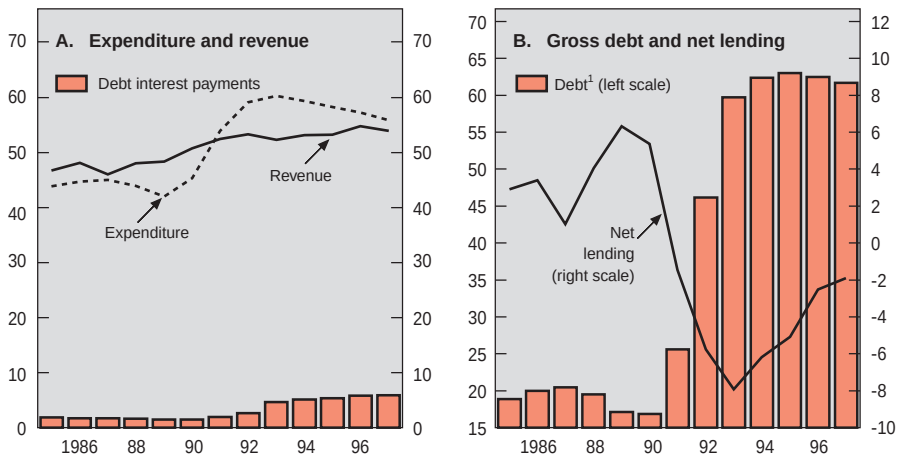
The maintenance of this strategy may become more demanding if, as noted in the previous chapter, the projected recovery generates bottlenecks in product and labour markets. Monetary authorities will, therefore, have to remain vigilant to the possible resurgence of inflationary pressures. Moreover, given the momentum of the economy, continued budget consolidation will be required in order to increase the fiscal room for manoeuvre when the economic cycle reverses. Against this background, the present chapter reviews the monetary and fiscal policy developments over the last twelve months or so.

The fiscal stance

Budget consolidation since the early 1990s

The management of public finances in Finland has been dominated by the need to contain the rising central government expenditure and debt associated with the massive surge in unemployment-related welfare expenditure that followed the deep slump in activity in the early 1990s (Figure 9, Table 6). When taking office in 1991, the previous government announced a range of expenditure cuts in the context of its medium-term budget framework, which, by the time they were fully implemented in 1995, resulted in Mk 34½ billion of budget savings – corresponding to 15 per cent of the initially-projected expenditure level and 6 per cent of GDP (Table 7). This orientation has been continued by the present government, which introduced additional austerity measures when entering office in the spring of 1995. These are expected to lead to further budget savings of Mk 23½ billion (around 10 per cent of projected expenditure and 4 per cent of

Figure 9. **PROGRESS IN FISCAL CONSOLIDATION**
General government, per cent of GDP



1. According to System of National Accounts (SNA) definitions. Public debt according to "Maastricht" defintions is around 1.5 per cent of GDP lower than the numbers shown here.

Source: OECD, *National Accounts;* Secretariat estimates.

Table 6. **Public finances in the 1990s**

Per cent of GDP

	1990	1991	1992	1993	1994	1995	1996	1997
Expenditure	**45.3**	**54.0**	**59.2**	**60.3**	**59.4**	**58.3**	**57.4**	**55.8**
Percentage volume change	7.2	7.2	4.0	0.9	2.5	3.1	1.9	–0.5
of which: Central government	3.4	13.0	4.1	4.4	1.8	4.8	–0.5	–3.7
Revenue	**50.7**	**52.5**	**53.3**	**52.3**	**53.2**	**53.2**	**54.8**	**54.5**
of which:								
Tax [1]	46.2	47.0	47.1	45.7	47.9	46.7	48.7	48.5
Other revenue [2]	4.5	5.5	6.2	6.6	5.3	6.5	6.1	5.6
Net lending	**5.4**	**–1.5**	**–5.9**	**–8.0**	**–6.2**	**–5.1**	**–2.6**	**–1.4**
of which:								
Central government	1.2	–4.5	–7.6	–11.2	–11.4	–9.9	–7.0	–4.9
Local government	0.9	–0.9	–0.8	0.4	1.3	0.7	0.6	0.1
Social security funds	4.1	3.9	2.6	2.8	3.8	4.0	3.7	3.5
Gross debt [3]	**14.5**	**23.0**	**41.5**	**57.3**	**59.5**	**58.8**	**58.7**	**59.3**
of which: Central government	10.5	17.1	34.7	53.0	60.2	65.8	69.5	71.5
Government bond yields 8-10 years	13.2	11.6	12.1	8.8	9.0	8.8	6.5	. .

1. Including social security contributions.
2. Property income and transfers received other than social security contributions.
3. EMU definition.

Source: *Bank of Finland Bulletin*, November 1996, Ministry of Finance and OECD Secretariat.

Table 7. **State expenditure cuts**

Mk billion per annum

	1991-1995	1996-1999	Total	*Total, per cent of 1996 GDP*
Consumption	6.2	1.8	8.0	*1.4*
Investment	1.4	–	1.4	*0.2*
Subsidies	2.7	4.4	7.1	*1.3*
Transfers to local government	11.4	7.6	19.0	*3.4*
Transfers to households	6.0	7.9	13.9	*2.5*
Other current transfers	2.7	1.6	4.3	*0.8*
Capital transfers	4.1	–	4.1	*0.7*
Total	**34.5**	**23.3**	**57.8**	***10.2***

Source: Ministry of Finance.

GDP) by 1999, roughly two-thirds of which have been implemented to date. such budget consolidation efforts have been facilitated by a change in budget legislation in 1992 allowing spending cuts on the basis of a simple rather than a constitutional parliamentary majority.

Despite these efforts, the volume of central government spending initially remained on an upward trend. Accordingly, the ratio of general government expenditure to GDP continued to climb from its pre-recession level of around 45 per cent to over 60 per cent by 1993 before slightly decreasing in 1994 and 1995 as the economy started to recover. Indeed, the previous government's austerity package could not prevent the increases in unemployment-related welfare expenditure and debt interest payments from accelerating, as these proved difficult to control in the short run. Moreover, the re-capitalisation of the banking industry contributed to raise the public debt level and the associated debt servicing cost. Finally, Finland's accession to the European Union in 1995 boosted central government expenditure by around 2 per cent of GDP, on the account of contributions to the EU budget and a temporary income support package for farmers who were affected by the adoption of the Common Agricultural Policy. With the scope for budgetary relief through tax increases being limited by the already high level of taxes in relation to GDP (around 46 per cent) the general government balances rapidly deteriorated – from a *surplus* of 5.4 per cent of GDP in 1990 to a *deficit* of 8 per cent in 1993. The resulting debt ''snowball'' was exacerbated by the revaluation of foreign-currency denominated debt associated with the depreciation of the markka and the high level of Finnish long-term interest rates prevailing at the time. The subsequent contraction of the general government deficit, to 5.1 per cent of GDP by 1995, was based on rising surpluses in the municipal and social insurance sectors, as well as a decline in the central government deficit. The latter remained high, however, at almost 10 per cent of GDP in 1995 only 1½ percentage point below its level in the 1993 trough. As a result, the ratio of central government debt to GDP continued to increase.

A turning point was reached when the new government introduced its austerity package in April 1995, which for the first time since the recession entailed an absolute decline in the volume of central government expenditure. Although the extent of fiscal consolidation proved to be less pronounced than initially projected – due to the slowdown in economic activity late in 1995 and to measures aimed at stimulating construction activity as part of the government's

October 1995 *Employment Programme*[5] (Chapter III) – the general government deficit is estimated to have declined to 2.6 per cent of GDP in 1996, a full 5½ percentage points less than its 1993 record (Table 8). Such a reduction has been achieved through the maintenance of the municipal and the social security funds' surpluses at around ½ and 3½ per cent of GDP, respectively, and a fall in the central government budget deficit to 7 per cent in 1996.[6] The Secretariat's fiscal indicators accordingly suggest a tight stance of budgetary policy in 1996, with the general government's cyclically-adjusted primary balance (*i.e.* net of the effects of automatic stabilisers and debt interest payments, corrected for the one-off impact of tax refunds) turning from a deficit of around 1 per cent of potential

Table 8. **Initial budget proposals and outcomes**

Mk billion, National Accounts basis

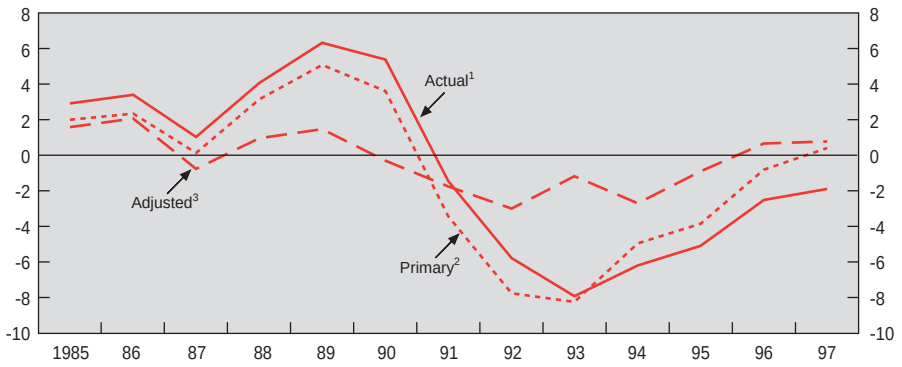
	1993	1994	1995	1996		1997	
	Outcome	Outcome	Outcome	Proposed[1]	Estimate[2]	Proposed[1]	Revised[2]
Central government							
Revenue[3]	129.2	128.6	144.6	154.9	151.7	160.5	160.0
Expenditure[3]	177.9	182.9	194.6	192.1	191.3	190.9	189.4
Balance[3]	–48.6	–54.3	–50.0	–37.2	–39.6	–30.4	–29.4
Per cent of GDP	*–11.2*	*–11.4*	*–9.9*	*–6.2*	*–7.0*	*–5.1*	*–4.9*
Local government							
Revenue	94.0	98.5	99.3	98.3	100.7	97.6	98.1
Expenditure	92.1	91.9	95.5	90.9	97.1	97.2	97.7
Balance	1.9	6.6	3.8	7.4	3.6	0.4	0.4
Per cent of GDP	*0.4*	*1.3*	*0.7*	*1.3*	*0.6*	*0.1*	*0.1*
Social security							
Revenue	122.1	136.1	138.7	142.4	139.6	140.6	139.3
Expenditure	108.5	116.9	119.1	118.6	118.4	119.0	118.6
Balance	13.6	19.2	19.6	23.8	21.2	21.6	20.7
Per cent of GDP	*2.8*	*3.8*	*4.0*	*4.2*	*3.7*	*3.6*	*3.5*
General government balance							
Per cent of GDP	*–8.0*	*–6.3*	*–5.1*	*–0.7*	*–2.6*	*–1.4*	*–1.4*
Underlying projections							
GDP growth, per cent	–1.2	4.5	4.5	4.5	3.2	3.9	4.6
Unemployment rate, per cent	17.9	18.4	17.2	14.5	16.3	15.4	14.9

1. September of the preceeding year.
2. May 1997.
3. Cash basis in 1993, 1994, 1995 and proposal for 1996.

Source: Ministry of Finance.

Figure 10. **GENERAL GOVERNMENT BALANCES**

Per cent of GDP



1. Net lending.
2. Net lending excluding net interest receipts.
3. Primary cyclically adjusted, corrected for tax refunds. Per cent of potential GDP.

Source: OECD Secretariat estimates.

GDP in 1995 into a surplus of the same order of magnitude in the following year (Figure 10). Together with the concomitant decline in long-term interest rates, this contributed to stabilising the general government gross public debt/GDP ratio at 58¾ per cent in 1996. The central government gross debt/GDP ratio nevertheless stayed on an upward trend, to reach 69½ per cent by the end of 1996 (Table 6).

The 1997 Budget

As the budgetary slippages in 1996 associated with the Employment Programme and the economic slowdown in late 1995 were expected to carry over into later years, additional expenditure cuts were deemed necessary.[7] Consequently, the 1997 budget proposal which was presented to Parliament in September 1996 included an offsetting reduction in central government spending of the order of 1 per cent of GDP, primarily in the areas of industrial subsidies, social security benefits, civil service salaries and grants to municipalities. With, moreover, interest expenditure levelling off in the wake of the decline in long-term interest rates and the ratio of State debt to GDP increasing less rapidly (Figure 9,

Panel A), central government spending was projected to remain broadly unchanged from its 1996 level of around Mk 190 billion, in line with earlier medium-term targets. At the same time, revenues of the central government were officially projected to increase by around 4 per cent, supported by the buoyant economic activity. The central government deficit was therefore expected to decline further to 5.1 per cent in 1997. With local authorities and social security broadly maintaining their surpluses, the 1997 budget foreshadowed a halving of the general government deficit to 1.4 per cent of GDP.

According to the most recent budgetary indicators, the deficit target for 1997 is likely to be achieved, although this masks a slightly different appraisal of the underlying developments at the various government levels. Indeed, at 4.9 per cent of GDP, the central government deficit is currently expected to turn out 0.2 percentage points better than in the budget proposal. This is offset, however, by a somewhat smaller social security surplus than initially projected, despite an acceleration in economic growth and a reduction in unemployment larger than foreseen last year. This would imply a broadly neutral stance of fiscal policy in 1997, with the cyclically-adjusted primary balance showing a surplus of around 1 per cent of potential GDP for the second consecutive year.

A medium term perspective

Official projections suggest that public finances are set to continue improving in the medium term, with the general government net lending returning to a surplus of around 2½ per cent of GDP by the year 2001.[8] Nevertheless, a number of challenges remain. *First*, while the tax ratio to GDP has been hardly affected by the slump in the early 1990s, its level is still very high by international standards. As a result, the tax *wedge* – *i.e.* the difference between pre- and after-tax wage earnings per worker – has substantially widened given the massive labour shake-out and the associated narrowing of the tax base. This has also been reflected in the sharp increase in social security contributions, from 27½ per cent of the wage bill in 1990 to 38 per cent in 1995. As discussed in more detail in Chapter III, there is thus ample scope for reductions in payroll taxes to support employment, although these would need to be financed by additional expenditure cuts in order to preserve the fiscal consolidation achieved so far.

Second, even if the extent of the swings in economic activity in the recent past resulted from a unique combination of exceptional circumstances which is

unlikely to be repeated in the foreseeable future, it is still essential for Finland to be in a position to rely on built-in fiscal stabilisers in the years ahead, especially in a context of increasingly reduced autonomy for monetary policy. This suggests a need for continued progress in reducing government debt and deficits, particularly at the central level, and, in turn, the adoption of even more ambitious fiscal consolidation objectives in this regard in the current economic upswing.

Finally, continued reforms of the Finnish occupational pension system are necessary to relieve pressure on public finances emerging from the ageing population (see Chapter IV). Paradoxically, such reforms may complicate further progress in containing public debt, in particular if the Finnish occupational pension funds decided to reduce significantly their holdings of domestic State bonds for portfolio diversification reasons in order to achieve a higher rate of return. European accounting rules – established for evaluating public debt in terms of the EMU criteria – currently exclude State bonds held by social insurance funds from general government (consolidated) gross debt, which in Finland represent on average nearly 40 per cent of the funds' portfolios and over 15 per cent of GDP. Therefore, if such bond holdings declined, a greater share of the total outstanding State bonds would be included in general government (consolidated) gross debt, which would increase as a result.

Monetary management

The policy formulation

On 14 October 1996, Finland joined the EU's Exchange Rate Mechanism (ERM) as a prerequisite to full participation in the third and final stage of Economic and Monetary Union (EMU) on 1 January 1999, which will imply irrevocably fixed exchange rates. Following negotiations with other ERM members, the markka entered the mechanism at a central parity slightly below its existing market value. While the ERM allows currencies to fluctuate within a 15 per cent band above and below the central parity, the Bank of Finland is likely to observe a narrower margin, although it has made no official announcements to this effect.

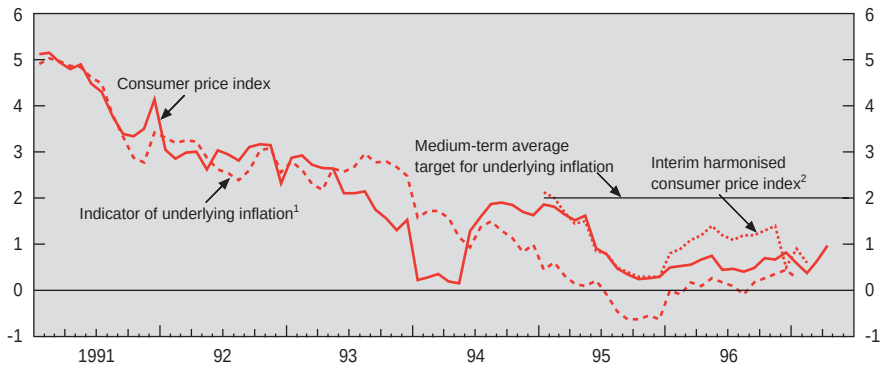
As part of the institutional reforms associated with ERM participation, a proposal for a new Act on the Bank of Finland has recently been presented to

Parliament with the objective of aligning Finnish central banking legislation with Maastricht requirements. The new act emphasises the independent status of the central bank, prohibiting it from taking instructions from (but not excluding co-operation with) the Council of State and other official bodies. According to the new act, the primary commitment of the bank is to ‘‘safeguard the value of money’’, which implies that price stability remains the ultimate objective of monetary policy. The Bank of Finland has accordingly maintained its official target of 2 per cent underlying inflation (referring to the consumer price index adjusted for changes in indirect taxes, subsidies and capital costs of owner-occupied dwellings) which took effect in 1995.

In fact, the official inflation target has been largely undershot to date, with the rate of change of the relevant price measure having been negative in the second half of 1995, and not exceeding ½ per cent since (Figure 11). Meanwhile, ‘‘headline’’ inflation – as measured by the consumer price index (CPI) – has been below 1 per cent since early 1995, the difference with the underlying inflation rate being due to the reduction in agricultural subsidies following Finland’s accession to the EU on 1 January 1995 and the recent pickup in

Figure 11. **INFLATION PERFORMANCE**

Per cent change over 12 months



1. Consumer price index, net of indirect taxes and subsidies, adjusted for housing capital costs..
2. Inflation measure introduced by the European Union to improve international compatitbility between national consumer price indices, using 1990-based weighting schemes.

Source: Statistics Finland; OECD, *Main Economic Indicators.*

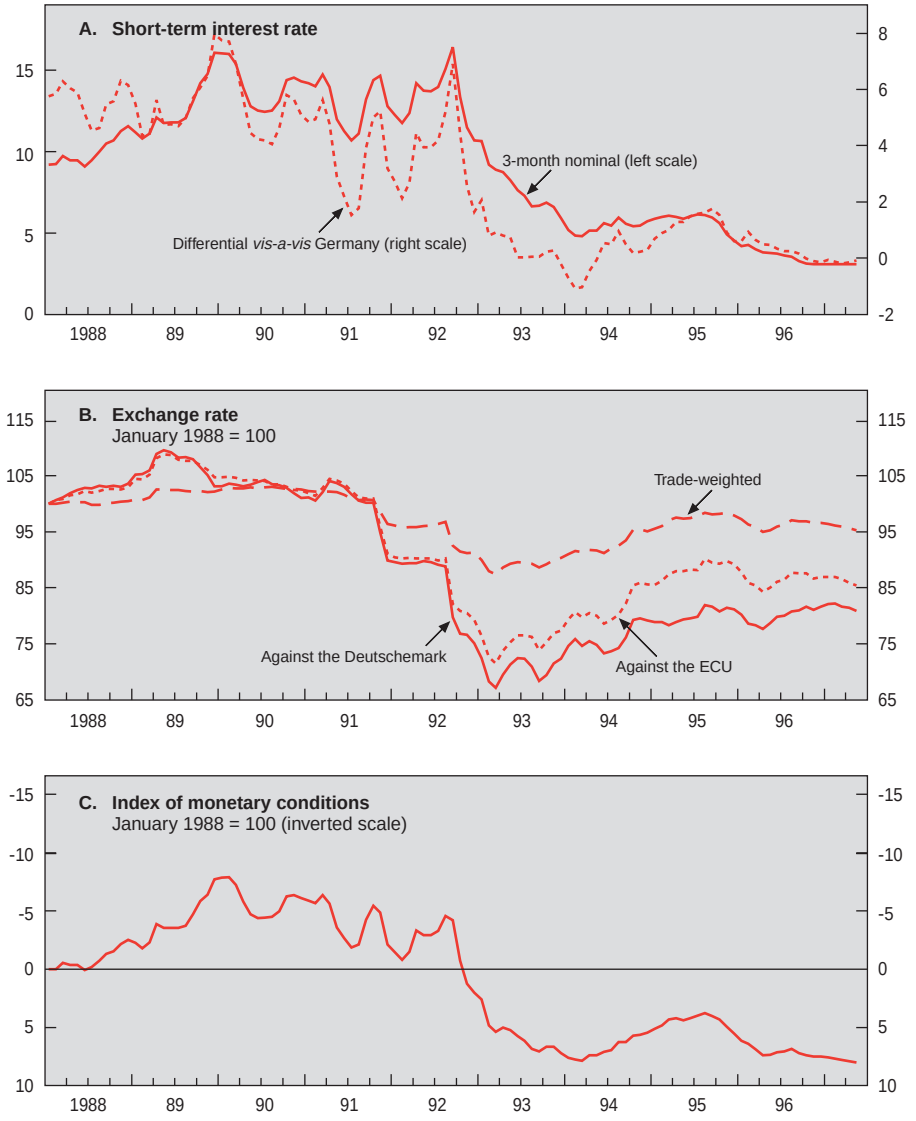
housing prices. As a result, inflation in Finland has remained well below the EU-area average of slightly over 2 per cent as gauged by the EU's interim harmonised CPI. This has provided ample room for the authorities to maintain an easy monetary stance, as explained below.

Exchange and interest rate developments

The slight weakening of the markka exchange rate after the downturn in the international forestry market in late 1995 has been gradually reversed from March 1996 (Figure 12, Panel B), supported by substantial foreign capital inflows associated with direct and portfolio investments. Initially there was no need for the central bank to engage in significant spot market interventions, as foreign currency debt redemptions by the central government served to alleviate upward pressure on the exchange rate (Figure 13, Panel A). Nor was the entry of the markka into the ERM accompanied by further speculative pressure on the currency. In January 1997, in contrast, capital inflows surged, based on expectations that the exchange rate would appreciate. As the Bank of Finland intervened in the foreign exchange market, the official exchange reserves soared from Mk 36.4 billion at the end of 1996 to Mk 61 billion by mid-February (Figure 13, Panel B). As in Norway, the monetary authorities then decided to stop their interventions in the exchange rate market. Subsequently, the value of the markka stabilised against the Deutschemark as financial markets became more uncertain about the implicit fluctuation band targeted by the Bank of Finland. The markka nonetheless currently remains one of the strongest currencies in the ERM grid and, as measured in trade-weighted terms, has largely returned to its 1992 pre-floating level – despite some weakening associated with the recent rebound of the US dollar.

The strength of the markka has allowed the Bank of Finland to relax monetary policy considerably since March 1996, with the official tender rate having been cut in several steps by an accumulated 175 basis points up to October. As no further changes have been made since then, the market-based three-month Helibor rate, after having declined from its February 1996 peak of 4.3 per cent, stabilised at 3.1 per cent from October (Figure 12, Panel A). Consequently, the short term differential with Germany has fallen from around 80 basis points at the beginning of 1996 to turn slightly negative since the end of the year. Overall monetary conditions in Finland, as gauged by the index shown

Figure 12. **MOVEMENTS IN SHORT-TERM INTEREST RATES AND IN EXCHANGE RATES**



1. Index constructed by the Bank of Finland using a weighted average of changes in the 3-month money market rate (0.70) and the effective exchange rate (0.30).

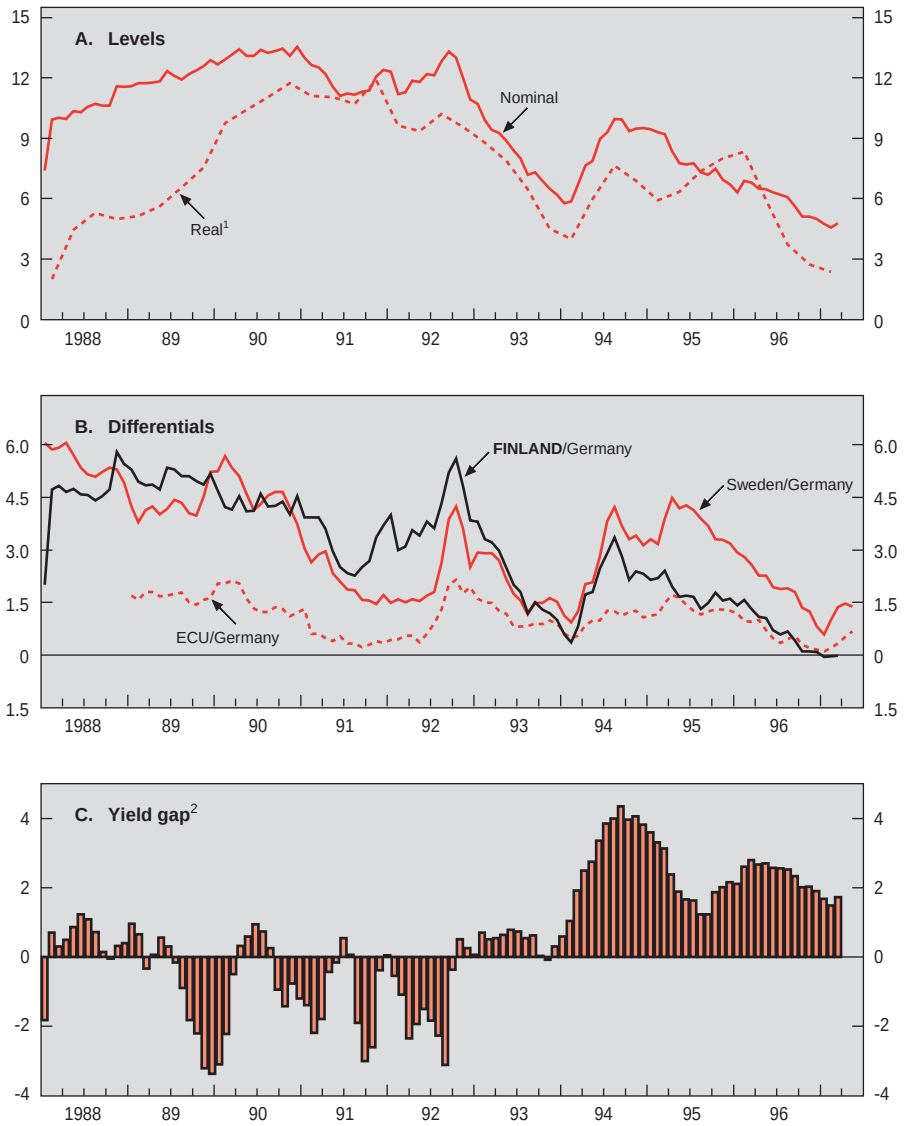
Source: Bank of Finland; OECD, *Main Economic Indicators.*

Figure 13. **CENTRAL BANK INTERVENTIONS AND FOREIGN EXCHANGE RESERVES**

Billion markkaa

Source: Bank of Finland Bulletin.

Figure 14. **LONG-TERM INTEREST RATE DEVELOPMENTS**



1. 5-year bond yield less the expected rate of inflation, the latter being measured by the percentage change on the GDP deflator over the 4 quarters following each observation.
2. 5-year Government bond minus 3-month money market rate.

Source: Bank of Finland Bulletin; OECD, Main Economic Indicators.

in Figure 12, Panel C, have therefore become easier in the past year and a half despite the appreciation of the markka, and are currently on a par with those prevailing after the substantial depreciation of the exchange rate in late 1993.

At the same time, with no apparent inflation pressure following the implementation of the new government's fiscal austerity programme announced in April 1995, a sharp reduction in Finnish long term interest rates occurred, with the ten year bond rate declining further from its March 1995 peak of 10.2 per cent, reaching 5.9 per cent by February 1997. As a result, the differential against equivalent German interest rates narrowed from around 290 basis points to under 40 basis points over the same period (Figure 14, Panels A and B). In real terms, the decline in long term interest rates has also been pronounced, which together with the still upward sloped yield curve, should be conducive to fostering domestic demand growth (Figure 14, Panel C).

Money and credit growth

The significant expansion of broad money supply (M2) in 1995 was reversed in 1996, based on the progressive conversion of tax-exempt time deposits into cheque and transactions accounts and mutual funds, after the possibility to open such tax-exempt deposits was discontinued at the beginning of the year (Table 9). As a counterpart, the narrow money supply indicator M1 (cash plus sight deposits) kept expanding at a two-digit rate.[9] With only a limited increase in certificates of deposit (CDs) held by the public, the broader money aggregate M3 (including CDs) declined in line with M2 in 1996, although both aggregates

Table 9. **Money growth**

Percentage changes

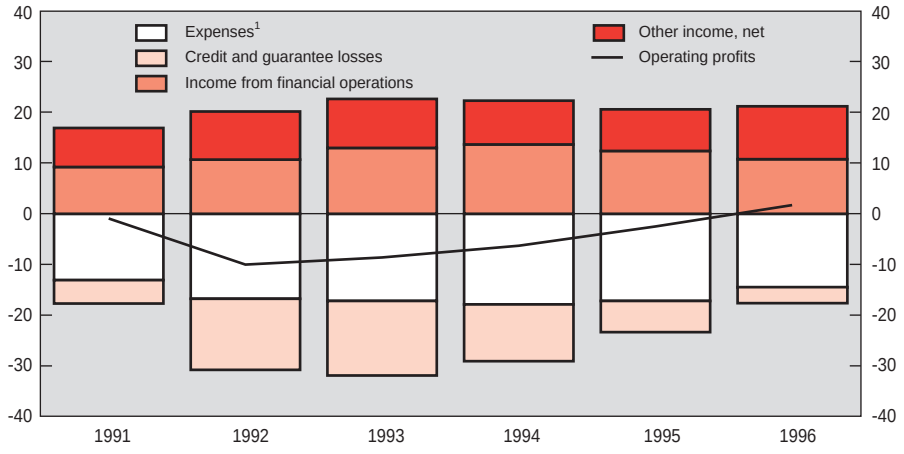
	1990	1991	1992	1993	1994	1995	1996	1997[1]
M1	13.9	–7.7	3.2	5.1	8.9	14.0	16.4	15.0
M2	5.9	3.3	–0.4	2.0	2.5	6.0	–2.1	2.1
M3	6.8	6.8	–0.1	3.8	1.9	0.4	–1.3	0.9
Contributions to M2 growth								
Foreign assets, net	–9.5	–1.4	6.7	15.4	13.9	4.4	3.5	. .
Domestic credit	17.9	11.1	–8.8	–12.6	–12.1	0.5	–4.4	. .
Other items net	–2.5	–6.4	1.7	–0.8	0.7	1.1	–0.3	. .

1. Growth from March 1996 to March 1997.
Source: Bank of Finland.

edged up in the first quarter of 1997 as bank lending picked up. Nonetheless, domestic liquidity appears to be lagging the expansion of nominal GDP.

These developments should not be taken as an indication that liquidity conditions are currently acting as a brake on overall economic activity. Indeed, the potential for bank credit growth appears quite large as banks' balance sheets continued to recover in 1996, with banks reporting net operating profits for the first time since the unwinding of the financial crisis in the early 1990s – although this reflected in part the exceptionally favourable conditions on the securities market (Figure 15). The sluggish evolution of bank lending appears to be due mainly to weaker credit demand by the corporate sector, where the progressive increase in the cash-flow of companies and the completion of debt redemption have reduced the need for external financing. The weak credit market conditions have led to a further narrowing of lending margins in 1996, although more intense competition from foreign banks also played a role (Figure 16, Panel B). Bank credit, nonetheless, started to recover in late-1996, based on rising demand for housing loans following the sharp recovery in the residential real estate

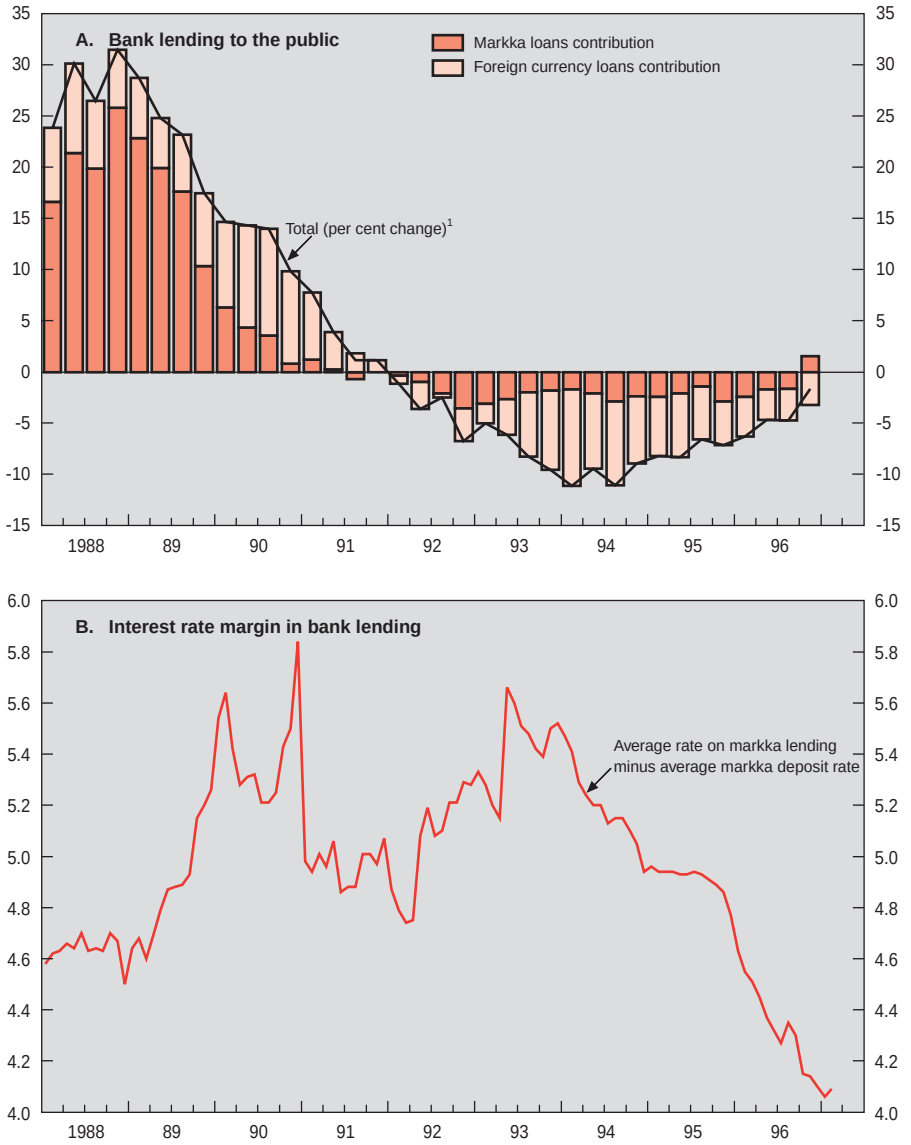
Figure 15. **PROFITABILITY OF DEPOSIT BANKS**
Billion markkaa



1. Including depreciation.
Source: Bank of Finland.

Figure 16. **INDICATORS OF CREDIT BEHAVIOUR**

Per cent



1. Over corresponding quarter of previous year.

Source: Bank of Finland.

market (Figure 16, Panel A). Such a development is being supported by the low interest rate levels, rising household earnings and strongly-reduced corporate and household indebtedness.

Assessment

While the monetary authorities have so far succeeded in containing the upward pressure on the currency without having to cut interest rates, a conflict could emerge between the objectives of price and exchange rate stability in the run-up to EMU. Indeed, although central bank intervention in the foreign exchange market may help keep the markka stable, such action risks unduly boosting liquidity in the economy at a time when the more broadly-based recovery appears to be starting to generate bottlenecks in product and labour markets. This could result in the resurgence of inflationary tensions. Therefore, the monetary authorities need to remain vigilant to such a possible development and stand ready to raise interest rates even if that implies some appreciation of the currency. At the same time, in order to ease upward pressure on the exchange rate, the authorities could speed up the refinancing of foreign-currency denominated public debt by the central government. They could also widen the scope for capital outflows by encouraging the country's sizeable pension funds to invest abroad to a greater extent (Chapter IV).

Continued budget consolidation could help relieve pressure on monetary policy by contributing to containing demand pressures and to preventing an acceleration of inflation. Fiscal restraint would also be justified, in the present upswing, to provide room for using fiscal policy for stabilisation purposes in future cyclical downturns as well as to create scope for reducing the excessive tax burden. Moreover, from a longer-term point of view, continued fiscal consolidation would help relieve the pressure on public finances emerging from ageing population. More generally, structural reform of labour, product and financial markets could facilitate the task of monetary and fiscal authorities, by enhancing the ability of the Finnish economy to absorb external shocks and heightening the potential for further economic growth at low inflation. This is discussed in the next chapter.

III. Structural initiatives

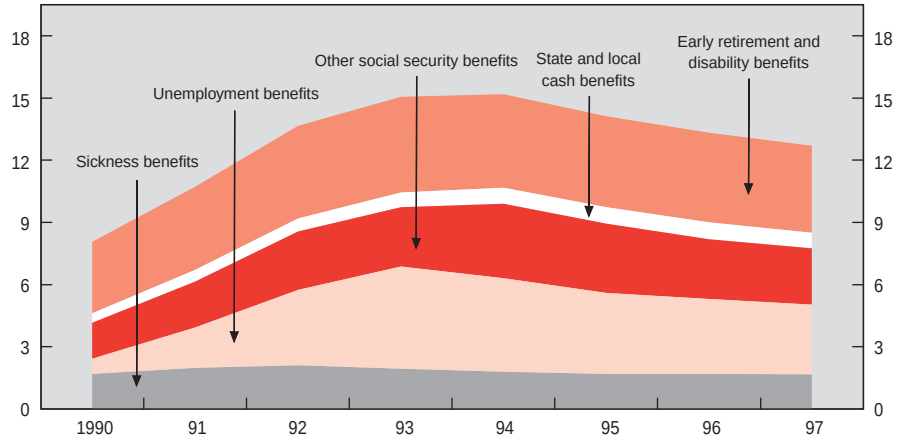
The pace of structural change has accelerated markedly in Finland since the beginning of the 1990s, spurred, on the one hand, by the series of shocks having affected the economy (international recession, collapse of trade with the former Soviet Union, banking crisis) and, on the other hand, the country's participation in international agreements such as the Uruguay Round and the European Economic Area (EEA).[10] As a result, the economy has become more open to international competition, with the need for Finnish suppliers to adjust to the ''global market'' environment. The accession of Finland to the European Union in 1995 reinforced this trend, making the necessity for reforms even stronger to increase the ability of the economy to respond to future challenges. This chapter offers an overview of the structural initiatives taken over the last twelve months or so, focusing on the labour and product markets, as well as the financial sector. It then discusses recent changes in environmental policies, an important feature of which has been the shift from ''command and control'' regulations to market-based instruments. This discussion draws from the *OECD Environmental Performance Review of Finland* which took place in June 1997.[11]

Labour market

As discussed in detail in the previous OECD *Economic Survey*, the employment level in Finland fell dramatically with the onset of the economic crisis in the early 1990s, resulting in a sharp rise in unemployment and associated government transfers to the working age population (Figure 17). The downward trend in these transfers from a peak of over 15 per cent of GDP since the recession bottomed out in 1993, has been based primarily on the gradual decline in ''open'' unemployment (*i.e.* unemployment excluding participants in active labour-market

Figure 17. **TRANSFERS TO WORKING AGE POPULATION**

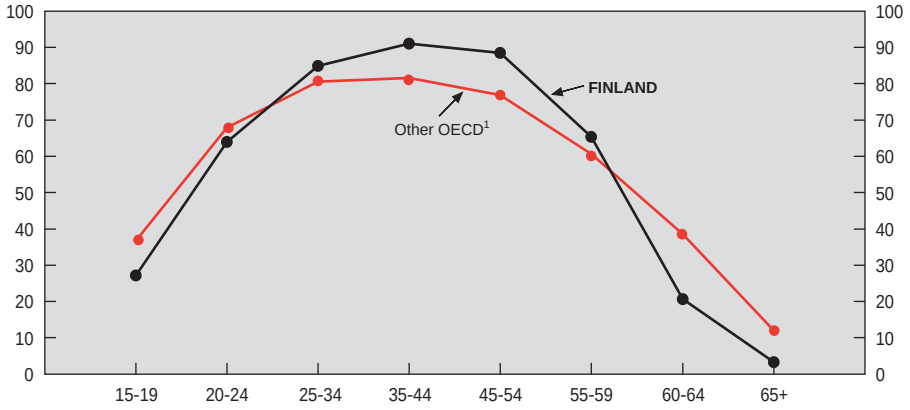
As a percentage of GDP



Source: Ministry of Finance.

Figure 18. **LABOUR FORCE PARTICIPATION BY AGE GROUP**

Per cent of working age population, 1995



1. Unweighted average of OECD countries for which comparable data are available: Australia, France, Japan, Mexico, Netherlands, Norway, Spain, Sweden, Turkey, United Kingdom and United States.

Source: OECD, DEELSA Database.

programmes). Other social benefits have, however, remained substantial, as older workers tend to exit active work-life well before the legal retirement age of 65, to enter disability and early retirement schemes, while young people have been increasingly enrolled into public training programmes (see Chapter I). Labour force participation rates have fallen accordingly for both older and younger workers and are currently well below the OECD average for these groups (Figure 18).

There is growing evidence that low-skilled prime-aged unemployed workers experience little financial incentive to seek employment, with the net (after-tax) replacement rate of Unemployment Insurance (UI) benefits, including supplements for housing and childcare, frequently exceeding 100 per cent.[12] In fact, this may even overstate the incentive to accept paid work. When the value to the family of household work and leisure is included, the ''real'' net replacement rate has been found to jump to over 250 per cent.[13] Despite recent reforms, therefore, the UI system still lacks sufficient incentives for benefit recipients to seek or accept work offers. By contrast, younger workers, who typically have limited entitlements to unemployment compensation, find jobs more easily.[14]

In September 1995, the Finnish Government released an ambitious *Employment Programme* with the aim of halving unemployment by the year 1999, to 230 000 persons, or 8 to 9 per cent of the labour force. The strategy aims at boosting the capacity of the economy to generate output and employment in the medium term by securing low inflation and interest rates, and by pursuing significant structural reforms in the labour market. The four main components of the Employment Programme, all of which were implemented by early 1997, embodied: *i)* a strengthening of active labour market policies by raising the number of participants to 5 per cent of the labour force (from around 4 per cent in 1995); *ii)* an easing of labour taxation, *iii)* increased flexibility of employment contracts and working time, and i*v)* a promotion of entrepreneurship.[15] Related proposals focused on reducing long-term unemployment of older workers and youth unemployment, as well as the promotion of gender equality in the workplace. Additionally, incentives for the deferral of early retirement were introduced in the framework of a comprehensive reform of the pension system (see Chapter IV). The structural measures taken are broadly consistent with recommendations made in the chapter of last year's Survey on *Implementing the OECD Jobs Strategy,* although there is ample scope for additional initiatives to improve

the conditions for a better functioning of the labour market (Table 10).[16] In particular, no measures have been enacted to increase the flexibility of wages and labour cost, and further reforms could be made to unemployment and related benefits.

One of the main problems that have been addressed by the Employment Programme is the practice of UI recipients requalifying for a full benefit through participation in subsidised job programmes. With the new rules that took effect in January 1997, UI participants are now required to work for a full ten months before requalifying. As this requirement can not be fulfilled through subsidised jobs – which usually do not last beyond six months – UI participants need either to find employment in the open market, or, as is more frequently the case, be admitted to another public programme for at least an additional four months before being granted an UI benefit. Moreover, the new rules stipulate that the benefit level at which UI participants requalify will be based on the compensation received during the ten month period in subsidised or temporary work rather than on the pre-unemployment earnings. The decline in the benefit level is, however, limited to 20 per cent from one benefit period to the next (Figure 19, Panel A). The overall effect of this reform has, therefore, been to slowly phase down UI benefits over time. It should be noted that once the UI benefit entitlement is exhausted, means-tested welfare benefits will be provided by local authorities in order to ensure the minimum ‘‘social income norm’’.

While the Employment Programme aims at reversing the trend of older workers moving into early retirement, in particular through the disability and unemployment pension schemes (the latter applying to long-term elderly unemployed who have been exempted from job search requirements), most measures to this effect were associated with the wide ranging reform of the public pension system (Chapter IV). Specifically, old-age pension entitlements for people between 50 and 65 years entering these schemes have been reduced, while they have been increased for persons over 60 in regular employment. At the same time, the entry age for early retirement has been raised by two years, to 55, while that for the part-time early retirement has been reduced to 55. These changes should widen the scope for older workers to design flexible working arrangements suited to their needs, rather than becoming wholly inactive. Finally, in order to stimulate more older unemployed workers to seek employment, the

Table 10. **Implementing the OECD Jobs Strategy – an overview**

Proposal	Action	Assessment/Recommendation
I. Reform unemployment and related benefits		
a) End use of subsidised jobs for UI benefit re-qualification.	*a)* Constrains on benefit renewal through ALMPs.	UI benefit reform is in right direction, but further reform is needed. The practice of municipalities granting subsidised jobs for UI requalification purposes to reduce local welfare costs and open unemployment should be curtailed. Stronger enforcement of job search requirements and more frequent contact of job-seekers with PES.
b) Shorten maximum UI benefit duration.	*b)* No action.	
c) Reduce benefit levels over time.	*c)* UI replacement rate decline with unemployment spell.	
d) Enforce and tighten UI eligibility criteria.	*d)* No action.	
e) Extend UI waiting period.	*e)* No action.	
II. Increase working time flexibility		
a) Reduce early withdrawal from labour force.	*a)* Incentives raised for the deferral of early retirement as part of far-reaching pension reform package.	Measures are to be welcomed, although there is scope for an even closer link between the earnings history and pension entitlements in order to strengthen work incentives. Moreover, further easing of job protection legislation is needed.
b) Reform employment protection legislation, for *e.g.* fixed-term contracts and part-time employment.	*b)* Store opening hours partially liberalised. Part-time supplement scheme allowing partial use of unemployment pension made permanent. Employer (employee) notification period halved to 1 month (2 weeks).	
III. Increase wage and labour cost flexibility		
a) Abolish administrative extension of negotiated wage settlements, including non-wage aspects.	*a)* No action.	Reform existing wage formation arrangements in order to enhance employability of low-skilled workers, in particular in private services.
b) Adopt a low universal minimum wage.	*b)* No action.	
c) Government to disengage from wage formation process.	*c)* No action.	

Table 10. **Implementing the OECD Jobs Strategy – an overview** *(cont.)*

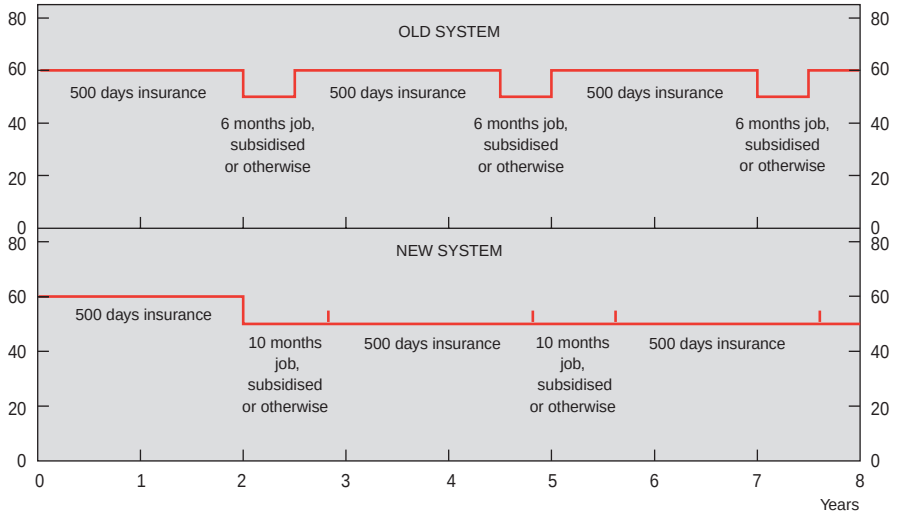
Proposal	Action	Assessment/Recommendation
IV. Enhance product market competition		
a) Continue privatisation of state-owned enterprises.	*a)* Limited action.	Complete the privatisation of partially privatised state enterprises.
b) Liberalise professional services, *e.g.* prices and entry.	*b)* No recent action.	
c) Reduce income tax rates on low-income workers.	*c)* Proposals in preparation.	
d) Remove obstacles for the development of SMEs.	*d)* Introduction of one-stop-shopping facilities for handling of administrative formalities.	
V. Improve labour force skills and competencies		
a) Promote industry-education cooperation for apprenticeship training.	*a)* Increased enrolment in labour market training schemes. Proposal under preparation to improve job brokerage of PES.	Target training programmes on emerging mismatches.
b) Bolster career planning in secondary schools and above.	*b)* No action.	

Source: OECD.

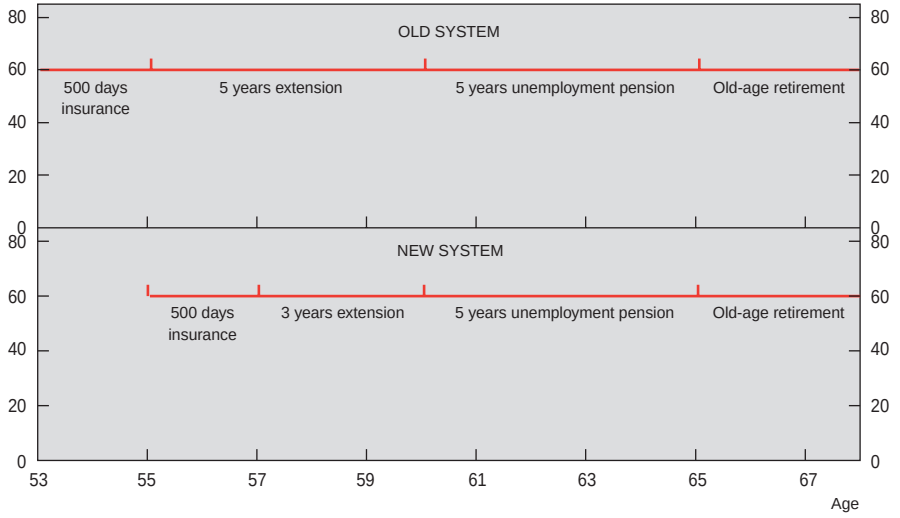
Figure 19. **REFORMS OF BENEFIT ENTITLEMENTS BY DURATION OF UNEMPLOYMENT**

Replacement rates in per cent of previous earnings

A. Benefits renewal through participation in job programmes



B. Transition from unemployment insurance to retirement



Source: Ministry of Finance.

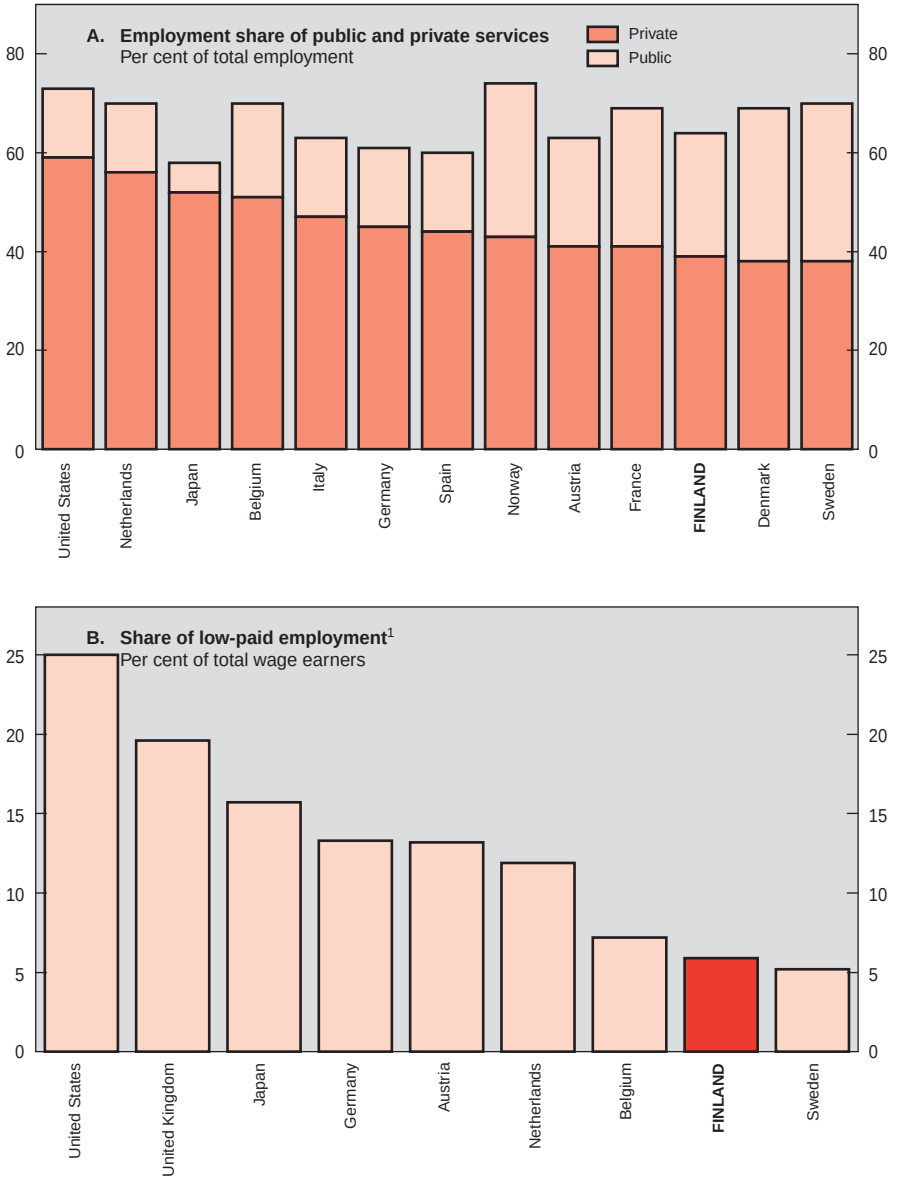
automatic extension of UI benefits for those over 55 has been reduced from five years to three (Figure 19, Panel B).

The Employment Programme included several measures to improve the prospects for part-time and flexible employment contracts, affecting primarily younger workers. In this context, the Hours of Work Act has been changed, to allow longer store opening hours some days of the week, and the possibility for stores to remain open during a limited number of weekends. Moreover, notice periods for employers and employees have been halved, to one month and two weeks, respectively.

By contrast, limited attention has been paid to introducing relative wage flexibility into the central wage bargaining framework (covering about 90 per cent of all workers). The expiration of the current wage agreement in early 1998 should offer an opportunity to do so by encouraging social partners to broaden the scope for adjustments in relative wages in line with sectoral, occupational and regional productivity developments. With the ongoing revival of domestic demand conditions, such action would stimulate employment creation in sectors suited for flexible and part-time work arrangements, in particular private services. As shown in Figure 20, both private services and low-skill jobs in Finland are relatively scarce compared with other OECD countries. While this may in part reflect the impact of past rigidities concerning working time regulations, a decline in relative wages of low-skill workers could help to bring about more rapid employment creation in the private services sector. An easing of employment protection legislation would also contribute to raise the number of job openings in these activities.

The above considerations prompted the Economic Council (a high-level forum chaired by the Prime Minister) to appoint a working group in 1996, to prepare a reform proposal to improve conditions for employment creation in Finland. The main focus of the working group has been to explore ways to reduce taxes on low labour incomes, which remain at the high end among OECD countries. Indeed, the average income tax rate for a family with average production worker (APW) earnings and the average employer's social security contribution add up to one of the highest tax wedges in the OECD area, as well as one of the highest marginal tax rates (Table 11). The report of the working group concluded that an increase in the existing municipal earned income tax credit would be most effective, while, at the same time, the State's income taxation

Figure 20. **SERVICES AND LOW-SKILLED JOBS**



1. Those earning less than $^2/_3$ of average wage.
Source: European union; OECD Secretariat.

Table 11. **Non-wage labour costs and the tax wedge**[1]

1996

	Average income tax rate[1]	Marginal income tax rate[1]	Employers' social security contribution rate	Tax wedge[2]
Denmark	38.8	48.4	1.2	1.65
Netherlands	36.3	50.6	9.5	1.72
FINLAND	**34.6**	**49.8**	**25.8**	**1.92**
Sweden	32.0	33.5	33.7	1.97
Belgium	30.8	55.7	34.0	1.94
Germany	29.2	49.8	20.3	1.70
France	24.8	28.9	40.1	1.86
Italy	24.3	43.6	47.5	1.95
Austria	23.4	40.8	30.3	1.70
Great Britain	21.2	34.0	10.2	1.40
Spain	8.8	28.2	30.8	1.61

1. Average wage-earner family.
2. Tax wedge = (1 + social security contributions)/(1 – income tax).

Source: Economic Council of Finland and OECD.

scales should be reduced to avoid an increase in marginal tax rates at median incomes. About half of this tax reduction would be financed by raising taxes on property and energy and some additional cuts to public spending, while the remainder is assumed to be ''self-financing'', in terms of a tax dividend from additional employment and falls in social welfare outlays.

The working group stressed that it was necessary for the 1998 wage negotiations to take these tax changes into account and approve a reduction in starting salaries to encourage faster employment creation at lower skill levels. Such measures could usefully complement current efforts – prompted by the Employment Programme – to raise workers' qualifications through labour market training policies and increased job-broking activity by the Public Employment Service (PES). While the above proposal represents an important step in the direction of lowering wage costs of young and low-skilled workers, its financing would need to be settled at the same time. Moreover, there is evidence that in-work benefits, like an earned income tax credit, are only effective if wage dispersion is sufficiently wide and incentive problems in the benefit system are reduced.[17]

In late 1996, the Ministry of Labour appointed a special task force to make proposals (by 31 May 1997) aimed at improving labour market policies, with considerable weight placed on investigating possibilities for further shifting the emphasis of such policies from a ‘‘passive’’ to an ‘‘active’’ stance. In particular, the reforms being considered include: *i*) making the PES more focused on assisting long-term unemployed persons in finding employment through more job-search training; *ii*) realigning skills of unemployed workers with labour demand in the private sector; *iii)* increasing the scope for closer interaction of the PES with the private sector by initiating on-the-job training; *iv)* encouraging flexible working-time arrangements; *v*) reducing the overall cost of the system by redesigning or replacing costly programmes; and *vi)* increasing the transparency of labour-market policies. Such a reorientation of labour market policies is to be welcomed, but its effects will need to be closely monitored. Moreover, the widespread practice of granting subsidised jobs by municipalities (representing over half of all such jobs) – in order to reduce local welfare outlays and limit open unemployment – needs to be curtailed to encourage unemployed persons to seek employment in the private sector. Accordingly, greater emphasis should be placed on labour-market training, which should also be oriented away from the classroom towards the workplace. In addition, sanctions for not complying with labour market regulations concerning job search or availability for work need to be increased and enforced more tightly. To this end, more frequent check-ins at the local public employment service should be made mandatory for unemployment benefit recipients.

The OECD *Jobs Study* underlined how job creation can be enhanced through wide-ranging adjustments in labour market institutions and policies. In particular, it emphasised that allowing market forces to operate to a greater extent in such areas as wage formation and working-time arrangements, while making corresponding adjustments in labour taxation, the social transfer system and active labour market programmes, is most effective in reducing unemployment on a sustainable basis. While the above reforms represent moves in that direction, they have not yet fully addressed the need for a more flexible wage structure, which is necessary to facilitate the re-entry of low-skilled and long-term unemployed workers into the labour market. As noted, this is related to the highly centralised wage bargaining system, which effectively covers over 90 per cent of the workforce. As Finland’s membership in the ERM (and possible entry in

EMU) removes the possibility of exchange-rate adjustments against other ERM countries in response to wage inflation, greater flexibility in real wages is required. A shift to a more decentralised wage formation system – with wages being negotiated at the firm level – would be helpful in this regard, by ensuring that wage developments reflect productivity trends. A step in this direction could be to abolish the administrative extension of central wage agreements.

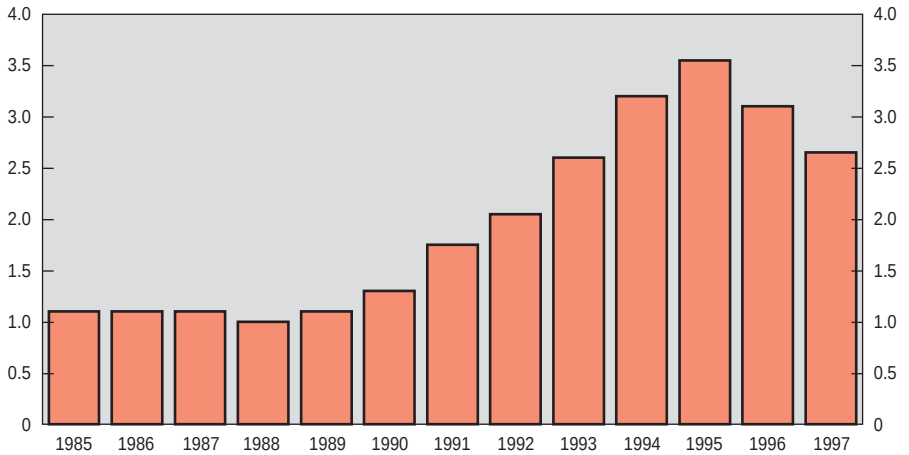
Product market competition

The focus of Finnish product market policies in past decades has been on promoting investment through tax incentives and investment subsidies for the development of capital-intensive resource-based industries. However, a sharp decline in the investment share in GDP, from about 25 per cent in past decades to around 15 per cent at present, is indicative of the significant reorientation of the industrial structure, as capital formation has progressively been directed at smaller, more flexible and skill-intensive production units. This shift has been prompted by changes in the composition of foreign demand (including the collapse of trade with the former Soviet Union) and, more recently, was further encouraged by the reorientation of product market policies from capital subsidies to risk financing by the state (Figure 21). Such a reorientation is combined with several other initiatives including the privatisation of state-owned enterprises, deregulation of those markets previously dominated by State monopolies and the development of a new framework for competition policy. These changes are briefly reviewed below.

Since 1993, the government has implemented a broad range of *privatisations* of state-owned companies. At present, the share of state-owned companies in the value-added of the manufacturing sector is around 20 per cent, these companies employing about 13 per cent of total manufacturing workers. The main objectives of the privatisation programme have been: *i)* to strengthen the capitalisation of the state-owned companies by allowing them to raise equity capital in the financial market; *ii)* to expand and deepen the Finnish equity market; *iii)* to encourage cross-holdings of shares and co-operation between state-owned companies and private sector firms; *iv)* to attract foreign capital and broaden the scope for inward foreign direct investment; *v)* promote competition in domestic markets; and *vi)* to reduce public debt. The implementation of the programme has been guided by

Figure 21. **FINANCIAL SUPPORT TO MANUFACTURING AND SERVICES**

Per cent of value added



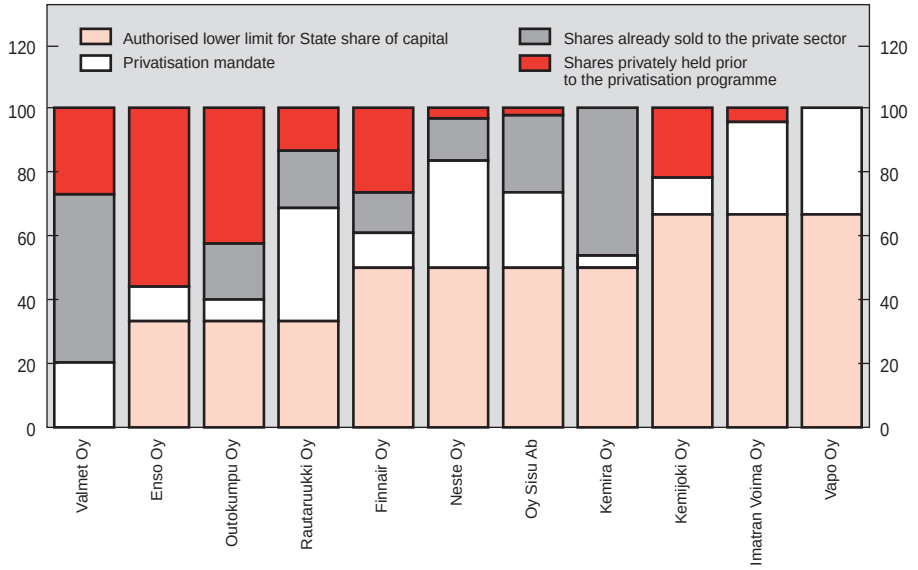
Source: Ministry of Trade and Finance.

mandates by the parliament indicating the maximum percentage of each company's capital base that could be privatised (Figure 22). This mandate has been guided by the concern that a portion of some companies ought to remain in public hands, ranging from one-third to two-thirds, due to strategic considerations – *e.g.* the desire to maintain self-sufficiency in strategic transportation and energy sectors. The pace of the privatisation has not been subject to a pre-defined time frame, but has been in line with financial market developments. The privatisation proceeds are split between the companies involved and the government on the basis of *ad hoc* negotiations, with the government's take partly being used to fund research and development (R&D), risk financing of SMEs and infrastructure investments.

The implementation of the privatisation programme has been facilitated by the improved profitability of the companies concerned, due to the export-driven recovery, as well as by the good performance of the stock market. In the period under review, the sale of shares of two companies (Kemira and Valmet) has progressed substantially and, in terms of the privatisation plan, has been almost

Figure 22. **SCOPE FOR PRIVATISATION**

Per cent



Source: Ministry of Finance.

completed. These initiatives brought the total privatisation proceeds to Mk 13.5 billion (over 2 per cent of GDP), roughly half of which has been allocated to the companies concerned to strengthen their capital structure, while the other half has been retained by the State. However, the State's share in the originally state-owned companies is still around 85 per cent on average, representing between Mk 50 and 60 billion at current market value. A major reason cited for the limited progress in completing the privatisation programme to date has been the moderate absorption capacity of the small Helsinki stock exchange, although, with pension funds growing (see Chapter IV), this constraint should ease in the future. There is also the concern that the one-time proceeds associated with privatisation would not compensate for the loss of the substantial annual dividend earnings the State receives from profitable State-owned companies.[18]

In the field of *deregulation*, substantial progress has been achieved in the telecommunications market – currently among the most liberalised in Europe. Such progress contributed to the remarkable performance of the Finnish telecommunication equipment industry in recent years. Steps have also been taken to deregulate the electricity sector, with the wholesale and retail market for electricity having been completely opened up to competition, both domestically and in the Nordic area as a whole. The construction of power plants, apart from nuclear and hydro ones, can be undertaken freely (subject to approval by the government), while the national transmission grid remains a monopoly with a regulated tariff structure. The deregulation of the electricity market has resulted in substantial reductions in charges paid by local distributors, amounting to 7 per cent for renegotiated contracts and 15 per cent for new contracts. The Finnish authorities would be in favour of a similar reform in the gas market, but are currently constrained by the fact that the national distribution grid is connected to a single supplier only (Russia). Other deregulation initiatives are targeted on the SME sector, primarily in the context of an EU wide programme (SLIM), with the view to simplifying administrative rules. In this context, the government has decided to establish fifteen regional offices, offering *one-stop-shop* facilities for handling the administrative formalities of SMEs.

With respect to *competition policy*, the most significant change has been related to Finland's membership in the EEA, whereby a new mandate has been given to the Office of Free Competition (OFC) – an independent arm of the Ministry of Trade and Industry that submits cases for the Competition Council – to assist the European Commission in investigating competition restrictions. This mandate applies to cases where Finnish firms violate EU competition regulations, and where Finnish rules restrict the free access of foreign suppliers to the domestic markets. In fact, the existing Finnish competition legislation is not yet aligned with EU rules, especially in such important areas as merger control. As a result, the OFC is, for the time being, operating against the backdrop of two sets of rules.[19] A working group has been set up by the Ministry of Trade and Industry to prepare a proposal to amend Finnish competition legislation, with government ''vetting'' being required for mergers of companies exceeding Mk 200 million in value. In addition, the working group will also recommend a further broadening of the mandates of the OFC for direct intervention in cases where *a priori* approval of the Competition Council would not be warranted. Other reforms

include an ending of the practice of monitoring and requiring government approval for corporate acquisitions by investors in OECD countries. On the other hand, Finland is already in full compliance with EU rules on public procurement.

Banking

Following the banking crisis in the early 1990s, Finnish banks have undertaken to drastically reduce excess capacity, halving the number of their branches and staff from the 1989 peak (Table 12). Such cut-backs have been facilitated by a range of mergers – most recently between KOP and Union Bank of Finland in 1995 – reducing the number of main commercial banks to three, which account for around 80 per cent of total bank lending and over 90 per cent of domestic commercial bank assets (Table 13). Although credit demand is still weak and lending margins have sharply declined due to fierce competition in the corporate lending market, the banking sector has returned to profitability since the second half of 1995. This reflects the substantial cost savings associated with rationalisation efforts, but reductions in loan and guarantee losses, together with favourable developments in bond and equity markets, have also been a contributory factor. In addition, banks' balance sheets have benefited from a reduction in the stock of non-performing loans associated with the improved solvency of corporate clients as the economic recovery strengthened, as well as from capital gains on property

Table 12. **Rationalisation in the banking sector**

Staff numbers per bank

	Merita	Postipankki	OKO Bank Group	Savings banks	Others[1]	Total
1990	17 000	6 900	12 000	10 700	3 500	50 100
1991	16 100	6 200	11 300	10 300	2 600	46 500
1992	15 200	5 800	10 500	8 500	2 000	42 000
1993	14 500	5 200	10 300	7 000	800	37 800
1994	16 500	6 100	10 900	1 600	700	35 800
1995	13 700	5 700	10 400	1 600	600	32 000
1996	12 900	5 000	9 100	1 700	400	29 100
1997	12 000	4 600	8 500	1 700	500	27 300

1. Including foreign banks.
Source: Bank of Finland.

Table 13. **Concentration in the banking industry**

1995

	Listed capital		Assets		Pre-tax profits		*Memorandum items:*	
	Markkaa million	Per cent share	Markkaa million	Per cent share	Markkaa million	Per cent share	BIS capital adequacy ratio	Return on assets (per cent)
Merita	2 765	69.7	63 939	60.2	–29	12.6	10.3	–0.0
Postipankki	870	19.4	26 504	25.0	–115	50.0	10.2	–0.4
OKO Bank Group	671	15.0	13 969	13.2	–37	16.1	21.4	–0.3
Others	180	4.0	1 801	1.7	–49	21.3	16.3	–2.7
Total [1]	4 486	100	106 213	100	–230	100	11.8	–0.2

1. Domestic commercial banks only.
Source: *The Banker*, July 1996.

following the nascent upturn in the real estate market (Chapter II). As a result, Finnish banks appear now broadly solvent, even though, on average, around one-fifth of their tier-one capital still consists of interest-bearing certificates issued by the government as part of the 1992 rescue package.

Competition pressure from foreign banks and domestic non-bank financial institutions in the commercial banking business has become very intense, with the risk of a further narrowing of lending margins in the medium and long run. Due to the increased openness of the Finnish credit market, several foreign institutions have taken position on this market, competing successfully for loans to large corporate clients. Such a development is likely to intensify and spread to the small and medium-sized corporate credit market in the years to come, heightening the ongoing pressure associated with the changes in the payments system.

In this context, the government should give priority to further preparing the ground for allowing the Finnish banking industry to compete effectively in a global financial environment. Removing the stamp duty on financial transactions would help in this regard, as this would contribute to improving the cost-competitiveness of that industry. Finnish banks should also be encouraged to further eliminate excess capacity and cut operating costs while exploiting business opportunities in the European single market. Finally, by reducing moral hazard, a rapid implementation of the newly-proposed deposit insurance scheme,

limiting the government guarantee to Mk 150 000 per depositor per bank, would help enhance the health of the banking system.[20]

Environment

As noted in the recent *OECD Environmental Performance Review*,[21] Finland stands out for its relatively high *per capita* energy use, related to a number of structural features of its economy. *First*, its geographical location requires significant energy consumption for heating. *Second*, transportation distances are long, due to the country's low population density and remoteness from its major export markets. *Third*, Finnish industries, which tend to be resource based and very energy intensive, in part reflecting past industrial policies, account for 40 per cent of the total energy consumed in the country. Of these, the wood processing industry largely relies on renewable energy (biomass energy produced at home), while other industries import most of their energy requirement in the form of oil, natural gas and coal. Domestic resources, such as hydro and nuclear-power plants, cover the remaining energy needs. Over the last two decades, fluctuations in energy prices have increased incentives for more efficient energy use.

Until the 1990s, a ''command and control'' approach prevailed in environmental policies in Finland as in most of the OECD area. This approach relied largely on the licensing of large stationary pollution sources, rather than emission norms and bans (the latter being seldom used). In the 1990s, the focus of environmental policies has shifted towards the use of economic instruments, with the emphasis on taxes on harmful products, differentiation of indirect taxes based on environmental characteristics of products, administrative and municipal charges, subsidies and deposit refund schemes. As a result, the share of environmental taxes in GDP has gradually risen from 2 per cent in 1990 to 3½ per cent in 1996 (Table 14). Of these, the energy tax – which is designed to encourage a switch to carbon-free fuels – has become the most important environmental instrument in terms of the State's budget, although it is still at too low a level to motivate significant changes in production and consumption patterns. In addition, a commission appointed by the Ministry of the Environment has been asked to prepare cost-effective policies specifically aimed at further reducing emissions causing acidification. At the same time, policy formulation has become more consensus-based, aiming at the integration of economic and environmental con-

Table 14. **Environmental taxes and charges**

Markkaa million

	1993	1994	1995	1996
Energy tax	**8 404**	**9 815**	**11 628**	**13 550**
of which:				
Basic duty	..	7 915	9 349	10 950
Carbon content charge	..	1 140	1 488	1 700
Energy content charge	..	760	791	900
Other taxes, charges and fees	**3 875**	**4 041**	**4 569**	**5 968**
of which:				
Electricity tax	656	56	0	0
Diesel tax	885	844	668	860
Car and motorcycle tax	1 609	2 054	2 685	3 600
Annual vehicles charge	0	618	1 046	1 040
Total	**12 279**	**13 856**	**16 197**	**19 518**
Per cent of GDP	*2.5*	*2.7*	*3.0*	*3.4*

Source: Ministry of Finance.

siderations at a sectoral (decentralised) level. It is not uncommon for representatives from several ministries, employers' organisations, trade unions and individual firms to be involved in designing sectoral environmental programmes, *e.g.* in agriculture, forestry, energy, transportation.

The most effective Finnish economic instruments to date have been tax differentiation and deposit refund schemes. In particular, the differentiated excise duty on car fuels has resulted in a dominance of high octane unleaded petrol and sulphur-free diesel oil, which have effectively replaced ordinary fuel grades. In light of this experience, a new tax on waste was introduced and the basic energy tax on petrol significantly raised in 1996. Moreover, the forestry industry, which accounts for one-third of merchandise exports, has achieved very substantial decreases in its emissions and effluent loads, with earlier targets comfortably attained. The energy efficiency of Finnish industries and the average levels of environmental taxation have also resulted in competitive gains for Finnish producers in the global market for environmentally-friendly equipment for both the energy and paper and pulp industries.

In recent years, several changes in the environmental regulatory framework have been prompted by international integration. The energy tax system was

reformed in 1997, with the introduction of a uniform tax on all electricity use and the abolition of taxes on input-fuels used in electricity production, in order to create a level playing field in the liberalised Nordic electricity market (see above). However, electricity charges remain differentiated between the residential, services and agricultural sectors on the one hand, and greenhouses and industrial users on the other. Legislation in Finland concerning natural resources and nature conservation has been reformed partly due to the EU Directive on the Habitat for the protection of the natural environment, including wildlife and vegetation. The 1923 Act on Nature Conservation and the legislation on Forests were replaced by new laws in January 1997. As noted above, the working group of the Economic Council made a proposal to shift taxation from labour to polluting activities and energy use. A more wide-ranging environmental tax reform has been on the agenda since the introduction of the carbon-tax in 1990, but this has been held up by lack of international consensus, due to the problem of tax-related arbitrage associated with investment and production decisions. Such international consensus is complicated by the need to integrate such problems as sustainable development and climate change, transcending the national level.

In sum, there is no evidence that environmental policies have jeopardised the international competitiveness of Finnish industry; by stimulating the development of environmental technologies, they have, in fact, helped to open up new markets. Specifically, the large environmental expertise of Finnish producers in waste water treatment, efficient forest management and combustion technology should contribute to further export growth of ‘‘environmentally-friendly’’ products – currently estimated to represent one-fifth of Finnish exports – as environmental legislation becomes more stringent in other parts of the world.

IV. Reform of the pension system

The Finnish public pension system recently underwent a far-reaching reform, prompted by increasing concerns regarding the sustainability of the system, due to the ageing of the population, the low and declining effective retirement age of workers and the erosion of the tax base associated with the severe slump in the first half of the 1990s. The reform, which is based on a consensus approach involving the government, the main employers' federation and the central federation of labour unions, incorporates several OECD recommendations put forward in an earlier special chapter on the Finnish pension system in the *1991/92 Economic Survey*. It is aimed at striking a balance between preserving the basic thrust of the system – *i.e.* providing universal income security for retired people through the redistribution of income between and within generations – and strengthening the link between individuals' pre-retirement earnings and pension entitlements. By so doing, the reform is deemed to reduce the incentives for early retirement which have been an outstanding feature of the Finnish pension system, and, more generally, enhance the incentives for labour force participation and career development. Moreover, the reform should enable the country's sizeable pension funds to exploit opportunities in international capital markets for higher rates of return.

This chapter starts with a brief review of the main characteristics of the pension system in place prior to the reform, including the problems and possible solutions as perceived at the time, drawing on the *1991/92 Survey*. This is followed by a discussion and assessment of the recent reform, with the main focus on the change in pension rules and contribution rates as well as the changed approach to pension fund management. The last section examines the scope for further adjustment and concludes with policy recommendations. A bibliography at the end of the chapter lists the references in the main text.

The original design of the system

Key features

The Finnish public pension system consists of two tiers, with the *national pension scheme* providing basic pensions for all citizens and an *occupational scheme* granting earnings-related pensions. The latter system, which is usually denoted as the employment pension scheme, in fact comprises several separate schemes, each covering a specific sector of the economy. By far the largest occupational scheme is the TEL, which covers the earnings-related pensions for all private sector workers with regular labour contracts (Table 15). Temporary, free-lance and self-employed workers as well as farmers and seamen have their own earnings-related pension coverage, as have civil servants employed by either the central or local governments. As participation in occupational schemes is compulsory for all workers, these provide virtually universal coverage, a feature which Finland has in common with only a few other countries in the OECD, notably France, the Netherlands and Switzerland.[22] Not surprisingly, the market share of voluntary occupational and individual pension insurance is very small in Finland, although its importance has been growing in recent years.[23]

Table 15. **The main pension schemes**

	Size[1]	Expenditures[2]	Funding[3]		
			State	Employers	Insured
National pensions (KEL)	**100**	**4.5**	**51**	**47**	**2**
Employment pensions	**100**	**9.6**	**5**	**70**	**25**
of which:					
Private sector (TEL)	49	5.8[4]	0	79	21
Self-employed (YEL)	7	..	18	0	82
Farmers (MYEL)	6	..	73	0	27
Temporary workers (LEL)	6	..	0	80	20
State (VEL)	11	2.3	0	81	19
Local government (KVTEL)	20	1.5	0	82	18

1. Per cent of total insured population (1995).
2. Per cent of GDP (1994).
3. Per cent of total contributions (1997).
4. Including YEL, MYEL and LEL.

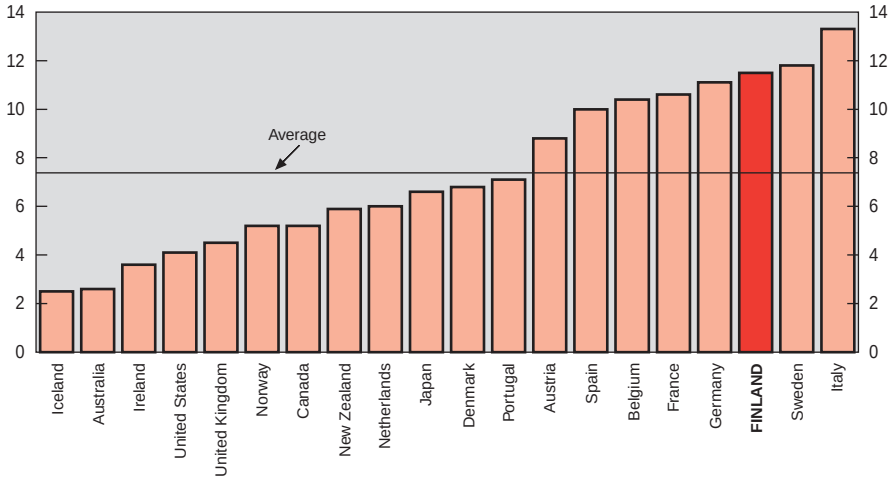
Source: Central Pension Security Institute, Tuukkanen (1995).

The old-age retirement pensions granted under the two systems are statutory and tightly regulated by the State, with the retirement age set at 65 years (until 1993, 63 years in the public sector). As in most countries, the system includes provisions for early retirement and surviving spouses as well. In addition, although these are administered separately, both the national and employment pension schemes offer pension coverage for disabled workers and for older unemployed who have been indefinitely exempted from job search requirements (''unemployment pension''). The national pension tends to fall as the occupational one increases. Combined, both categories of pension do not exceed the statutory maximum income-replacement rate of 60 per cent of the pensionable wage, except for low-wage earners.[24] Such a level of income replacement is broadly on a par with the average for the European Union, but significantly higher than in the other northern member states, except Sweden.[25] However, since the employment pension schemes reach full maturity only by the year 2002 (having been established in 1962, with full benefits requiring 40 contribution years), nobody currently receives this maximum benefit. At present, benefit payments for old-age retirement amount to roughly 11½ per cent of GDP – of which currently one-third consists of national pensions.[26] Such an expenditure level considerably exceeds the OECD average of around 7 per cent, which is due to the almost universal coverage of the Finnish occupational pension schemes (Figure 23).[27]

While the national pensions are administered by the Social Security Institute under direct supervision of the Parliament, the management of the employment pension schemes is in the hands of a range of private pension institutions, co-ordinated by the Central Pension Security Institute, and supervised by the Ministry of Social Affairs and Health. These pension institutions collect contributions, pay out pensions, and are responsible for the actuarial soundness of the system. Unlike the national pension scheme, which is entirely financed from employers' contributions and general tax resources on a ''pay-as-you-go'' (PAYG) basis, the Employment Pension institutions have accumulated substantial financial assets (Table 16) – although, in an actuarial sense, the system is far from fully funded.[28] At present, there are 63 pension institutions active. The majority of these (43) have been set up by private companies to administer the pensions of their own staff (so-called pension foundations), while others have been established by

Figure 23. **PUBLIC OLD AGE PENSION EXPENDITURE IN OECD COUNTRIES**

Per cent of GDP, 1995



Source: Roseveare *et al.* (1996); OECD Secretariat.

Table 16. **Financial assets of the employment pension schemes**

	Markkaa billion			Per cent of GDP		
	Private	Local government	Total	Private	Local government	Total
1985	57.2	0.0	57.2	17.2	0.0	17.2
1986	65.2	0.0	65.2	18.3	0.0	18.3
1987	73.2	0.0	73.2	18.9	0.0	18.9
1988	83.3	0.9	84.2	19.2	0.2	19.4
1989	95.3	2.6	97.9	19.6	0.5	20.1
1990	112.2	6.4	118.6	21.8	1.2	23.0
1991	127.8	10.3	138.1	26.0	2.1	28.1
1992	136.0	14.3	150.3	28.6	3.0	31.6
1993	147.5	18.2	165.7	30.6	3.8	34.3
1994	158.8	22.4	181.2	31.1	4.4	35.5
1995	170.3	28.2	198.5	31.2	5.2	36.4
1996	190.3	35.0	225.3	33.4	6.1	39.6
1997	205.0	41.6	246.6	34.2	6.9	41.1

Source: Ministry of Finance.

branch organisations (pension funds). In addition, six private pension insurance companies, mostly owned by parent companies in the financial industry, manage the pensions of smaller firms. The local governments have created their own mutual pension foundation, while the central government's occupational pensions are administered by the State. All pension institutions are run by a board in which both employers and employees are represented, and they are not allowed to diversify into other business activities.

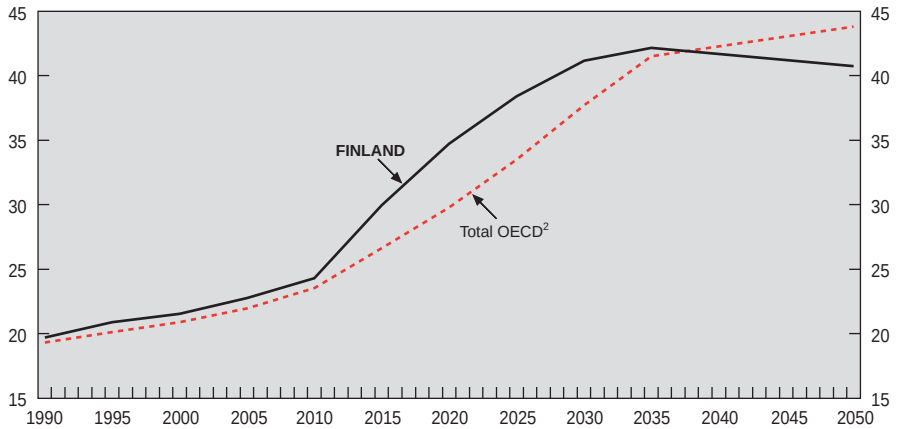
The underfunding problem

As noted, the employment pension schemes have been accumulating significant financial assets, a feature which Finland has in common with a few other European OECD countries – in particular the United Kingdom, the Netherlands, Denmark and Switzerland. Nonetheless, at the time of writing of the 1991/92 *Survey* the funding of future pension entitlements was far from sufficient. The uncovered pension liability was estimated at 60 per cent of GDP in the public sector alone (where no assets had been accumulated at all). In the main private sector scheme (TEL) the combined financial assets of the pension institutions were estimated to cover only between 15 and 30 per cent of the pension liability, depending on the assumptions made with respect to future inflation and economic growth.[29] Such underfunding, in part, reflects a deliberate policy choice at the time the system was introduced in 1962, to fund only partly the pension liability in order not to charge the then current generation of workers twice: to cover their own pensions as well as those of the already retired workers. The authorities apparently felt confident that future growth in *per capita* GDP and the associated higher contribution proceeds would automatically yield the required cash flow to finance the bulk of the future pension entitlements on a ''pay as you go'' basis.

However, the original design of the system could not anticipate the extent of the declines in the fertility rate and the increases in life expectancy that have been an outstanding feature of demographic developments in recent decades. The resulting ageing of the population will be particularly pronounced in Finland, where the old-age dependency ratio is expected to attain 30 per cent in 2015 and 40 per cent in 2030, compared with 25 and 35 per cent on average in the OECD area (Figure 24). As a result, employment pension expenditure, assuming 1990 legislation, was projected to rise from 15 per cent of the wage bill in the early 1990s to 25 per cent by the year 2010 and 40 per cent in 2030 (Figure 25). In

Figure 24. **ELDERLY DEPENDENCY RATIOS**[1]

Per cent

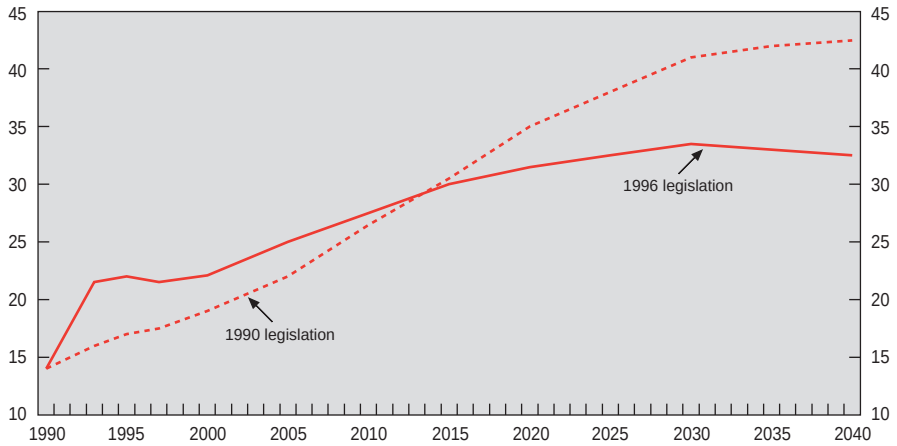


1. Population aged 65 and over as a per cent of working age (15-64) population.
2. Unweighted average of 25 countries.

Source: World Bank.

Figure 25. **PROJECTED EXPENDITURE OF THE EMPLOYMENT PENSION SCHEMES**

Per cent of the wage bill



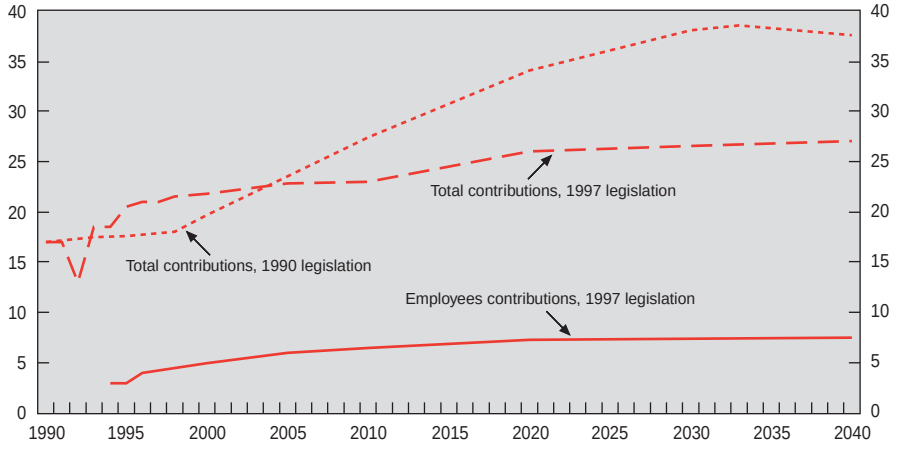
Source: Ministry of Social Affairs and Health.

terms of the ratio of pension expenditure to GDP, including the national scheme, this corresponds to an increase from 10 per cent in 1990 to almost 19 per cent in the third decade of the next century – a very high level by international standards.[30] These projections themselves understated the problem, as the number of participants in the disability and unemployment pension schemes were likely to increase strongly as well.

Another factor which complicated the management of the employment pension system is the gradual erosion of the funding rate (the ratio between the financial assets and the pension liabilities of the schemes) due to certain legal rules. Most importantly, the pension institutions had to limit the reinvestment of their returns on capital to 5 per cent, which corresponds to the statutory actuarial discount rate applied to value the pension liability. Of the remaining ''surplus'', the bulk was used for the financing of current pension payments while a small amount was credited to employers through a contribution rebate.[31] This rule was applied in strict nominal terms, implying that the real effective rate of return achieved by the pension institutions has tended to be very low, if not negative.

Figure 26. **PROJECTED CONTRIBUTIONS OF THE EMPLOYMENT PENSION SCHEMES**

Per cent of the wage bill



Source: Ministry of Social Affairs and Health.

The 1991/92 Survey estimated that the resulting erosion of the institutions' financial assets, given the demographic development, would require a sustained increase of employment pension contributions from 15 to almost 40 per cent of the wage bill in order to keep the system financially sustainable – *i.e.* to avoid a rapid accumulation of pension-related public debt (Figure 26).

Options for changes

In the early 1990s, there was a wide agreement in Finland that the prevailing pension system should be preserved, while reforms would need to be sought to relieve the future financial pressure on the system. In particular, reform proposals put forward by two official commissions working under the Minister of Social Affairs and Health aimed at increasing the average effective retirement age from 58 to 61 years by the year 2020. This was deemed to require: *i)* an increase in the statutory retirement age in the public sector, from 63 to 65 years to bring it into line with the private sector; *ii)* a reform of the eligibility rules and benefit levels applied in the early retirement schemes; and *iii)* an increase of the ''accrual factor'' (the rate at which pension entitlements grow during working age) for older workers, in order to weaken the incentives for early retirement. Additional measures, to change the indexation of pensions and raise the funding rate of the pension institutions' liabilities, were also considered. Taken together, such measures were hoped to stabilise the average pension contribution rate at around 30 per cent of the wage bill by 2030.

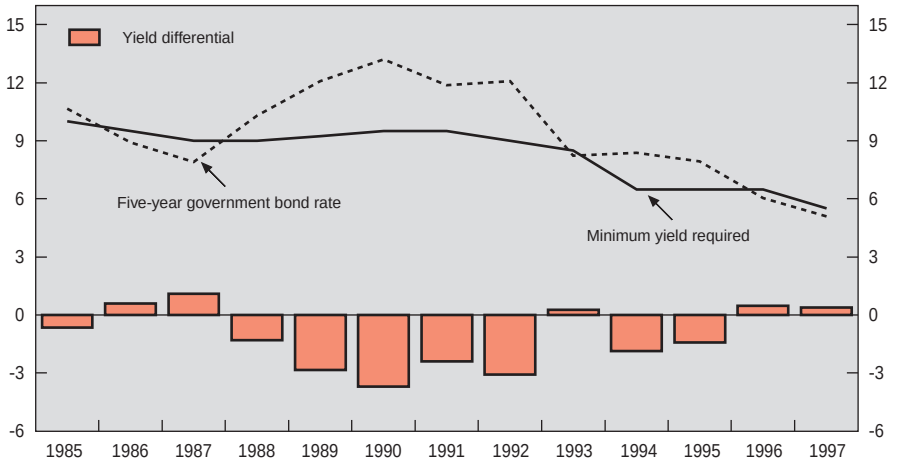
The 1991/92 *Survey* suggested a more fundamental reform of the pension rules, although it noted that this could meet political resistance. The main proposal was to phase in a so-called ''defined contribution'' scheme, which relates a worker's pension entitlements to his past contributions and the return on the pension fund's investments (rather than on compulsory pension rules as in the existing ''defined-benefit'' system). Such a scheme has the advantage of providing a strong link between pension contributions paid and the benefits received, and as such to enhance work incentives. An even more fundamental change put forward in the *Survey* was to downgrade the mandatory scheme and combine it with a voluntary pension insurance scheme, while preserving the redistributive thrust of the system by increasing the statutory minimum pension and setting a ceiling on the benefits from the mandatory scheme. This would leave individuals

with more flexibility to arrange their pension cover in line with their preferences and reduce labour market distortions at the same time.

The *Survey* also suggested re-examining the funding arrangements prevailing in the employment pension system. Specifically, it was proposed to reconsider the practice of ''automatic relending'' of pension contributions to employers – who only paid one-third of the mandatory contributions in cash while issuing promissory notes to cover the remainder – at a statutory re-lending rate typically below the relevant market interest rates but higher than the actuarial discount rate of 5 per cent (see above) (Figure 27). Through this practice, the employment pension system has been used extensively as a vehicle for investment subsidies to the private sector, to the detriment of the pension system's financing. Ending this practice was expected to raise the rate of return of the system's financial assets, thereby facilitating the financing of future pension entitlements, while also limiting capital market distortions.

Figure 27. **REQUIRED RATE OF RETURN ON PENSION FUND ASSETS**

Per cent



Source: Ministry of Finance and Bank of Finland.

The reform process

Main objectives

During the first half of the 1990s, the wide-spread concerns regarding the sustainability of the public pension system have been heightened by the severity of the economic crisis and the associated dramatic increases in the number of claimants of social transfers. As the crisis unfolded, general government welfare expenditure as a share of GDP soared from 28 per cent in 1990 to 39 per cent in 1993, with pensions accounting for roughly one-third and unemployment benefits and other social expenditure for around two-thirds of the increase.[32] If left uncorrected, such tendencies would have led to an explosion of public debt and/ or sharp increases in social security contributions, with the risk of undermining the welfare system. These concerns prompted the government to cut public expenditure programmes significantly, and in particular those related to the public pension system.

The main objective of the pension reform was to promote longer working careers through measures designed to reduce the incentives for early retirement and to create the conditions for better pension fund management. By lowering the cost of the system, limiting the tax burden for active workers and boosting labour supply, such measures are expected to raise the productive potential of the economy in the long run.[33] However, the basic feature of the employment pension system – regulation and monitoring by the central authorities, a mixture of funding and ''pay as you go'' financing, a pronounced redistributional thrust and strong involvement of private insurers in the system's management – have been maintained. The sections below examine the measures that have been implemented, followed by a brief assessment of their consequences for the system.

Modification of the pension rules

As is typical for ''defined-benefit'' systems, the pensions granted by the employment pension schemes are fixed according to a legal formula, defining the assessed past earnings on which the pension is based (the pensionable wage), the number of contribution months that are taken into account and the amount by which entitlements cumulate per month of contribution as a percentage of the pensionable wage (the accrual factor). In addition, both the pensionable wage and the post-retirement pension benefit are subject to an annual index adjustment.

The changes in the pension rules, which have been introduced in three successive packages in 1993, 1994 and 1996, do not affect this basic feature of the system (Table 17).

The 1993 measures

The main focus of the measures effective since 1993 has been to end the favourable pension treatment of civil servants (see above). In particular, the pension rules in the public sector were brought in line with those in the private sector, by reducing the annual accrual factor for public sector workers from 2.2 to 1.5 per cent of the pensionable wage. As a result, a full pension benefit of 60 per cent of the pensionable wage henceforth required 40 contribution years – whereas in the public sector previously 30 contribution years sufficed to qualify for a benefit of 66 per cent of the pensionable wage. At the same time, the legal retirement age of public sector workers was raised from 63 to 65 years. It should be noted that these adjustments initially applied to newly recruited civil servants only, but since 1995 they have affected all civil servants aged 55 or below. Another measure, which, in contrast, did affect all workers immediately, has been the change in the index for the pensionable wage to take account of reductions in purchasing power of active workers with the introduction of employees' pension contribution (previously only the employers paid such contributions).[34]

The 1994 disposals

Apart from a one-year freeze of the indexes applied to the pensionable wages and the post-retirement benefits, the measures implemented in 1994 were specifically targeted at raising the effective retirement age (58 years) of Finnish workers. In particular, the statutory minimum age for voluntary full-time early retirement was increased from 55 to 58 years whereas the accrual factor of workers in the 60 to 65 years age bracket were raised from 1.5 to 2.5 per cent – effectively lifting their pensions by 1 per cent of the pensionable wage for every additional year in work. Also in favour of active older workers was the change in the method of computing their pensionable wage, with earnings after the age of 55 henceforth disregarded if these would lead to a reduced pension level – *e.g.* due to the acceptance of lower-paid work or the loss of special bonuses. In order to encourage part-time employment of older workers, moreover, the required minimum age for this option was lowered from 60 to 58 years.

Table 17. **Reform of the employment pension rules**

	Retirement age	Accrual factors	Definition of pensionable wage	Indexation mechanisms
1993	Retirement age in the public sector raised from 63 to 65 years (same as in the private sector).	Accrual rates in the public sector reduced from 2.2 to 1.5 per cent per year (the same as in the private sector).		New index for pensionable wage introduced, based on 50 per cent weigts of the CPI and the earnings index net of employees' pension contributions.
1994	Minimum age for full-time and part-time early retirement changed to 58 years (from 55 and 60 years, respectively). Minimum age for Unemployment Pension raised from 55 to 60 years.		Earnings losses after 55 years disregarded when calculating the pensionable wage.	Indexes of the pensionable wage and of the post-retirement pension frozen for 1994.
1996		Accrual factor of active workers of over 60 years increased from 1.5 to 2.5 per cent.	Pensionable wage based on the last ten years of every employment contract rather than the last four years.	Indexation of post-retirement pension based on a 80 per cent weight of the CPI and a 20 per cent weight of the earnings index net of employees' pension contributions.
		Accrual rates of early-retirement and disability beneficiaries reduced from 1.5 to 1.2 per cent for the 50-60 years age group and from 1.5 to 0.8 per cent for the 60-65 age group.		

Source: Ministry of Social Affairs and Health.

The 1996 package

The 1996 package also contained several measures to stimulate labour-force participation of older workers. Specifically, the accrual factors for early-retired and disabled workers were reduced from 1.5 to 1.2 per cent for those aged between 50 and 60 years and from 1.5 to 0.8 per cent for the remaining five years until regular retirement.[35] As a result, someone entering the disability scheme at the age of 50 would see his old-age retirement replacement rate cut by up to 11.5 per cent of the pensionable wage relative to someone working until 65.[36]

In addition, the determination of the pensionable wage itself was changed quite substantially in order to achieve a more equal treatment of people with different life-time earnings profiles. Previously, the pensionable wage was based on an average of the (indexed) earnings during the last four years of every employment contract.[37] This arrangement tended to overemphasise the earnings at the end of workers' careers, in particular for those (public sector workers notably) with lifetime employment contracts accumulating pension entitlements in one single institution. This feature could lead to unfair pension outcomes and accordingly reduce the incentives for job mobility. According to the new rule, the last *ten* years of every employment contract are taken into account for the computation of the pensionable wage. This limits (but does not entirely remove) the implicit impediment to job mobility, which should have a favourable impact on labour market flexibility – although the main motivation for the change, as noted, has been the increased fairness of the rules.[38]

A change in the method of indexation of post-retirement benefits was also part of the package. Specifically, with effect from 1 January 1996, the annual adjustment of post-retirement benefits of people aged 65 and above was based on 80 and 20 per cent weights of the CPI and the earnings index, respectively, a measure which tends to reduce the level of pension benefits relative to overall earnings. At the same time, the annual adjustment of the pensionable wage remained to be based on 50 per cent weights for each of the CPI and the overall earnings index net of pension contributions of employees. Moreover, the annual adjustment of the national pensions remained to be solely based on the CPI.

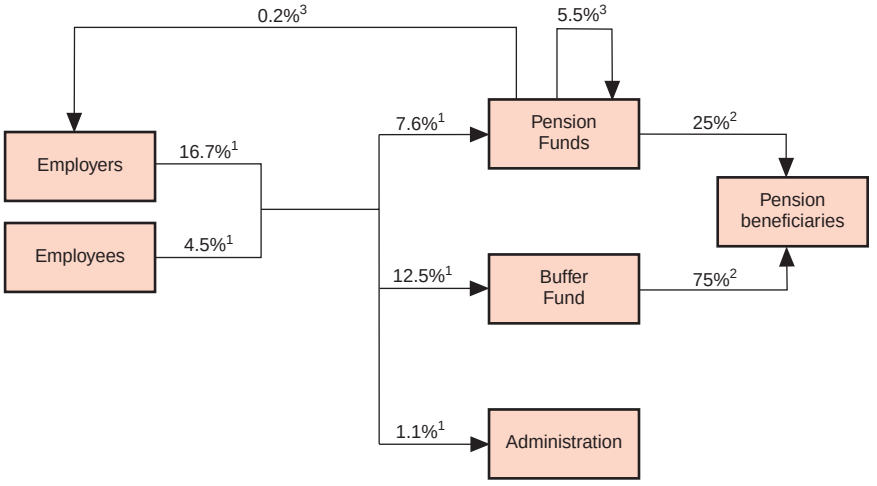
On top of these changes affecting the employment pensions, the authorities decided to gradually abolish the flat-rate component of the national pensions by the end of this decade. National pensions will thus be fully offset against employment pensions, and as such become akin to a general welfare provision for people

with insufficient coverage by occupational pensions. Such an abolition of basic flat-rate pensions, which was made possible due to the almost universal coverage of the employment pension schemes, is exceptional among OECD countries, although Sweden has planned a similar reform.

Adjustment of the funding method

Under the system that has been in place for several decades, the employment pensions are funded by contributions from employers, and, since 1993, also employees. Every year, roughly half of the contributions are ‘‘pooled’’ in a buffer fund to be paid out to current pension beneficiaries on a pay-as-you-go (PAYG) basis, which corresponds to approximately 75 per cent of the total pension bill. The remainder of the contributions enters the accounts of the individual pension institutions (Figure 28 and Table 18). These contributions, combined with the return on financial assets, constitute the bulk of the pension

Figure 28. **THE FUNDING OF EMPLOYMENT PENSIONS IN THE PRIVATE SECTOR**
1997



1. Of gross wage bill; excluding pension insurance premiums (1.7 per cent of the wage bill) for unemployed workers.
2. Of total pension benefits.
3. Of total financial assets in the pension fund.

Source: Ministry of Social Affairs and Health, OECD Secretariat.

Table 18. **Income and expenditure account of the employment pension funds**

Markkaa billion

	1993	1994	1995	1996	1997
Contributions	38.4	41.6	46.4	50.2	52.3
of which:					
Employers	24.0	26.3	30.3	32.5	34.0
Employees	7.4	8.0	9.1	10.8	11.9
State	3.2	3.3	3.3	3.4	3.1
Other Social Security Funds	3.8	4.0	3.7	3.5	3.3
Investment income	14.1	12.1	12.4	14.2	14.0
Other income	2.0	2.3	1.8	1.3	1.3
Total income	54.5	56.0	60.6	65.7	67.5
Pension benefits	36.5	39.0	40.5	43.8	44.8
Other expenditure	1.7	1.2	1.3	1.3	1.3
Net saving	16.3	15.8	18.8	20.6	21.4
Consumption of fixed capital[1]	0.2	0.2	0.2	0.8	0.4
Gross saving	16.5	16.0	19.0	21.4	21.8
Gross investment	0.4	0.7	0.5	0.5	0.5
Financial surplus	16.1	15.3	18.5	20.9	21.3
As a per cent of GDP	*3.3*	*3.0*	*3.4*	*3.7*	*3.6*

1. Including capital transfers.
Source: Ministry of Finance.

institutions' revenues, which are used to finance the remaining 25-30 per cent of the pension bill and the acquisition of financial assets.[39]

An outstanding feature of the funding arrangements in the employment pension schemes is the automatic re-lending of pension contributions to employers, who, as noted, only paid one-third of the mandatory contributions in cash and issued promissory notes to cover the remainder at a statutory lending rate. However, re-lending has been progressively reduced after the introduction of mandatory bank guarantees or credit insurance in 1993, given that these have been refused in many cases due to alleged insolvency of the employers. Moreover, since 1993, market lending rates have tended to be lower than the statutory lending rate, rendering automatic relending a less viable option for many employers (see Figure 27) – the more so since private demand for credit has been very sluggish (Chapter II). Due to these developments, the funds have had practically no alternative to investing in government bonds. As a result, the share of

re-lending in the funds' portfolios has substantially declined while the share of government bonds has been on an increasing trend (Table 19).

The reduced re-lending practices have prompted the pension authorities to re-consider the portfolio policy of the pension institutions. In particular, increasing the investment in shares was seen as a new opportunity and a necessity. However, while willing to diversify their portfolios into risk-bearing assets, the pension institutions lacked the reserve capital to ensure the wider solvency margins that were deemed necessary to compensate for stock market volatility.

A reform package in 1997 aimed at addressing this problem with a variety of measures, the most prominent being the permission to pension institutions to raise reserve capital by retaining the differential between the statutory lending rate on promissory notes and the actuarial discount rate used to calculate the present value of the funds' liabilities. The margin between these rates, moreover, has widened, as a reduction in the discount rate from 5 to 3 per cent coincided with a decline in the statutory lending rate from 6.5 to 5.5 per cent. Once sufficient capital has been built up by the end of this decade, the institutions are expected to re-invest up to the entire statutory lending rate, while any remaining surplus will continue to be credited to employers in the form of small contribution rebates or used for dividend pay-outs to parent companies.[40]

Table 19. **Portfolio composition of the employment pension funds**[1]

	1992	1993	1994	1995	1996
Promissory notes	76.7	63.4	52.3	43.2	30.0
of which:					
Relending	49.1	42.0	36.1	30.4	21.3
Other	27.6	21.4	16.2	12.8	8.8
Bonds	6.2	13.0	21.6	32.7	42.9
Money market	5.0	9.2	9.8	7.9	8.7
Shares	3.1	3.9	5.0	5.5	7.7
Real estate	9.0	10.5	11.4	10.7	10.8
Total	100.0	100.0	100.0	100.0	100.0
Mk billion	*108.0*	*119.1*	*125.1*	*139.4*	*158.1*

1. Private sector; excluding company-based pension foundations.
Source: Ministry of Finance.

A sustainable system?

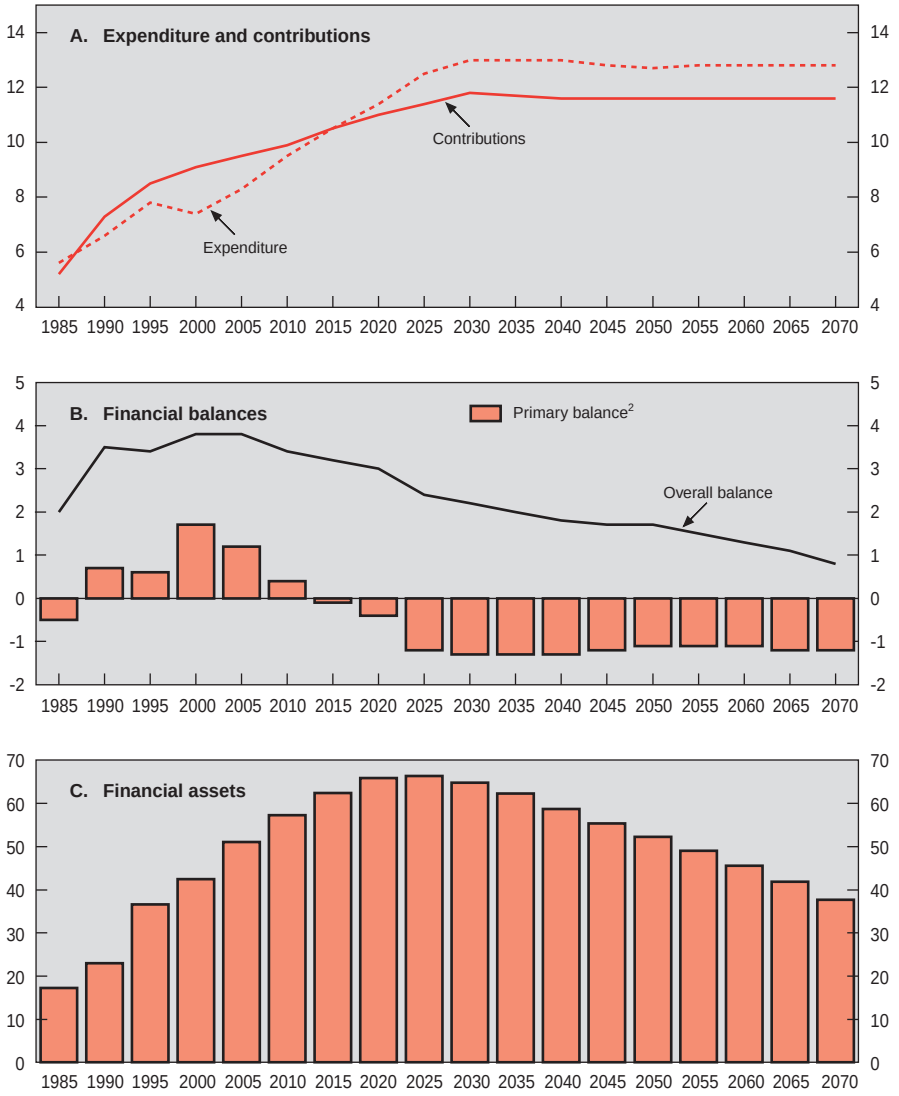
The official projections prepared by the Central Pension Security Institute indicate that the cost reductions implied by the reform would suffice to limit the future increases in pension contributions to a considerable extent. In particular, occupational pension expenditure would increase from the current 25 per cent of the wage bill to 35 per cent in the long run, which indeed compares favourably with the disquieting increase to over 40 per cent of the wage bill projected by the Ministry some years ago (Figure 25). The contribution rate for the main employment pension scheme (TEL) is now accordingly projected to rise from the current 21 per cent of the wage bill to 28 per cent in the long run – around 10 percentage points below the estimate prior to the introduction of the reform packages (Figure 26).[41] Alternative scenarios, based on more favourable demographic assumptions, such as a reversal of the trend decline in fertility and increased immigration, suggest even more favourable outcomes.

A simulation with the Secretariat's pension model,[42] adopting assumptions similar to those included in the official projections, suggests a gradual increase in pension expenditure (excluding national pensions) from the current 8 per cent of GDP to around 13 per cent in the course of the next century (Figure 29). With the level of employment pension contributions rising from around 8½ per cent to almost 12 per cent of GDP in the long run, this projection would imply an increase in the ratio of pension funds' financial assets to GDP from 37 per cent in 1995 to 65 per cent in the third decade in the century, followed by a gradual depletion (Table 20). Such a time profile of pension fund assets is not unusual for systems that operate on a partial funding basis, and is generally considered as reasonable and prudent.[43] At the same time, the budgetary cost of the national pension scheme is officially projected to decline from the current 4 per cent of GDP to 1 per cent in the long run, due to the abolition of the universal flat rate benefit and the fall in universal pension-tested benefits as the employment pension scheme reaches maturity.

However, these projections are subject to uncertainties, the more so as they essentially reflect current intentions and legislation. Indeed, as has occasionally occurred in the past, the government could decide, in the framework of tripartite negotiations, to temporarily reduce contribution rates for incomes policy considerations, most likely during a recession. More fundamentally, people may not be willing to provide the necessary political support to maintain the current pension

Figure 29. **FINANCIAL SUSTAINABILITY OF THE EMPLOYMENT PENSION SYSTEM**[1]

Per cent of GDP



1. Economic assumptions: rate of labour productivity growth: 2 per cent; real discount rate: 3 per cent; inflation rate: 3 per cent.
2. Net of interest receipts.

Source: OECD Secretariat.

system, notably if the contribution burden – and hence the tax wedge – increases further in the future. Concerning the pension rules, experience in other countries has shown that the reform approach adopted in Finland so far – changing the accrual factors for different categories of individuals in order to stimulate deferred retirement – may not always succeed in raising the labour supply of older workers.[44] As well, the conversion of the national pension scheme into a welfare scheme of last resort could stimulate career patterns which maximise eligibility.[45] All these concerns point to the need for designing policies which would allow a reduction in contribution rates on a sustainable basis, preferably in a way which would also strengthen work incentives. The last section below provides some suggestions as to how this could be accomplished.

Future challenges

Raising the return on pension fund assets

The rate of return achieved is a key parameter determining the financial sustainability of the (partly) funded employment pension system, as can be illustrated by model simulations carried out by the OECD Secretariat (Table 20). For example, a 2 percentage-points increase in the real rate of return (from an assumed 3 per cent in the base line calculations), would virtually double the amount of financial assets available by the year 2030 to 129 per cent of GDP. As shown in Table 20, this would create sufficient room for lowering the pension contributions by 1 per cent of GDP once-and-for-all. Such a reduction in pension contributions would be welcome in light of the wide tax wedge in Finland and the associated labour market distortions (Chapter III). Moreover, an increase in the rate of return would raise the actuarial funding rate of the system, which could boost the public's confidence in it and limit the potential risks of tax evasion and capital flight in the long run. Raising the actuarial funding rate this way would also have the advantage of avoiding a ''double burden'' for present cohorts of workers[46] and, therefore, be likely to receive support from the union movement.[47]

The question then arises how much scope there is for improving the return on pension fund assets in Finland over the longer horizon. Cross country

Table 20. **Employment pension scenarios**[1]

Per cent of GDP

	1995	2000	2010	2020	2030
Baseline					
Primary balance[2]	0.6	1.7	0.4	–0.4	–1.3
Net interest proceeds	2.7	2.1	3.0	3.5	3.4
Overall balance	3.4	3.8	3.4	3.0	2.2
Financial assets	36.6	42.5	57.3	65.9	64.8
Real rate of return + 2%					
Unchanged contributions					
Primary balance[2]	0.6	1.7	0.4	–0.4	–1.3
Net interest proceeds	2.7	3.1	5.1	7.1	9.1
Overall balance	3.4	4.8	5.5	6.7	7.8
Financial assets	36.6	46.3	73.0	101.7	129.4
Real rate of return + 2%					
Contributions – 1% of GDP					
Primary balance[2]	0.6	0.7	–0.6	–1.4	–2.3
Net interest proceeds	2.7	3.0	4.0	4.8	5.0
Overall balance	3.4	3.6	3.4	3.4	2.7
Financial assets	36.6	43.0	57.0	67.3	69.6

1. Main assumptions: rate of growth of labour productivity 2 per cent; ratio of employment over working age population increasing from 67 per cent in 1995 to 71 per cent in 2000, constant thereafter; inflation 2.5 per cent per year; real rate of return 3 per cent per year (baseline scenario); demographic projections taken from the Worldbank.
2. Excluding net interest proceeds.

Source: OECD Secretariat.

experiences show that pension funds usually achieve much higher rates of return than are considered normal in Finland. For example, in the United Kingdom few actuaries now use market interest rates as the relevant bench mark for evaluating a pension fund's investment performance, with the achieved (nominal) rate of return having hovered around 17.5 per cent since the 1970s.[48] Returns of this order of magnitude require, however, a much larger weight of shares in the funds' portfolios than currently adopted in Finland (Table 19). In the Netherlands, for example, the optimal size of pension funds' share holdings is considered to vary between 50 and 100 per cent of the total portfolio, dependent upon the maturity of the liabilities to be covered (Table 21).[49] By contrast, bonds should ideally represent not more than 25 per cent of the funds' portfolio.[50]

Notwithstanding the measures that have been taken to date, Finnish pension institutions are still faced with a number of constraints regarding their portfolio

Table 21. **Optimal portfolio compositions of pension funds**

Per cent of total assets

Time horizon	Type of asset		
(years)	Cash	Bonds	Shares
1	20	27	53
3	14	26	61
5	10	12	78
10	0	14	86
15	0	6	94
20	0	0	100

Source: Goslings (1994).

policy. *Firstly*, the capitalisation of the Helsinki stock exchange appears to be too small to absorb the pension funds' resources, despite the recent wave of privatisations of State companies (see Chapter III). *Secondly*, Finnish pension funds are constrained by EU regulation (*i.e.* the Pension Fund Directive) stipulating that pension funds' foreign securities holdings must not exceed a risk-adjusted 20 per cent of their total portfolio. Even though this restriction is likely to be lifted for investments in EMU countries once the single European currency is established, pension funds in Finland may not be able to benefit fully from the diversification opportunities in emerging stock markets outside Europe.[51]

Thirdly, the institutional setting of the employment pension system itself may need to be changed in order to strengthen the incentives for pension funds to become more active participants in international capital markets and raise their rate of return. At present such incentives are relatively weak, as there appears to be only limited scope for pension institutions to compete for market shares on the basis of returns. This is due to the statutory character of pension contributions, which are essentially based on negotiations between the social partners and the Federation of Employment Pension Institutions. Since these cannot be changed by any individual institution for its own purposes (or only to a limited extent through small bonus discounts), practically no price differentiation across institutions is possible (some competition between pension institutions nonetheless exists, but is largely confined to the conditional sales of services such as counselling and accounting). Moreover, although employers are free to tender pension insurance companies, they find it difficult to switch pension institutions once they

have concluded a contract, given that this would entail the loss of the right to take out loans against their contributions paid in the past (*i.e.* re-lending) as well as of bonuses that may be granted and the stamp duty. In addition, there are significant barriers for market entry for new pension institutions. In particular, foreign insurance companies are not allowed to offer employment pension insurance in Finland without prior permission from the Ministry of Social Affairs and Health (Finland has been granted an exemption from the EU's Third Insurance Directive stipulating freedom of insurance companies to sell their products in EEA countries).

The introduction of greater competition between pension institutions may thus require: *i)* the reduction or abolition of the above penalties on fund-switching; *ii)* the admission of foreign entrants in the market for pension insurance; *iii)* the permission of a greater variation in pension contributions; and, *iv)* more generally, an enhanced transparency of the system. While such a move could lead to higher rates of return, it would need to be accompanied by close monitoring by the authorities to ensure sufficient solvency and liquidity of the funds to avoid excessive risk taking. This is all the more necessary since there is considerable moral hazard associated with the choice of pension institutions by employers, which arises from the fact that the pension liabilities are guaranteed by these institutions collectively.[52]

Enhancing the actuarial fairness of the system

Increasing the actuarial fairness of pensions tends to remove the tax character of contributions and accordingly reduce labour market distortions.[53] The degree of actuarial fairness achieved within a pension scheme depends upon the long-term rate of return the insured workers achieve on their contributions, which, in turn, varies with the amount of income redistribution associated with the scheme. Unlike defined-contribution schemes, flat-rate or defined-benefit systems do entail such redistribution, due to the weak (or absent) link between the amount of contributions paid and the pensions received (Table 22).[54] This characteristic is heightened by the intergenerational transfers associated with PAYG financing arrangements, in particular in a context of population ageing. Given that the contribution base is declining relative to benefit payments as the old-age dependency ratio increases, the long-run rate of return in such schemes tends to

Table 22. **Key characteristics of pension systems**

	Flat rate	Defined benefit	Defined contribution
Motive	Poverty alleviation	Income maintainance	Deferred income
Coverage	Universal	Occupational	Individual
Redistributional thrust	Strong	Varies inversely with funding rate	None
Insurance against demographic shocks	Weak	Varies with funding rate	Strong
Insurance against financial market risk	Strong	Varies inversely with funding rate	Weak
Insurance against political risk	Weak	Weak if statutory, otherwise strong	Strong
Incentives to invest in human capital	Weak	Strong	Strong
Portability of rights	Yes	Depends on rules	Yes
Administrative costs	Relatively low	Relatively low	Relatively high

Source: OECD Secretariat, based on Breunesse (1996) and Bovenberg and Van der Linden (1996).

be very small, if not negative. By contrast, the long-run rate of return achieved in defined-contribution schemes is not affected by the ageing process, as it solely depends on the yield on financial investments. Moreover, defined contribution schemes are less vulnerable to ''political risks'' of unexpected cuts in pension entitlements as these are based on well-defined property rights.[55]

With the new definition of the pensionable wage in the employment pension scheme – the earnings of the last ten years of every employment contract – and the abolition of the flat-rate component in the national pension scheme, the link between lifetime pension contributions and benefits has been significantly tightened in Finland. These measures therefore contributed to enhancing the actuarial fairness of the Finnish pension system. However, adopting *career-average* earnings as the basis for the pension benefit computation would strengthen actuarial fairness further. More specifically, this would remove the current distortion whereby workers who change jobs accrue pension entitlements based on earnings at various stages of their career, whereas workers who stay with the same employer have pension entitlements based on end-of-career earnings. This bias

represents a potential disincentive for job mobility across firms and, as such, could act as a source of labour market rigidity – the more so since in Finland seniority within a single firm tends to yield higher earnings than work experience acquired with other employers.[56]

As noted, one aspect of defined-contribution systems which is particularly appealing is the potential reduction of distortions of labour market behaviour. In addition, defined-contribution schemes may be conducive to better developed capital markets and stronger economic growth, as has been argued in the case of Chile.[57] However, such schemes also have a number of drawbacks. First, the management of defined-contribution schemes appears to be relatively costly, and, although the rate of return in the Chilean system is high, it may not always be possible to duplicate this in a developed country to the same extent. Defined-contribution schemes have also been criticised for being unable adequately to insure workers against financial market risks, unlike a defined-benefit/PAYG scheme. These features would argue for a combination of defined-benefit and defined-contribution schemes within the existing Finnish pension system, in order to diversify the risks associated with each of them. Moreover, in order to avoid the potential risk of adverse selection, such a defined-contribution scheme would need to be subject to specific rules to this effect.

Fiscal policy implications

So far, the emphasis of pension reform in Finland has been on: *i) reducing the effective replacement rates,* by raising the number of contribution years on which the pensionable wage is based; *ii) modifying indexation provisions,* which lead to an erosion of purchasing power of pensioners relative to active wage earners; *iii) extending retirement ages,* by delaying the age at which a worker becomes eligible for certain pension schemes, a measure which has affected public workers as well as people opting for pre-retirement schemes; and *iv) increasing the funding rate* of the employment pension scheme, with the emphasis on enhancing the rate of return on capital in pension institutions. All this is expected to lead to a gradual reduction in the cost of the pension system, and, as such, support the fiscal consolidation process. However, the government should guard against using this achievement as an argument for tolerating slippage in the central government budget, which still shows a substantial deficit (Chapter II). Formally excluding the financial surpluses of the employment pen-

sion scheme from the overall fiscal targets could provide an insurance against such undue fiscal slippage.

It should also be noted that a more fundamental reform of the benefit and funding rules of the employment pension system, as suggested above, would entail a significant fiscal transition problem. If a defined-contribution scheme is introduced, the existing scheme would still have to meet its obligations and accordingly continue to pay out pensions. At the same time, the flow of pension contributions into the existing scheme would progressively diminish as future cohorts of workers enter the new scheme. As a result, whereas the new scheme would accumulate financial assets as contributions start to pour in, the opposite would occur in the current system, which would therefore generate a net liability – even if the consolidated balance sheet of the employment pension system as a whole would be unaffected.[58] This problem could be dealt with in various ways. First, the government could assume the net liability of the existing scheme and issue bonds in order to ensure its financing. Alternatively, the government could provide guarantees allowing the pension institutions to issue bonds at preferential rates themselves. Finally, the government could accelerate the consolidation of the State budget in order to free up the required funds. In practice, however, a mixed approach would probably be the most feasible.

Notes

1. It should be noted, however, that recent year-to-year changes in (real) disposable income and saving have been affected by the postponement of the 1994 tax refund to 1995.
2. Private companies have been required to grant permanent contracts to workers in subsidised jobs after a six-month period (Chapter III).
3. The apparent reluctance of employers to hire people on an indefinite or full-time basis may be attributable to the high cost of lay-offs related to tight job protection legislation.
4. See the 1996 OECD *Economic Survey for Finland,* note 6, p. 124.
5. These measures included an increase in the loans granted to housing corporations at reduced interest rates, a front loading of the renovation programme for public buildings and the creation of a government guarantee fund in support of people wishing to apply for a mortgage loan. These initiatives primarily affected the fiscal position of municipal governments.
6. The sharp improvement in central government finance in 1996 was based on a continued freeze of nominal expenditure (at around Mk 190 billion) and a 16½ per cent hike in tax proceeds – the latter reflecting the sustained recovery of domestic demand, an increase in the corporate income tax rate from 25 to 28 per cent and a higher excise duty on petrol. It should be noted, however, that a reduced income tax take in 1995, related to the deferral of the 1994 tax refund, has tended to boost the reported increase in tax proceeds in 1996.
7. Such corrective expenditure cuts were, in fact, decided as part of the Employment Programme.
8. This scenario, which is based on a recent update of the official Convergence Programme, assumes that central and local government expenditure grows by 1 per cent per year in real terms in the period 1997-2001, while the central and local government tax receipts and the surplus of the social security funds remain constant as a share of GDP. At the same time, real GDP would grow by 3½ per cent on average in the same period, while the unemployment rate would gradually decline to 10½ per cent in 2001.
9. This partly reflects an institutional change: cash dispensing automatic teller machines (ATMs) are progressively being handled by non-bank companies, bank notes in these ATMs are increasingly reported in the financial statistics as held by the public.
10. The EEA agreement has required substantial harmonisation of Finnish laws with the EU's *aquis communautaire,* to ensure free movement of people, capital, goods and services within the European single market. The EU membership, in addition, required the country to open up the previously tightly-protected food sector.

11. *OECD Environmental Performance Reviews of Finland,* Paris, to be published in October 1997.

12. The net replacement rate amounts to 100 per cent for persons with previously two-thirds of average production worker (APW) earnings, one of the highest levels in the OECD countries. For married couples with two children, where an unemployed person's former earnings were two-thirds of APW earnings, and the spouse's earnings are one-half the APW, the net replacement rate has been found to be 117 per cent. Source: Ministry of Finance

13. *Source:* Ministry of Finance.

14. The relatively generous UI system requires an employment history, with the result that most younger workers qualify only for the basic support available from the flat-rate Unemployment Assistance (UA) and means-tested Labour Market Support (LMS) systems. Consequently, there is less financial incentive for younger workers to stay on public income replacement. See P. Holm, M. Pyy and J. Rantala, *Households' income and job finding of unemployed persons during 1987-1992 in Finland* (mimeo), 1997.

15. Measures not directly related to the labour market, *e.g.* stimulus for the construction sector, are not discussed here.

16. Measures to enhance product market competition, included in the chapter on *Implementing the OECD Job Strategy,* are discussed separately in the section on Industrial policies below.

17. See Chapter III, *Implementing Structural Reform,* in the 1997 *OECD Economic Survey of Denmark*.

18. See report by Auditors of the Parliament, 1996.

19. This is not without causing ambiguity for competition policy. For example, it recently became necessary for the OFC to submit a merger case to the European Commission, which ruled that a dominant Finnish distribution firm sell part of its domestic retail network it had acquired earlier through a merger.

20. A bill to this effect will be submitted to the Parliament in the Autumn of 1997.

21. OECD Environmental Performance Review: Finland, *op. cit.*

22. In France and Switzerland the coverage of occupational pension schemes is almost 100 per cent and in the Netherlands 70 per cent. Coverage in the 30 to 50 per cent range is found in Australia, Canada, Germany, Japan, the United Kingdom and the United States; see Daily and Turner (1992).

23. In fact, voluntary occupational pension schemes exist only in large companies. The share of individual pension insurance schemes is still very small, although contributions to such schemes almost doubled between 1995 to 1996 to Mk 1.7 billion (0.3 per cent of GDP).

24. However, older public-sector workers are still entitled to a 66 per cent replacement rate based on the rules prevailing prior to a 1993 reform (see below).

25. European countries with higher replacement rates than in Finland are Luxembourg, France, Portugal, Italy, Spain and Greece. Lower replacement rates than in Finland are found in Ireland, the United Kingdom, the Netherlands, Denmark and Belgium; see EUROSTAT (1993).

26. As the occupational pension schemes approach maturity, and also on the account of the gradual abolition of a small flat-rate benefit included in the national pension, the share of national pensions in total pension benefits will progressively diminish.

27. Moreover, in most other OECD countries occupational schemes are not included in public expenditure as defined in the National Accounts.

28. A pension system is said to be fully funded if the available financial assets exactly match the present value of the pension obligations at any point in time. In the employment pension system, the funding rate (the ratio of assets to liabilities) is around 25 per cent.

29. This so-called funding rate refers to accrued pension obligations only. Including obligations which are likely to accrue in the future given expected job durations, the funding rate would be lower; see for example Disney and Whitehouse (1996).

30. In most OECD countries, the ratio of pension expenditure to GDP is expected to increase to peak at a level in the 10 to 15 per cent range, see Van den Noord and Herd (1994), Leibfritz *et al.* (1995), Roseveare *et al.* (1996) and Beltrametti (1995).

31. Excepting employers who had made use of the ''re-lending'' facility (see below).

32. See for an extensive discussion of the increasing cost of the welfare system Chapter IV of the 1994/95 *Economic Survey* for Finland.

33. See Kenc and Perraudin (1996).

34. Initially, the employees' contribution rate was fixed at 3 per cent, but on the understanding that future increases in pension contributions were to be split on a fifty-fifty basis between employers and employees.

35. With effect from 1 January 1997, the pension accrual factors of job seekers receiving unemployment insurance benefits will also be reduced from 1.5 to 1.2 per cent per annum.

36. Or ten times the difference between 1.5 and 1.2 plus five times the difference between 2.5 and 0.8. However, in cases where the replacement rate exceeds the legal maximum of 60 per cent, accrual rates are adjusted downwards. In the extreme case of someone reaching the maximum of 40 contribution years by the age of 65, early retirement at the age of 50 would accordingly imply a 6.5 per cent cut in the replacement rate rather than a 11.5 per cent cut.

37. In fact, the years with the highest and the lowest (indexed) earnings are disregarded, so that the average is based on two years only.

38. Moreover, the new rule limits the previously strong incentives for workers to claim sharp wage increases towards the end of their career in order to maximise their pension benefit.

39. A noteworthy feature of this procedure is that pensions are always paid out by the last institution where a claimant was registered prior to retirement. Given that a claimant may have accumulated pension entitlements in various institutions, this feature requires the operation of an extensive clearing system by the Central Pension Security Institute.

40. In practice, only the surplus returns on the pension funds' assets can be used for cuts in contribution rates whereas the surplus return on the reserve capital may accrue to shareholders.

41. Assuming a 2 per cent rate of growth of labour productivity and a gradual reduction in the unemployment rate to 7.5 per cent. In addition, the rate of inflation is assumed to remain at 2.5 per cent, implying a real rate of interest of 3 per cent.

42. See Roseveare *et al* (1995).

43. For example, the OASDI (Old-Age, Survivors and Disability) trust fund in the United States would peak in 2020 at 25 per cent of GDP before depleting by 2040, see Duggan (1991).

44. For example, a reduction in pension entitlements in 1977 in the United States did not lead to the theoretically expected increase in labour supply for older cohorts as these appeared to prefer to reduce their post-retirement savings instead – see Krueger and Pischke (1992). Indeed, the ''life-cycle'' model on which the expected effect is based may not hold, in particular if savings propensities of post-retirement income are high – see Chang (1991). According to Börsch Suppan (1993), however, future cohorts of pensioners are likely to behave more in line with the life-cycle model than current ones.

45. This has been the experience in *e.g.* Australia, see Atkinson *et al*. (1996).

46. See Breyer and Straub (1993) and Kenc and W. Perraudin (1996).

47. In the United States there is evidence to suggest that the funding rates of public pension schemes tend to vary inversely with the degree of unionisation, see Mitchell and Smith (1994).

48. Davies (1991).

49. See Goslings (1994). It should be noted that in Finland income from shares held by pension funds is taxed at a rate of 28 per cent (the corporate tax rate) whereas such income is tax free in the Netherlands.

50. From a very long-run perspective, including the pre-war period and the 19th century, shares appear to have substantially outperformed bonds, see Siegel (1992).

51. Fischer and Reisen (1994).

52. This has been confirmed by recent jurisprudence. In one case where a parent company of a pension institution went bankrupt and its financial assets were lost, the authorities orchestrated a bail-out financed collectively by other institutions.

53. Besseling (1994).

54. Although it should be noted that the re-distributional impact through differences in mortality is defined-benefit systems is limited by the positive correlation between life expectancy and life-time contributions (and earnings), see Creedy *et al.* (1993). On the other hand, defined-benefit systems contain another redistributional effect related to the fact that the pension coverage cannot be changed by the participants, implying an implicit transfer from those who would prefer lower coverage to those who would prefer higher coverage – see Mirer (1993).

55. Bovenberg and Van der Linden (1996).

56. Lilja (1995).

57. Holzman (1996).

58. A recent calculation for the major seven economies suggest that a full transition from PAYG-financed to fully-funded defined-contribution pensions would imply that the existing schemes accumulate net liabilities of on average 65 per cent of GDP (offset by asset formation in the new schemes) in the coming five decades; see Chand and Jaeger (1996).

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Annex I

Chronology of main economic events and policy measures

1996

January

The *State Budget* for 1996 is adopted by the Parliament. Expenditure totals Mk 193.5 billion and revenue Mk 158.2 billion. Relative to the budget for 1995 expenditure will decline by 1.2 per cent, whereas revenue will grow by 16.5 per cent. The net borrowing requirement amounts to Mk 35.3 billion.

The validity of the Currency Act is extended until the end of 1998. The surveillance of foreign exchange risks is transferred from the Bank of Finland to the Financial Supervision Authority.

Various adjustments are made in taxation, including a 2 per cent inflation adjustment in all income tax scales and an increase in the rate of tax on capital and corporate income from 25 to 28 per cent. The tax treatment of mergers, divisions and transfers of business activities is changed, with swaps of shares by which limited companies acquire the majority of votes in another company no longer regarded as surrenders. Revisions are made in the Value-Added Tax Act to smooth the VAT treatment of trade with EU-member states. Foreigners with special expertise can claim a 35 per cent income tax rate to be applied for 24 months. The tax deductibility of voluntary pension insurance contributions paid to foreign insurance companies is removed. The excise duty on motor petrol is raised by Mk 0.40 per litre.

A number of labour-market measures are adopted. Henceforth a full-time employee may stay on rotation leave, with the employer being obliged to employ an unemployed person during the leave. Participants in voluntary vocational training will receive an allowance. Persons of the age of 17 years will not be entitled to labour market support unless they participate in an active labour market policy programme. The right to labour market support will be lost by persons of the age of 18 and 19 years, who refuse a job offer, training, job experiments or rehabilitation without any acceptable reason, or who have failed to apply for vocational training suitable for them. Earned income deductions in local government taxation will be granted for taxation for 1996 and 1997.

In 1996 the local tax rate rises in five municipalities and falls in 34 municipalities; according to preliminary estimates the tax rate averages 17.51, *i.e.* 0.02 per cent less than in 1995.

The state grant system for municipalities is revised. The differences between municipalities in financial strength will be levelled off by state subsidies. State grants will be cut by Mk 3.8 billion.

The Cabinet's Economic Policy Committee recommends that *i)* the assets and liabilities of the asset management company Sponda Group – which has managed assets of Skopbank since 1991 – will be transferred from the Bank of Finland to the State; *ii)* direct subsidies to shipyards be introduced as the EU continues to allow the payment of 9 per cent production support; *iii)* the government settle its coinage-related debt to the Bank of Finland in the amount of some Mk 2 billion; and *iv)* the Government Guarantee Fund be transferred to the authority of the Council of State.

February

The Parliamentary Supervisory Board lowers the Bank of Finland's base rate from 4.75 to 4.5 per cent.

The first supplementary budget proposal for 1996 is presented to Parliament. Net borrowing will increase by Mk 678 million. Interest subsidy loans are being introduced for housing corporations, and the state will grant guarantees for private housing loans. A public building renovation scheme is front-loaded, subsidies for shipyards introduced and environmentally-oriented projects started. These measures should increase employment by a total of 18 000 person years.

The Council of State decides on the expenditure frames for 1997-1999. The frames for state expenditure total Mk 196.5 billion for 1997 and Mk 194 billion for 1998 and 1999. A reduction in the rate of VAT on foodstuffs scheduled for 1998 is abandoned.

March

The Bank of Finland lowers its tender rate from 4.25 to 3.75 per cent. In addition, the interest rate on banks' excess reserves is cut from 2.25 per cent to 1.75 per cent.

The government submits a bill to Parliament to amend the Currency Act, which will create the legislative basis for joining the ERM of the EMS. A future decision on joining the ERM will remain in the hands of the Council of State upon proposal by the Bank of Finland.

April

The rate of imputed interest on the TEL (employment pension) assets is lowered by 0.5 percentage points to 6 per cent due to the fall in the general interest rate level.

The system of housing financing is revised in order to stimulate housing demand and construction by extending a restricted state guarantee for housing loans of individuals. At the same time, the requirement of prior saving called for under the home saving system is reduced from 20 to 15 per cent

Parliament approves the first supplementary budget for 1996. Expenditure totals Mk 874 million. The rise in appropriations is financed without increasing net borrowing.

May

The Government Guarantee Fund ceases to operate as a separate unit and its employment contracts are allowed to expire and personnel transferred to the Ministry.

The Finnish Government buys the entire share capital of Sponda Oy at a purchase price of Mk 1 232 million.

The Government approves a proposal of the working group on employment incentives. Its aim is to integrate taxation and social service schemes, so that their combined impact will stimulate working and studying.

The Government introduces a bill to the Parliament to reform the unemployment insurance system. The proposed reform aims to improve the active elements of the system, including extending the period of employment required to qualify for the earnings-related unemployment benefit from six to ten months.

The Council of State announces to parliament its plan to consolidate the financial system by means of various measures and to recover public support to the state.

June

The amendments to the Currency Act enter into force, paving the way for Finland to join the EU Exchange Rate Mechanism (ERM).

The Bank of Finland lowers its tender rate from 3.75 to 3.60 per cent. In addition, the interest rate on banks' excess reserves is cut from 1.75 to 1.60 per cent.

July

The Bank of Finland lowers its tender rate from 3.60 to 3.50 per cent. In addition, the interest rate of banks' excess reserves is cut from 1.60 to 1.50 per cent.

The right to apply higher customs tariffs than the common customs tariff within the European Community up to the end of 1997 was relinquished with respect to textiles, clothing and other products.

A municipality or a municipal corporation can receive employment support, if it agrees with employees on an experimentation of working hours, so that the number of working hours will be reduced and the shortened working time will be replaced by hiring unemployed.

August

The Bank of Finland issues new monetary policy-related guidelines for credit institutions.

The Bank of Finland lowers its tender rate from 3.50 to 3.25 per cent. In addition, the interest rate on banks' excess reserves is cut from 1.50 to 1.25 per cent.

Securities trading and loan agreements guaranteed by the State Guarantee Board exempted – the latter only partially – from stamp duty.

The Act on Brokerage Firms is repealed and the professional provision of other investment services becomes subject to licensing.

Revisions to the Cooperative Bank Act make it possible to set up a corporation to be supervised in a consolidated way, with the central organisation and member credit institutions responsible for the liabilities and commitments of each other.

State aid to business allowed for projects improving the operational environment of companies, particularly for projects to be partly financed from the structural funds of the EU.

September

The Parliamentary Supervisory Council lowers the Bank of Finland's base rate from 4.5 to 4 per cent.

The Bank of Finland lowers its tender rate from 3.25 to 3.1 per cent. In addition, the interest rate on banks' excess reserves is cut from 1.25 to 1.1 per cent.

The state budget proposal for 1997 is presented to Parliament. Expenditure totals Mk 190.8 billion and revenue, excluding borrowing, Mk 162 billion. The net financial requirement in the budget, Mk 28.8 billion, is to be covered by an equal amount of net borrowing. Transfers will be reduced by 6 per cent in real terms, consumption expenditure by 1.5 per cent and investment expenditure by over a fifth. State nominal interest expenditure will rise by 7 per cent. The budget proposal suggests that expenditure will be cut back Mk 6 billion. These savings, which were for the most part decided in 1995, include cuts in transfers to local government, reductions in unemployment and certain other social benefits, cuts in support to the business sector, postponement of social reforms, rationalisation in the fields of defence, workplace health care and university organisations and regional government. Additional income of Mk 1 billion is expected from the privatisation of state-owned companies. The budget includes income tax cuts totalling about Mk 5½ billion. Part of the cuts is to be implemented through local income taxation. To finance the state income tax cuts environment-based taxes are to be increased by Mk 1 billion.

The Government approves an updated convergence programme for Finland.

October

The Bank of Finland lowers its tender rate from 3.1 to 3 per cent. In addition, the interest rate on banks' excess reserves is cut from 1.1 to 1 per cent.

Finland joins the EU Exchange Rate Mechanism (ERM) as of 14 October 1996, with a markka central rate of 5.80661 per ECU.

The Council off State entitles the Ministry of Trade and Industry to sell 18 million shares of the state-owned company Kemira Oy.

November

Working hours legislation is simplified and clarified in a new Working Hours Act. Flexibility agreed on in collective agreements may be applied by non-organised employers within the framework of collective agreements. Employers shall be allowed to keep their employees overtime up to 250 hours per calendar year (previously 320 hours); the maximum of additional overtime shall be 80 hours per calendar year (previously 160 hours).

Parliament approves the second supplementary budget for 1996. Expenditure totals Mk 6.9 billion and revenue Mk 3.6 billion.

December

Parliament approves the third supplementary budget for 1996. Expenditure totals Mk 1.46 billion. The net budgeted financial requirement totals Mk 37.5 billion.

According to the EU legislation a tax border in value-added taxation will be established between the Åland Islands and other parts of Finland.

1997

January

The Government submits to Parliament a proposal for an Act on the Bank of Finland and certain related acts. The primary aim of the new legislation will be the safeguarding of the value of money. The role of the parliamentary Supervisory Board will change, emphasising its supervisory and administrative role, while monetary policy decisions and implementation will entirely be concentrated to the Board of Directors of the Central Bank. The new law also begins the process of making the Central Bank more independent of public financing needs, a requirement of the second stage of the EMU. The Currency Act, however, will continue in its present form, until the European System of Central Banks is set up in accordance with Article 1091 of the Treaty establishing the European Community.

The state budget for 1997 is adopted by the Parliament. Expenditure totals Mk 190.3 billion and revenue, excluding borrowing, Mk 162.0 billion. Relative to the 1996 budget, expenditure will decline by 1.7 per cent, whereas revenue will grow by 2.4 per cent. New saving measures will cut expenditure by Mk 6 billion. Saving measures effective in 1995, are to be extended. Of the saving measures undertaken in 1995-97, Mk 23.5 billion will be realised in 1997.

In 1997 the rate of the employers' average employment pension TEL contribution (long-term employment) will be 16.7 per cent and that of the LEL contribution (short-term employment) 17.7 per cent, and those of the YEL (self-employed persons) and the MYEL (farmers) contribution 20.7 per cent. The average rate of the local government employers' pension contribution will be 20.8 per cent and that of the state pension contribution 19.0 per cent of the payroll. The rate of the employees' pension insurance contribution will be 4.5 per cent of wages.

In 1997 the rate of the employers' unemployment insurance contribution will be 1 per cent for the first Mk 5 million of the payroll and 4 per cent for the amount in excess of that. The rate of the employees' unemployment insurance contribution will be 1.5 per cent of wages. The shares of contribution to earnings-related daily allowances were temporarily revised so that the share of the state will be 54.5 per cent, that of employers' 40 per cent and that of insured 5.5 per cent.

In the private sector, the rate of the employers' old age insurance contribution will be 2.40, 4.00 or 4.90 per cent of the payroll, depending on the capital-intensity of the company, and 3.95 per cent in the public sector; in the private sector, the rate of sickness insurance contribution will be 1.60 per cent and in the public sector 2.85 per cent of the payroll. Old age insurance contributions of the insured will be abolished. The rate of the sickness insurance contribution of the insured will be 1.90 per cent of the taxable income up to Mk 80 000 per annum and 2.35 per cent of the income in excess of that. An additional sickness insurance contribution of 3 per cent of pension income will be collected from pension recipients.

The maximum amount of earned income deduction in local government taxation is raised.

Stamp duty on securities and real property surrenders is replaced with an assets transfer tax of 1.6 and 4 per cent, respectively.

An inflation adjustment, corresponding to the 4 per cent rise in the price level, is made to income tax scales. The marginal tax scales in the income tax scales are lowered by 1 percentage point. Wealth tax scales remain unchanged.

The period of employment entitling to the earnings-related unemployment benefit is extended from six to ten months and the pay forming the basis for earnings-related daily allowances is to be calculated from the date when the employment requirement is fulfilled. New allowances shall be at least 80 per cent of the previous allowances. The incentive for earning additional income while benefiting from unemployment insurance is

improved. The period of unemployment benefit for the long-term unemployed over 53 years of age will be shortened by two years.

Persons of age 20 to 24 years lacking any vocational training shall not be entitled to labour market support if they, without any acceptable reason, refuse a job offer, studying or vocational training.

The index freeze of unemployment benefits will continue in 1997-99.

The state's contribution to the Social Insurance Institution is to increase by Mk 2.4 billion mainly because payment agreements (housing support to people receiving national pension and reductions in municipalities' social security contributions). The additional and basic national pension are abolished.

The tax rate rose in ten municipalities and fell in 45 municipalities, according to preliminary data, the tax rate averaged 17.43, *i.e.* 0.08 per cent less than in 1996.

February

The Government agrees on a new four-year budgetary framework, with overall expenditure ceilings for each year, such that the decline in the central government debt-to-GDP ratio by 1999 envisaged in the Governments programme manifesto in the Spring of 1995 is met and thereby also not exceeding the limits for public deficits and debt prescribed in the Maastricht Treaty.

April

In preparation for Stage Three of the EMU, Working Groups on the EMU present to the Government a detailed national changeover plan, for the switch from the markka to the euro.

The Council of State entitles the Ministry of Trade and Industry to sell shares of the state-owned company Rautaruukki Oy; leaving the state with at least 41 per cent of the shares.

May

The Council of the European Union approves the abrogation of its decision on the ''existence of an excessive deficit'' in Finland, as the share of general government deficit and debt in Finnish GDP were 2.6 and 58.7 per cent, respectively, in 1996 and are expected to attain 1.9 and 59.1 per cent in 1997.

STATISTICAL ANNEX AND STRUCTURAL INDICATORS

Table A. **Selected background statistics**

	Average 1987-96	1987	1988	1989	1990	1991	1992	1993	1994	1995	1996
A. Percentage changes											
Private consumption[1]	1.2	5.2	5.1	4.3	0	–3.6	–4.9	–2.9	1.9	3.7	3.3
Gross fixed capital formation[1]	–2.5	4.9	9.8	14.8	–4.1	–20.3	–16.9	–19.2	0.2	8.5	5.5
Public investment[1]	–0.8	10.8	5.2	–12.3	14.1	–0.2	–2.0	–17.8	1.6	–2.8	0.1
Private investment[1]	–2.8	4.0	10.6	19.1	–6.2	–23.1	–19.6	–19.5	–0.2	11.1	6.7
GDP[1]	1.4	4.1	4.9	5.7	0	–7.1	–3.6	–1.2	4.5	4.5	3.3
GDP price deflator	3.4	4.7	7.0	6.1	5.8	2.5	0.7	2.4	1.3	2.2	1.0
Industrial production	3.0	5.0	3.2	3.6	–0.6	–8.7	1.3	5.6	11.3	7.3	3.9
Employment	–1.5	–0.3	0.3	1.6	–0.1	–5.2	–7.1	–6.1	–0.8	2.2	1.4
Compensation of employees (current prices)	4.5	8.7	10.6	11.6	9.5	0.2	–3.3	–4.3	3.9	5.4	4.3
Productivity (real GDP/employment)	3.0	4.4	4.6	4.0	0.1	–2.0	3.8	5.3	5.4	2.3	1.9
Unit labour costs (compensation/real GDP)	3.0	4.5	5.4	5.6	9.5	7.8	0.3	–3.1	–0.6	0.9	0.9
B. Percentage ratios											
Gross fixed capital formation as per cent of GDP at constant prices	21.4	24.8	25.9	28.1	27.0	23.2	20.0	16.3	15.6	16.2	16.6
Stockbuilding as per cent of GDP at constant prices	0.2	–0.3	0.6	1.5	0.6	–2.0	–1.3	–0.8	1.6	1.4	0.6
Foreign balance as per cent of GDP at constant prices	2.7	1.4	–0.2	–2.0	–1.5	–0.2	2.0	6.3	6.9	7.5	7.3
Compensation of employees as per cent of GDP at current prices	57.8	57.5	56.7	56.4	58.3	61.4	61.1	57.8	56.7	56.0	56.0
Direct taxes as per cent of household income	16.1	16.1	17.5	17.2	17.2	15.8	14.7	14.5	16.3	15.6	16.8
Household saving as per cent of disposable income	2.3	2.9	–1.2	–0.6	0.4	5.1	7.1	5.2	0.4	2.8	1.3
Unemployment rate	10.7	5.1	4.5	3.5	3.5	7.6	13.1	17.9	18.4	17.2	16.3
C. Other indicator											
Current balance (billion dollars)	–2.4	–1.7	–2.7	–5.8	–6.9	–6.6	–4.9	–1.1	1.4	4.5	..

1. At constant 1990 prices.

Table B. **Supply and use of resources**

Mk million, current prices

	1987	1988	1989	1990	1991	1992	1993	1994	1995	1996
Private consumption	211 534	232 580	254 588	269 754	274 709	272 114	275 252	284 425	295 779	309 255
Public consumption	80 046	87 199	96 019	108 535	118 719	118 453	112 190	114 001	119 722	125 915
Gross fixed investment	92 541	109 258	136 148	139 144	110 061	87 953	71 194	74 186	83 289	88 020
Final domestic demand	384 121	429 037	486 755	517 433	503 489	478 520	458 636	472 612	498 790	523 190
	(9.8)	(11.7)	(13.5)	(6.3)	(–2.7)	(–5.0)	(–4.2)	(3.0)	(5.5)	(4.9)
Stockbuilding	–889	3 006	6 424	2 924	–9 498	–5 833	–3 880	7 892	5 792	3 118
	(0.4)	(1.0)	(0.8)	(–0.7)	(–2.4)	(0.7)	(0.4)	(2.4)	(–0.4)	(–0.5)
Total domestic demand	383 232	432 043	493 179	520 357	493 991	472 687	454 756	480 504	504 582	526 308
	(10.3)	(12.7)	(14.2)	(5.5)	(–5.1)	(–4.3)	(–3.8)	(5.7)	(5.0)	(4.3)
Exports	100 048	108 750	116 702	118 828	109 289	128 272	159 438	182 530	207 242	217 226
Imports	97 775	109 866	125 996	126 600	112 422	121 878	133 450	150 043	161 080	171 726
Foreign balance	2 273	–1 116	–9 294	–7 772	–3 133	6 394	25 988	32 487	46 162	45 500
	(–1.0)	(–0.9)	(–1.9)	(0.3)	(0.9)	(1.9)	(4.1)	(1.3)	(2.7)	(–0.1)
Statistical discrepancy	1 350	3 414	3 113	2 845	10	–2 303	1 653	–1 999	–4 979	–2 362
GDP (market prices)	386 855	434 341	486 998	515 430	490 868	476 778	482 397	510 992	545 765	569 446
	(9.0)	(12.3)	(12.1)	(5.8)	(–4.8)	(–2.9)	(1.2)	(5.9)	(6.8)	(4.3)

Figures in parentheses are annual growth rates; for stockbuilding and the foreign balance they are contributions to GDP growth.
Source: OECD, *National Accounts.*

Table C. **Supply and use of resources**

Mk million, 1990 prices

	1987	1988	1989	1990	1991	1992	1993	1994	1995	1996
Private consumption	246 163	258 821	269 879	269 754	260 031	247 363	240 177	244 761	253 935	262 377
Public consumption	99 878	102 132	104 526	108 535	111 256	108 799	103 028	102 728	104 456	107 478
Gross fixed investment	115 067	126 370	145 054	139 144	110 965	92 237	74 528	74 650	80 978	85 467
Final domestic demand	461 108	487 323	519 459	517 433	482 252	448 399	417 733	422 139	439 369	455 322
	(4.9)	(5.7)	(6.6)	(–0.4)	(–6.8)	(–7.0)	(–6.8)	(1.1)	(4.1)	(3.6)
Stockbuilding	–1 321	2 967	7 978	2 924	–9 567	–6 071	–3 694	7 491	6 738	3 235
	(0.3)	(0.9)	(1.0)	(–1.0)	(–2.4)	(0.7)	(0.5)	(2.4)	(–0.2)	(–0.7)
Total domestic demand	459 787	490 290	527 437	520 357	472 685	442 328	414 039	429 630	446 107	458 557
	(5.2)	(6.6)	(7.6)	(–1.3)	(–9.2)	(–6.4)	(–6.4)	(3.8)	(3.8)	(2.8)
Exports	111 632	115 761	117 241	118 828	110 965	122 059	142 459	161 376	174 580	181 221
Imports	105 175	116 898	127 311	126 600	111 755	112 989	113 842	128 411	137 327	143 445
Foreign balance	6 457	–1 137	–10 070	–7 772	–790	9 070	28 617	32 965	37 253	37 776
	(–1.3)	(–1.6)	(–1.8)	(0.4)	(1.4)	(2.1)	(4.2)	(1.0)	(0.9)	(0.1)
Statistical discrepancy	–1 327	–1 434	–2 003	2 845	7 116	10 605	13 915	14 745	15 313	18 823
GDP (market prices)	464 917	487 719	515 364	515 430	479 011	462 003	456 571	477 340	498 673	515 156
	(4.1)	(4.9)	(5.7)	(0)	(–7.1)	(–3.6)	(–1.2)	(4.5)	(4.5)	(3.3)

Note: Figures in parentheses are annual growth rates; for stockbuilding and the foreign balance they are contributions to GDP growth.
Source: OECD, *National Accounts.*

Table D. **Gross domestic product by industry of origin**

Mk million and percentage changes

	1986	1987	1988	1989	1990	1991	1992	1993	1994	1995
At current prices (Mk million)										
Agriculture, forestry and fishing	24 239	22 612	24 739	28 077	29 043	24 073	21 468	22 081	25 264	20 107
Industry[1]	88 946	98 409	107 640	116 507	116 620	102 455	105 229	114 837	126 954	143 674
Manufacturing	78 197	87 145	95 972	105 225	105 383	89 667	92 426	101 816	112 737	128 561
Electricity, gas and water	9 522	10 018	10 065	9 245	9 504	11 059	11 003	11 334	12 281	13 261
Construction	25 199	27 461	32 940	42 035	43 467	36 962	26 041	20 998	23 303	27 832
Services	183 866	202 210	224 058	250 860	275 982	279 615	273 487	277 531	286 047	298 899
Market services	129 044	141 977	157 967	177 645	193 834	188 832	182 692	191 056	199 014	207 532
Public administration	54 822	60 233	66 091	73 215	82 148	90 783	90 795	86 475	87 033	91 367
GDP (at factor costs)	322 250	350 692	389 377	437 479	465 112	443 105	426 225	435 447	461 568	490 512
At 1990 prices (Percentage changes)										
Agriculture, forestry and fishing	–5.4	–8.0	5.5	7.5	2.5	–11.1	–1.1	4.4	9.7	–2.6
Industry[1]	2.0	6.0	4.0	3.8	–0.4	–9.7	1.7	5.2	11.9	8.6
Manufacturing	2.0	5.9	4.1	4.0	–0.7	–10.9	2.0	5.4	12.5	9.8
Electricity, gas and water	0.6	7.2	2.7	0	1.9	3.1	–0.5	4.2	5.8	–2.7
Construction	2.0	1.3	9.2	14.1	–2.3	–11.6	–14.9	–14.4	–2.0	3.7
Services	3.6	4.9	4.2	5.4	1.5	–4.0	–4.4	–0.9	1.8	2.4
Market services	4.5	5.6	4.9	6.9	1.5	–6.3	–5.4	0.8	2.8	3.0
Public administration	1.6	3.5	2.6	2.0	1.5	1.2	–2.2	–4.5	–0.2	1.0
GDP (at factor costs)	2.4	4.0	4.7	5.9	0.7	–6.6	–3.7	–0.1	4.8	3.9

1. Including mining.

Source: OECD, *National Accounts.*

Table E. **General government account**

Mk million

	1987	1988	1989	1990	1991	1992	1993	1994	1995	1996
Current receipts	178 097	208 584	235 301	261 449	257 560	254 246	252 391	271 661	290 304	312 377
Direct taxes	61 308	74 454	82 179	92 741	88 138	82 270	74 900	87 815	94 598	109 435
Social security contributions	44 800	50 329	56 673	67 243	68 137	70 882	74 097	82 721	84 833	85 200
Indirect taxes	57 388	66 667	75 595	78 025	74 730	71 643	71 556	74 200	75 649	82 612
Other current receipts	14 601	17 134	20 854	23 440	26 555	29 451	31 838	26 925	35 224	35 130
Current expenditure	163 777	176 535	194 731	221 029	251 973	271 327	283 740	294 592	307 528	319 690
Expenditure on goods and services	80 046	87 199	96 019	108 535	118 719	118 453	112 190	114 001	119 722	125 915
Subsidies	11 684	11 271	13 717	14 756	17 174	17 028	16 376	15 856	14 961	16 052
Interest paid	6 571	7 201	7 260	7 511	9 598	12 608	22 335	26 015	29 088	32 931
Social benefits	59 465	64 044	69 930	81 195	96 396	112 924	121 690	128 178	129 282	130 619
Other current transfers	6 011	6 820	7 805	9 032	10 086	10 314	11 149	10 452	14 475	14 173
Saving	14 320	32 049	40 570	40 420	5 587	–17 081	–31 349	–22 931	–17 224	–7 312
Fixed investment	13 371	15 046	14 295	17 286	17 067	15 897	12 811	15 245	15 619	15 234
Capital transfers, net	–588	–3 277	–870	–757	–1 202	–896	–544	1 357	3 636	1 185
Consumption of fixed capital	5 067	5 696	6 294	7 383	7 481	7 401	7 391	7 948	8 646	8 943
Net lending	3 964	17 634	30 756	27 662	–7 179	–27 489	–38 215	–31 585	–27 833	–14 788
(as a percentage of GDP)	1.0	4.1	6.3	5.4	–1.5	–5.8	–7.9	–6.2	–5.1	–2.6

Sources: OECD, *National Accounts.*

Table F. **Balance of payments**

Million US dollars

	1986	1987	1988	1989	1990	1991	1992	1993	1994	1995
Current account										
Merchandise exports	16 247	19 484	22 163	23 244	26 489	22 945	23 914	23 441	29 500	39 950
Merchandise imports	14 563	17 975	20 991	23 475	25 789	20 671	20 141	17 188	21 990	27 763
Trade balance	1 684	1 509	1 172	–231	701	2 273	3 773	6 253	7 510	12 187
Services, net	–2 017	–2 748	–3 384	–4 821	–6 685	–7 913	–7 902	–6 933	–5 778	–6 333
Travel	–459	–683	–852	–1 023	–1 588	–1 483	–1 075	–368	–251	–643
Investment income	–1 286	–1 574	–1 713	–2 681	–3 726	–4 685	–5 447	–4 942	–4 372	–4 317
Other services	–272	–491	–819	–1 117	–1 371	–1 745	–1 380	–1 623	–1 155	–1 373
Transfers, net	–382	–478	–494	–749	–951	–964	–783	–428	–463	–424
Private	–148	–149	–73	–238	–315	–282	–255	–78	–101	–231
Official	–234	–329	–421	–511	–636	–682	–528	–350	–362	–193
Current balance	–715	–1 717	–2 706	–5 801	–6 936	–6 604	–4 912	–1 109	1 269	5 430
Capital account										
Long-term capital, net	–283	15	716	1 475	7 772	11 607	8 579	6 995	4 789	..
Private, direct	–413	–867	–2 078	–2 476	–1 921	–123	1 158	–543	–2 720	–600
Private, portfolio	1 470	1 608	3 037	3 689	5 228	8 201	7 758	6 144	7 400	–737
Public[1]	–109	–144	–543	–442	–220	214	268	805	568	..
Short-term capital, net	–1 304	6 566	1 131	1 623	4 766	–6 324	–5 410	–6 358	–428	..
Private non monetary	–770	786	–928	964	–86	–1 453	933	332	891	..
Private monetary institutions	–534	5 780	2 059	659	4 852	–4 871	–6 343	–6 690	–1 319	..
Miscellaneous official accounts	–743	28	93	491	256	–239	468	–328	–14	..
Allocation of SDRs	0	0	0	0	0	0	0	0	0	..
Errors and omissions	443	–1 572	817	1 289	–2 454	–389	–1 119	955	–683	..
Change in reserves	2 307	–4 063	–137	1 057	–4 033	1 824	2 047	–213	–4 883	339

1. Excludes special transactions.

Source: OECD Secretariat.

Table G. **Labour market**

	1987	1988	1989	1990	1991	1992	1993	1994	1995	1996
Labour force surveys										
Labour force (thousands)	2 554	2 546	2 559	2 556	2 533	2 502	2 484	2 480	2 497	2 503
Employment (thousands)	2 423	2 431	2 470	2 467	2 340	2 174	2 041	2 024	2 068	2 096
Unemployment rate (per cent)	5.1	4.5	3.5	3.5	7.6	13.1	17.9	18.4	17.2	16.3
Employment exchange services										
Unemployed persons seeking work										
Total (thousands)	140.5	127.6	103.4	103.2	213.2	363.1	482.2	494.2	466.0	448.0
Insured (thousands)	42.5	56.9	46.9	47.5	109.5	194.4	268.2	264.0	238.7	237.1
Unfilled vacancies (thousands)	12.4	17.4	30.4	26.9	13.4	7.1	5.9	7.4	8.3	10.1

Sources: Ministry of Labour, *Finnish Labour Review.*

Table H. **Imports: prices, volumes and values by commodity group**

	1986	1987	1988	1989	1990	1991	1992	1993	1994	1995
Import unit values (1980 = 100)										
Total	121	119	122	126	128	131	145	163	158	157
Raw materials	115	112	116	121	120	123	136	155	152	150
Fuels and lubricants	78	68	60	68	72	73	75	82	76	72
Investment goods	140	141	147	146	153	157	181	211	203	200
Consumer goods	149	149	151	155	161	166	177	191	184	184
Volume of imports (1980 = 100)										
Total	110	119	130	144	138	115	112	109	131	141
Raw materials	102	109	112	122	119	103	105	102	124	132
Fuels and lubricants	124	123	125	117	121	106	122	141	167	150
Investment goods	115	125	147	176	158	111	92	91	106	123
Consumer goods	136	158	186	208	200	172	159	148	180	187
Value of imports (cif) (Mk million)										
Total	77 601	82 807	92 118	105 519	103 027	87 744	94 947	103 167	120 547	128 555
Raw materials	45 413	47 147	50 268	56 845	55 473	48 808	55 471	60 989	72 698	76 660
Fuels and lubricants	3 949	3 433	3 056	3 252	3 571	3 137	3 740	4 708	5 146	4 421
Investment goods	12 898	14 138	17 274	20 605	19 365	13 972	13 352	15 396	17 228	19 659
Consumer goods	15 069	17 478	20 828	24 056	23 889	21 193	20 826	21 065	24 619	25 513

Sources: National Board of Customs.

Table I. **Exports: prices, volumes and values by commodity group**

	1986	1987	1988	1989	1990	1991	1992	1993	1994	1995
Export unit values (1980 = 100)										
Total	135	138	145	156	154	154	164	172	175	186
Wood	119	123	130	140	157	155	164	164	175	169
Paper	132	134	143	150	144	139	144	151	149	180
Metal and engines	162	170	176	191	199	206	222	229	238	229
Volume of exports (1980 = 100)										
Total	116	118	121	121	125	114	124	147	167	179
Wood	75	78	75	68	64	58	62	86	105	102
Paper	118	128	135	138	139	136	143	157	175	171
Metal and engines	140	134	144	148	154	123	139	182	203	262
Value of exports (fob) (Mk million)										
Total	82 579	85 516	92 902	99 782	101 327	92 842	107 463	134 112	154 163	176 021
Agriculture	2 209	2 195	1 421	1 406	885	1 053	1 088	1 729	2 922	2 126
Manufacturing	80 028	82 993	91 099	97 862	99 994	91 300	105 876	131 824	150 525	171 741
Wood	6 947	7 470	7 567	7 417	7 810	6 986	7 892	10 915	14 198	13 451
Paper	24 600	27 058	30 474	32 513	31 668	29 693	32 587	37 440	41 249	48 754
Metal and engines	26 115	26 230	29 225	32 682	35 492	29 189	35 740	48 166	55 894	69 336

Sources: National Board of Customs.

Table J. **Foreign trade by area**

Million US dollars

	1986	1987	1988	1989	1990	1991	1992	1993	1994	1995
Imports, total	15 326	19 860	20 911	24 611	27 098	21 708	20 741	18 026	23 336	29 511
OECD countries	11 366	15 050	16 102	19 203	21 574	17 147	16 129	14 081	17 937	23 202
EU	8 824	11 586	12 082	14 528	16 279	12 751	12 201	10 262	12 777	17 009
of which: Germany	2 591	3 454	3 514	4 248	4 603	3 666	3 449	2 938	3 424	4 583
Belgium-Luxembourg	373	509	525	677	741	557	587	528	637	862
France	682	835	829	1 004	1 151	867	853	707	923	1 193
Netherlands	464	612	665	788	859	729	735	647	800	1 091
United Kingdom	993	1 415	1 401	1 605	2 053	1 653	1 791	1 589	1 924	2 420
Sweden	2 049	2 545	2 786	3 338	3 506	2 606	2 353	1 837	2 434	3 411
USA	731	1 042	1 326	1 553	1 833	1 481	1 263	1 313	1 768	2 128
Norway	329	416	470	541	893	963	818	860	1 103	1 213
Non OECD countries	3 861	4 636	4 604	5 196	5 320	4 374	4 239	3 741	5 185	5 730
COMECON	2 779	3 287	2 943	3 368	3 238	2 334	2 062	2 010	2 834	3 235
OPEC	159	180	116	128	164	269	270	69	68	22
Others	924	1 170	1 545	1 699	1 918	1 770	1 907	1 661	2 284	2 473
Exports, total	16 326	20 039	21 639	23 265	26 718	23 081	23 515	23 491	29 754	40 381
OECD countries	11 278	14 668	15 886	17 226	19 961	18 351	18 822	17 390	21 647	28 815
EU	8 716	11 523	12 557	13 515	16 099	14 895	15 374	13 455	16 856	22 402
of which: Germany	1 552	2 157	2 263	2 433	3 204	3 445	3 566	2 981	3 875	5 295
Belgium-Luxembourg	268	347	404	425	549	558	571	483	622	1 139
France	722	1 049	1 125	1 238	1 601	1 322	1 531	1 205	1 447	1 771
Netherlands	558	703	775	903	1 117	1 118	1 187	1 148	1 474	1 662
United Kingdom	1 690	2 253	2 776	2 732	2 766	2 329	2 451	2 393	2 996	4 110
Sweden	2 400	2 974	3 021	3 294	3 749	3 138	2 957	2 548	3 169	4 032
USA	875	1 026	1 236	1 480	1 545	1 402	1 383	1 809	2 101	2 658
Norway	732	943	739	675	799	751	812	734	915	1 179
Non OECD countries	4 840	5 108	5 292	5 539	6 128	4 130	4 088	5 462	7 302	10 346
COMECON	3 554	3 383	3 500	3 721	3 728	1 531	1 547	2 186	3 490	4 348
OPEC	232	261	265	261	275	277	245	264	249	529
Others	1 053	1 464	1 527	1 557	2 125	2 323	2 297	3 012	3 563	5 470

Source: OECD, *Foreign Trade Statistics, Series B.*

Table K. **Prices and wages**

	1987	1988	1989	1990	1991	1992	1993	1994	1995	1996
Consumer prices (1990 = 100)										
Total	84	89	94	100	104	107	110	111	112	113
Food	91	93	97	100	103	103	102	102	95	93
Rent and energy	74	80	93	100	102	102	97	96	98	97
Wholesale prices (1990 = 100)										
Total	89	92	96	100	100	103	108	110	110	110
Domestic goods	87	91	96	100	100	101	104	106	106	107
Imported goods	93	95	99	100	101	107	117	118	118	119
Building costs	81	87	93	100	102	100	101	102	104	103
Wage and salary earnings (1990 = 100)										
Total	77	84	92	100	106	108	109	111	117	121
Industry	77	84	89	100	106	108	110	115	123	128
Workers	76	83	91	100	106	107	107	110	115	120
Private	77	84	92	100	106	108	109	112	117	122
Local Government	79	84	91	100	107	110	112	113	117	122
Central Government	77	86	92	100	105	107	107	108	111	115

Sources: Statistics Finland, *Bulletin of Statistics.*

Table L. **Interest rates, money and credit**

	1987	1988	1989	1990	1991	1992	1993	1994	1995	1996
Interest rates										
Bank of Finland base rate[1]	7.0	7.6	7.7	8.5	8.5	9.2	6.9	5.3	5.2	4.4
Call money rate[1]	11.7	11.5	13.4	15.0	15.5	14.9	9.0	7.1	7.6	5.6
Average lending rate of commercial banks[2]	9.0	9.9	10.6	11.8	12.1	12.5	10.2	8.2	8.0	6.5
Bank of Finland net claims on:										
Foreign sector	29 734	30 263	22 752	35 959	33 204	26 519	32 148	51 629	46 783	34 571
Public sector	76	–775	–4 188	–7	1 372	2 356	1 004	1 713	1 807	1 906
Financial institutions	–6 618	–4 864	12 751	–2 664	4 846	–5 405	476	–5 392	–7 945	5 169
Corporate sector	–1 333	–3 756	–8 604	–8 247	–5 768	–1 904	1 216	1 601	1 891	1 692
Banks' credit to the public[3]	192 382	251 546	278 688	285 720	285 609	271 544	264 846	256 958	248 323	251 179
Money										
Money supply M1	105 829	111 259	124 295	141 524	130 644	134 829	141 759	154 357	175 921	204 834
M1 plus quasi money	190 837	234 268	251 519	266 383	275 241	274 011	279 595	286 696	303 788	297 291

1. Average of daily observations.
2. End of period.
3. Credits in million Markka.

Source: Bank of Finland, *Monthly Bulletin.*

Table M. **Production structure and performance indicators**

A. Production structure

	Per cent share of value added[1]						Per cent share of employment					
	1960	1970	1980	1985	1994	1995	1960	1970	1980	1985	1994	1995
Tradeables												
Manufacturing	27.9	30.5	32.9	30.8	30.9	33.0	22.5	27.7	31.3	29.3	27.2	28.4
of which:												
Food, beverages and tobacco	4.2	4.0	3.5	3.6	3.5	3.4	2.6	3.4	3.6	3.4	3.2	3.2
Textile, wearing apparel and leather industries	3.4	3.0	2.8	2.1	1.0	0.9	4.5	4.5	4.1	3.3	1.4	1.4
Wood and wood products, including furniture	3.2	2.8	2.9	1.5	2.1	1.7	3.2	3.5	3.0	2.3	2.0	2.0
Paper and paper products, printing and publishing	5.3	6.6	7.2	6.8	7.1	8.5	3.4	4.3	5.2	5.0	5.2	5.0
Chemicals and chemical products, petroleum, coal, rubber and plastic products	2.0	3.1	3.9	3.4	3.7	3.3	1.0	1.9	2.3	2.2	2.5	2.6
Non-metallic mineral products, except products of petroleum and coal	1.1	1.3	1.3	1.3	0.9	0.9	0.9	1.2	1.2	1.2	0.9	0.9
Basic metal industries	0.7	1.3	1.6	1.3	1.9	2.1	0.5	0.8	1.1	1.1	1.1	1.1
Fabricated metal products, machinery and equipment	7.5	8.0	8.5	9.8	9.9	11.6	5.9	7.8	9.5	9.6	9.9	11.0
Other manufacturing industries	0.4	0.3	1.2	1.0	0.7	0.8	0.4	0.3	1.4	1.3	1.0	1.1
Non-tradeables												
Agriculture and forestry	20.5	14.2	11.4	9.9	6.9	5.2	39.2	25.0	16.6	15.2	12.3	11.3
Mining and quarrying	0.7	1.0	0.6	0.5	0.5	0.5	0.3	0.3	0.5	0.4	0.3	0.3
Electricity, gas and water	3.4	3.1	3.4	3.4	3.4	3.4	0.9	1.1	1.6	1.6	1.6	1.6
Construction	11.0	11.2	9.3	9.5	6.4	7.2	11.0	11.2	9.8	10.2	8.5	8.8
Wholesale and retail trade, restaurants and hotels	12.1	12.6	15.1	16.0	13.9	13.5	13.3	17.7	19.7	20.7	21.8	21.8
Transport, storage and communication	8.7	9.1	9.2	9.6	10.7	10.7	6.8	7.8	9.0	9.2	10.8	10.6
Finance, insurance, real estate and business services	12.5	14.3	15.7	17.7	23.8	23.2	2.8	4.3	7.2	8.9	13.0	12.7
Community, social and personal services	3.2	4.0	2.4	2.7	3.5	3.4	3.2	4.8	4.4	4.4	4.6	4.6
	Share of total GDP (per cent)						Share of total employment (per cent)					
As a share of total GDP	100.0	100.0	100.0	100.0	100.0	100.0	100.0	100.0	100.0	100.0	100.0	100.0
Private GDP	88.3	85.5	83.8	81.4	79.1	79.3	85.8	82.2	79.6	77.3	71.7	71.7
Public sector	9.3	12.1	14.5	16.7	18.9	18.6	7.7	11.7	17.9	20.1	25.1	25.2
Other producers	2.4	2.4	1.7	1.9	2.1	2.0	6.5	6.2	2.6	2.6	3.2	3.2

1. At factor costs.

Table M. **Production structure and performance indicators** *(cont.)*

B. Sector performance

	Productivity growth					Investment					
	Sector GDP/sector employment					Per cent of total industry investment					
	1960-1969	1970-1979	1980-1987	1994	1995	1960	1970	1980	1985	1994	1995
Tradeables											
Manufacturing	4.6	2.7	5.1	11.9	3.9	20.0	24.0	21.0	19.6	23.8	26.6
of which:											
Food, beverages and tobacco	3.1	1.6	3.1	4.4	–0.4	–	–	2.7	2.0	2.6	2.6
Textile, wearing apparel and leather industries	4.9	4.0	4.0	19.3	–10.0	–	–	1.0	0.4	0.3	0.5
Wood and wood products, including furniture	3.3	5.9	5.8	10.7	–4.1	–	–	1.8	0.9	1.8	1.6
Paper and paper products, printing and publishing	4.0	1.4	4.9	11.7	6.6	–	–	6.0	6.8	7.2	6.4
Chemicals and chemical products, petroleum, coal, rubber and plastic products	8.1	2.8	3.5	11.1	–3.5	–	–	2.5	2.4	3.0	4.2
Non-metallic mineral products, except products of petroleum and coal	7.6	3.0	4.1	7.5	3.3	–	–	0.9	0.8	0.6	0.7
Basic metal industries	7.1	2.9	5.3	7.4	–2.2	–	–	1.3	1.1	1.6	3.1
Fabricated metal products, machinery and equipment	2.9	3.8	5.9	15.5	9.3	–	–	4.3	4.7	6.4	7.2
Other manufacturing industries	11.9	–14.0	4.1	17.3	–3.8	–	–	0.4	0.5	0.3	0.3
Non-tradeables											
Agriculture and forestry	5.4	4.9	0.5	13.0	4.2	11.5	8.8	11.0	9.4	6.3	5.7
Mining and quarrying	4.9	0.1	11.5	11.5	–0.1	0.6	0.5	0.5	0.5	0.3	0.5
Electricity, gas and water	5.1	2.0	3.7	10.6	–2.7	8.9	5.5	5.4	6.2	8.2	7.1
Construction	2.9	3.2	0.4	7.3	–0.6	2.9	2.9	2.4	1.5	1.0	0.8
Wholesale and retail trade, restaurants and hotels	2.4	2.6	2.7	6.9	1.6	10.1	8.9	7.4	9.3	8.9	8.3
Transport, storage and communication	3.5	2.3	2.0	5.8	4.4	15.1	11.8	11.4	8.8	11.3	12.5
Finance, insurance, real estate and business services	0.8	0	0.5	0.3	2.8	28.3	35.1	38.7	42.3	36.9	35.2
of which: Dwellings	–	–	–	–	–	–	–	34.2	31.6	32.7	30.2
Community, social and personal services	1.7	2.6	2.8	–3.2	1.9	2.5	2.5	2.3	2.4	3.3	3.3
						As per cent of total investment					
Private sector	4.7	3.4	3.2	7.7	3.1	84.1	86.5	85.4	85.2	79.7	81.0
Public sector	0	0.5	0.2	–0.2	–0.6	14.7	12.4	13.3	13.7	18.9	17.6
Other producers	1.5	9.6	1.4	1.5	0.9	1.2	1.2	1.4	1.2	1.5	1.4

Table N. **Public sector**

	1983	1990	1993	1994	1995	1996
Budget indicators: general government (per cent of GDP)						
Current receipts	43.4	50.7	52.3	53.2	53.2	54.9
Non-interest expenditure	37.8	41.4	54.3	52.5	51.0	50.4
Primary budget balance	0.0	3.6	–8.3	–4.9	–3.9	–0.8
Net interest expenses	1.0	1.8	0.3	–1.2	–1.2	–1.7
General government budget balance	1.0	5.4	–8.0	–6.2	–5.1	–2.6
Structure of expenditure and taxation (per cent of GDP)						
Expenditure	43.6	46.8	61.9	60.9	59.9	59.0
Income transfers (including interest payments)	16.8	18.9	32.1	32.2	31.6	31.2
Capital transfers	–0.2	–0.2	–0.3	–0.3	–0.7	–0.3
Subsidies	3.3	2.9	3.4	3.1	2.7	2.8
Consumption	19.3	21.1	23.3	22.3	21.9	22.1
Education	5.1	5.3	5.9	5.8	6.0	
Health	4.2	4.8	5.1	4.7	4.7	
Social welfare	2.5	3.4	3.6	3.4	3.4	
Housing	0.7	0.6	0.7	0.6	0.5	
Economic services	0.5	0.6	0.8	0.7	0.8	
Other	6.4	6.3	7.3	7.1	6.6	
Gross investment	4.1	3.8	2.8	3.0	2.9	2.7
Taxes (per cent of GDP)	38.5	45.3	45.4	47.5	46.5	48.5
Direct taxes	[1]15.8	18.0	15.5	17.2	17.3	19.2
Indirect taxes	13.6	15.1	14.8	14.5	13.9	14.5
Compulsory fees, fines, etc.	0.4	0.6	0.5	0.5	0.5	0.5
Social security contributions	8.7	11.6	14.5	15.2	14.7	14.3

	1992	1993	1994	1995	1996
Tax rates (per cent)					
Personal income tax					
State income tax					
Top marginal rate	39	39	39	39	39
Lowest marginal rate	7	7	7	7	7
Average local income tax	16.84	17.17	17.52	17.52	17.51
Social security contributions					
Employer's national pension and sickness insurance					
Private	2.9/3.9	3.9	3.9	4	4
Public	6.4	6.4	6.7	6.8	6.8
Unemployment insurance	3.7	5.8	5.4	4.5	2.9
Insured persons	5.3/6.8	3.7/5.2	3.5/5.4	2.5/4.4	1.9/3.4
Value-added tax	22	22	22	22	22
Corporate tax	19	25	25	25	28
Net wealth tax					
Top marginal rate	0.9	0.9	0.9	0.9	0.9
Lowest marginal rate	0.9	0.9	0.9	0.9	0.9

1. Excluding so-called church tax.

Source: Submission from the Ministry of Finance.

BASIC STATISTICS:

INTERNATIONAL COMPARISONS

BASIC STATISTICS: INTERNATIONAL COMPARISONS

	Units	Reference period[1]	Australia	Austria	Belgium	Canada	Denmark	Finland	France	Germany	Greece
Population											
Total	Thousands	1994	17 840	8 031	10 124	29 251	5 206	5 088	57 960	81 407	10 430
Inhabitants per sq. km	Number	1994	2	96	332	3	121	15	106	228	79
Net average annual increase over previous 10 years	%	1994	1.4	0.6	0.3	1.6	0.2	0.4	0.5	2.9	0.5
Employment											
Total civilian employment (TCE)[2]	Thousands	1994	7 680 (93)	3 737	3 724 (92)	13 292	2 508	2 015	21 781 (93)	35 894	3 790
of which: Agriculture	% of TCE	1994	5.3 (93)	7.2	2.6 (92)	4.1	5.1	8.3	5.1 (93)	3.3	20.8
Industry	% of TCE	1994	23.7 (93)	33.2	27.7 (92)	22.6	26.8	26.8	27.7 (93)	37.6	23.6
Services	% of TCE	1994	71 (93)	59.6	69.7 (92)	73.3	68.1	64.9	67.2 (93)	59.1	55.5
Gross domestic product (GDP)											
At current prices and current exchange rates	Bill. US$	1994	331.6	198.1	227.9	544	146.7	97.2	1 328.5	1 832.3	73.1 (93)
Per capita	US$	1994	18 588	24 670	22 515	18 598	28 181	19 106	22 944	27 826	7 051 (93)
At current prices using current PPP's[3]	Bill. US$	1994	327.9	162.3	204.2	596.7	107	82.5	1 111.8	1 601.7	118
Per capita	US$	1994	18 382	20 210	20 166	20 401	20 546	16 208	19 201	24 325	1 450
Average annual volume growth over previous 5 years	%	1994	2.2	2.5	1.6	1.1	1.9	–1.6	1.1	2.6	1.4 (93)
Gross fixed capital formation (GFCF)	% of GDP	1994	21.4	24.8	17.4	18.7	14.8	14.3	18.1	18.5	17.4 (93)
of which: Machinery and equipment	% of GDP	1993	9.8	8.7	7.8	6.2	7.2	5.90	8.10	7.5	7.8
Residential construction	% of GDP	1993	5.2	6.3	4.6	6.1	2.9	3.7	4.9	6.5	3.6
Average annual volume growth over previous 5 years	%	1994	0.8	3.7	0.4	–0.1	–2.8	–12.9	–1	0.8	2.7 (93)
Gross saving ratio[4]	% of GDP	1994	16.8	25.3	22	16	17	16.6	19	21	15.5 (93)
General government											
Current expenditure on goods and services	% of GDP	1994	17.5	18.8	15	20.2	25.3	22.4	19.6	17.7	19.1 (93)
Current disbursements[5]	% of GDP	1993	36.9	48.4	55.3	49	61.1	58.9	51.5	45.6	51.2
Current receipts	% of GDP	1993	33.5	48.6	50.1	43	58.3	52.5	46.8	45.7	40.2
Net official development assistance	% of GNP	1993	0.34	0.31	0.41	0.46	1.03	0.76	0.66	0.44	..
Indicators of living standards											
Private consumption per capita using current PPP's[3]	US$	1993	10 803	10 546	12 090	11 863	10 042	8 814	11 395	10 733	6 367
Passenger cars, per 1 000 inhabitants	Number	1990	430	382	387	469	311	386	413	480[8]	169
Telephones, per 1 000 inhabitants	Number	1991	464	432	410	586	577	544	511	420[8]	413
Television sets, per 1 000 inhabitants	Number	1991	480	478	451	639	536	501	407	556[8]	197
Doctors, per 1 000 inhabitants	Number	1993	2.2 (91)	2.3	3.7	2.2	2.8 (92)	2.6 (92)	2.8	3.2 (92)	3.8 (92)
Infant mortality per 1 000 live births	Number		6.1	6.5	8	6.8	5.4	4.4	6.5	5.8	8.5
Wages and prices (average annual increase over previous 5 years)											
Wages (earnings or rates according to availability)	%	1994	3	5.5	3.7	3.3	3.5	4.8	3.5	5.2	14.6
Consumer prices	%	1994	3	3.4	2.8	2.8	2.1	3.3	2.5	3.3	16.2
Foreign trade											
Exports of goods, fob*	Mill. US$	1994	47 363	44 881	137 259[7]	165 358	41 850	29 514	235 337	422 243	8 958
As % of GDP	%	1994	14.3	22.7	60.2	30.4	28.5	30.4	17.7	23	11.5 (93)
Average annual increase over previous 5 years	%	1994	5	6.7	6.5	7.1	8.3	4.9	5.6	4.4	3.4
Imports of goods, cif*	Mill. US$	1994	49 731	55 071	126 006[7]	148 297	35 932	23 091	220 508	376 566	21 111
As % of GDP	%	1994	15	27.8	55.3	27.3	24.5	23.8	16.6	20.6	30.1 (93)
Average annual increase over previous 5 years	%	1994	4	7.2	5	5.4	6.1	–1.3	3.5	6.9	5.4
Total official reserves[6]	Mill. SDRs	1994	7 730	11 523	9 505[7]	8 416	6 203	7 304	17 986	52 994	9 924
As ratio of average monthly imports of goods	Ratio	1994	1.9	2.5	0.9	0.7	2.1	3.8	1	1.7	5.6

* At current prices and exchange rates.
1. Unless otherwise stated.
2. According to the definitions used in OECD *Labour Force Statistics*.
3. PPPs = Purchasing Power Parities.
4. Gross saving = Gross national disposable income minus private and government consumption.
5. Current disbursements = Current expenditure on goods and services plus current transfers and payments of property income.
6. Gold included in reserves is valued at 35 SDRs per ounce. End of year.
7. Data refer to the Belgo-Luxembourg Economic Union.
8. Data refer to western Germany.
9. Refers to the public sector including public enterprises.
10. Including non-residential construction.

Sources: Population and Employment: OECD, *Labour Force Statistics*. GDP, GFCF, and General Government: OECD, *National Accounts*, Vol. I and *OECD Economic Outlook*, Historical Statistics. Indicators of living standards: Miscellaneous national publications. Wages and Prices: OECD, *Main Economic Indicators*. Foreign trade: OECD, *Monthly Foreign Trade Statistics*, series A. Total official reserves: IMF, *International Financial Statistics*.

BASIC STATISTICS: INTERNATIONAL COMPARISONS *(cont'd)*

	Units	Reference period[1]	Iceland	Ireland	Italy	Japan	Luxembourg	Mexico	Netherlands	New Zealand
Population										
Total	Thousands	1994	267	3 571	57 190	124 960	398	93 010	15 382	3 526
Inhabitants per sq. km	Number	1994	3	51	190	331	153	47	377	13
Net average annual increase over previous 10 years	%	1994	1.1	0.1	0	0.4	0.8	2	0.6	0.8
Employment										
Total civilian employment (TCE)[2]	Thousands	1994	138	1 168 (93)	20 152 (93)	64 530	162 (91)	32 439	6 631	1 560
of which: Agriculture	% of TCE	1994	9.4	12.7 (93)	7.5 (93)	5.8	3.7 (91)	25.8	4	10.4
Industry	% of TCE	1994	26.1	27.7 (93)	33 (93)	34	31.5 (91)	22.2	23	25
Services	% of TCE	1994	65.2	59.7 (93)	59.6 (93)	60.2	64.8 (91)	52.1	73	64.6
Gross domestic product (GDP)										
At current prices and current exchange rates	Bill. US$	1994	6.2	52	1 017.8	4 590	10.6 (92)	371.2	334.3	51.2
Per capita	US$	1994	23 199	14 550	17 796	36 732	27 073 (92)	3 991	21 733	14 513
At current prices using current PPP's[3]	Bill. US$	1994	5.1	54.3	1 068.4	2 593.7	11.7	673.3	285.9	57.3
Per capita	US$	1994	19 271	15 212	18 681	20 756	29 454	7 239	18 589	16 248
Average annual volume growth over previous 5 years	%	1994	0.6	4.7	1	2.1	4.1 (92)	3	2.3	2.5
Gross fixed capital formation (GFCF)	% of GDP	1994	15.2	15.1	16.4	28.6	20.4 (93)	20.7	19.3	20
of which: Machinery and equipment	% of GDP	1993	3.9	6.3	7.4	11.5	..	9.4	8.6	9.3
Residential construction	% of GDP	1993	4.4	4.1	5.3	5.4	..	4.9	5.1	4.9
Average annual volume growth over previous 5 years	%	1994	–4	1	–2.3	1.4	6.5 (92)	7.7	0.4	5.8
Gross saving ratio[4]	% of GDP	1994	16.9	19.5	18.8	31.2	60.2 (92)	15.1	24.4	20.7
General government										
Current expenditure on goods and services	% of GDP	1994	20.6	16	17.1	9.8	17.1 (92)	11.8[9]	14.2	14.7
Current disbursements[5]	% of GDP	1993	34.9	..	53.2	26.9	..	..	55.4	..
Current receipts	% of GDP	1993	35.9	..	47.1	32.9	..	..	54.5	..
Net official development assistance	% of GNP	1993	..	0.15	0.42	0.27	0.34 (92)	..	0.88	0.22
Indicators of living standards										
Private consumption per capita using current PPP's[3]	US$	1993	11 546	7 750	11 029	11 791	15 545	4 853	10 726	9 266
Passenger cars, per 1 000 inhabitants	Number	1990	464	228	478	282	470	85	356	440
Telephones, per 1 000 inhabitants	Number	1991	527	300	400	454	511	70	477	436
Television sets, per 1 000 inhabitants	Number	1991	319	276	421	613	267	148	485	443
Doctors, per 1 000 inhabitants	Number	1993	3	1.7 (92)	1.7 (91)	1.7 (92)	2.1 (92)	1	2.5 (90)	2
Infant mortality per 1 000 live births	Number		4.8	5.9	7.3	4.5 (92)	8.5 (92)	18	6.3	7.3
Wages and prices (average annual increase over previous 5 years)										
Wages (earnings or rates according to availability)	%	1994	..	4.6	5.9	2.4	..	5.3	3.2	2.1
Consumer prices	%	1994	6.3	2.7	5.2	2	3.1	16.1	2.8	2.5
Foreign trade										
Exports of goods, fob*	Mill. US$	1994	1 628	34 125	189 802	396 149	..	60 882	155 084	12 169
As % of GDP	%	1994	26.3	65.7	18.6	8.6	..	16.4	46.4	23.8
Average annual increase over previous 5 years	%	1994	2.7	10.5	6.2	7.6	..	21.7	7.6	6.5
Imports of goods, cif*	Mill. US$	1994	1 464	25 812	167 690	274 916	..	79 346	139 800	11 859
As % of GDP	%	1994	23.6	49.7	16.5	6	..	21.4	41.8	23.2
Average annual increase over previous 5 years	%	1994	0.7	8.1	1.9	5.5	..	25.5	6.1	6.1
Total official reserves[6]	Mill. SDRs	1994	201	4 189	22 102	86 214	..	4 301	23 655	2 540
As ratio of average monthly imports of goods	Ratio	1994	1.6	1.9	1.6	3.8	..	0.7	2	2.6

* At current prices and exchange rates.
1. Unless otherwise stated.
2. According to the definitions used in OECD *Labour Force Statistics*.
3. PPPs = Purchasing Power Parities.
4. Gross saving = Gross national disposable income minus private and government consumption.
5. Current disbursements = Current expenditure on goods and services plus current transfers and payments of property income.
6. Gold included in reserves is valued at 35 SDRs per ounce. End of year.
7. Data refer to the Belgo-Luxembourg Economic Union.
8. Data refer to western Germany.
9. Refers to the public sector including public enterprises.
10. Including non-residential construction.

Sources: Population and Employment: OECD, *Labour Force Statistics*. GDP, GFCF, and General Government: OECD, *National Accounts*, Vol. I and *OECD Economic Outlook*, Historical Statistics. Indicators of living standards: Miscellaneous national publications. Wages and Prices: OECD, *Main Economic Indicators*. Foreign trade: OECD, *Monthly Foreign Trade Statistics*, series A. Total official reserves: IMF, *International Financial Statistics*.

BASIC STATISTICS: INTERNATIONAL COMPARISONS *(cont'd)*

	Units	Reference period[1]	Norway	Portugal	Spain	Sweden	Switzerland	Turkey	United Kingdom	United States
Population										
Total	Thousands	1994	4 337	9 900	39 150	8 781	6 994	60 573	58 375	260 651
Inhabitants per sq. km	Number	1994	13	107	78	20	169	78	238	28
Net average annual increase over previous 10 years	%	1994	0.5	–0.1	0.2	0.5	0.7	2.1	0.3	1
Employment										
Total civilian employment (TCE)[2]	Thousands	1994	1970 (93)	4 372	11 760	3 926	3 772	19 664	25 044 (93)	123 060
of which: Agriculture	% of TCE	1994	5.6 (93)	11.5	9.8	3.4	4	44.8	2.2 (93)	2.9
Industry	% of TCE	1994	23.1 (93)	32.8	30.1	25	28.8	22.2	26.2 (93)	24
Services	% of TCE	1994	71.3 (93)	55.7	60.2	71.6	67.2	33	71.6 (93)	73.1
Gross domestic product (GDP)										
At current prices and current exchange rates	Bill. US$	1994	103.4 (93)	87	482.4	196.6	257.3	130.7	1 019.5	6 649.8
Per capita	US$	1994	23 984 (93)	8 792	12 321	22 389	36 790	2 157	17 468	25 512
At current prices using current PPP's[3]	Bill. US$	1994	95.3	122	531.7	153	167.4	319.3	1 030.2	6 649.8
Per capita	US$	1994	21 968	12 335	13 581	17 422	23 942	5 271	17 650	25 512
Average annual volume growth over previous 5 years	%	1994	2.1 (93)	1.4	1.5	–0.3	0.5	3.6	0.8	2.1
Gross fixed capital formation (GFCF)	% of GDP	1994	22 (93)	25.7	19.8	13.7	22.8	24.5	15	17.2
of which: Machinery and equipment	% of GDP	1993	..	..	5.7	5.7	7.5	10.3	7.3	7.7
Residential construction	% of GDP	1993	..	..	4.1	4	14.9[10]	9.1	3.1	4
Average annual volume growth over previous 5 years	%	1994	–3.93	2.7	–1.2	–7.6	–0.4	5.1	–2.1	4.6
Gross saving ratio[4]	% of GDP	1994	21.9 (93)	24.2	18.8	13.7	29.3	22.5	13.5	16.2
General government										
Current expenditure on goods and services	% of GDP	1994	22.1 (93)	17.2	16.9	27.3	14.1	11.7	21.6	16.4
Current disbursements[5]	% of GDP	1993	..	..	43.7	67.3	36.7	..	42.7	35.8
Current disbursements[5]	% of GDP	1993	..	..	40.1	59	36	..	36.8	31.7
Current receipts	% of GDP	1993	1.23	0.36	0.32	1.33	0.49	..	0.34	0.19
Net official development assistance	% of GNP	1993	9 826	7 780	8 412	9 240	13 730	3 617	10 942	16 444
Indicators of living standards										
Private consumption per capita using current PPP's[3]	US$	1993	378	260	307	418	441	29	361	568
Passenger cars, per 1 000 inhabitants	Number	1990	515	273	340	687	603	143	445	553
Telephones, per 1 000 inhabitants	Number	1991	423	187	400	468	406	175	434	814
Television sets, per 1 000 inhabitants	Number	1991	3.2 (92)	2.9	4.1	3	3	0.9	1.5 (92)	2.3 (92)
Doctors, per 1 000 inhabitants	Number	1993	5	8.7	7.6	4.8	5.6	52.6	6.6	8.5 (92)
Infant mortality per 1 000 live births	Number		4	..	7.2	5.4	..	..	6.7	2.8
Wages and prices (average annual increase over previous 5 years)										
Wages (earnings or rates according to availability)	%	1994	2.7	9	5.6	5.7	3.9	73	4.6	3.6
Consumer prices	%	1994	34 645	17 072	73 129	61 122	70 467	18 456	205 170	512 627
Foreign trade										
Exports of goods, fob*	Mill. US$	1994	30.9 (93)	19.6	15.2	31.1	27.4	14.1	20.1	7.7
As % of GDP	%	1994	5	6.1	10.5	3.4	6.4	9.5	6.1	7.1
Average annual increase over previous 5 years	%	1994	27 345	25 967	92 182	51 730	68 126	22 976	227 026	663 256
Imports of goods, cif*	Mill. US$	1994	23.3 (93)	29.9	19.1	26.3	26.5	17.6	22.3	10
As % of GDP	%	1994	2.9	6.6	5.2	1	3.2	37.9	2.8	7
Average annual increase over previous 5 years	%	1994	13 033	10 627	28 475	15 929	23 790	4 911	28 094	43 350
Total official reserves[6]	Mill. SDRs	1994	5.7	4.9	3.7	3.7	4.2	2.6	1.5	0.8

* At current prices and exchange rates.
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